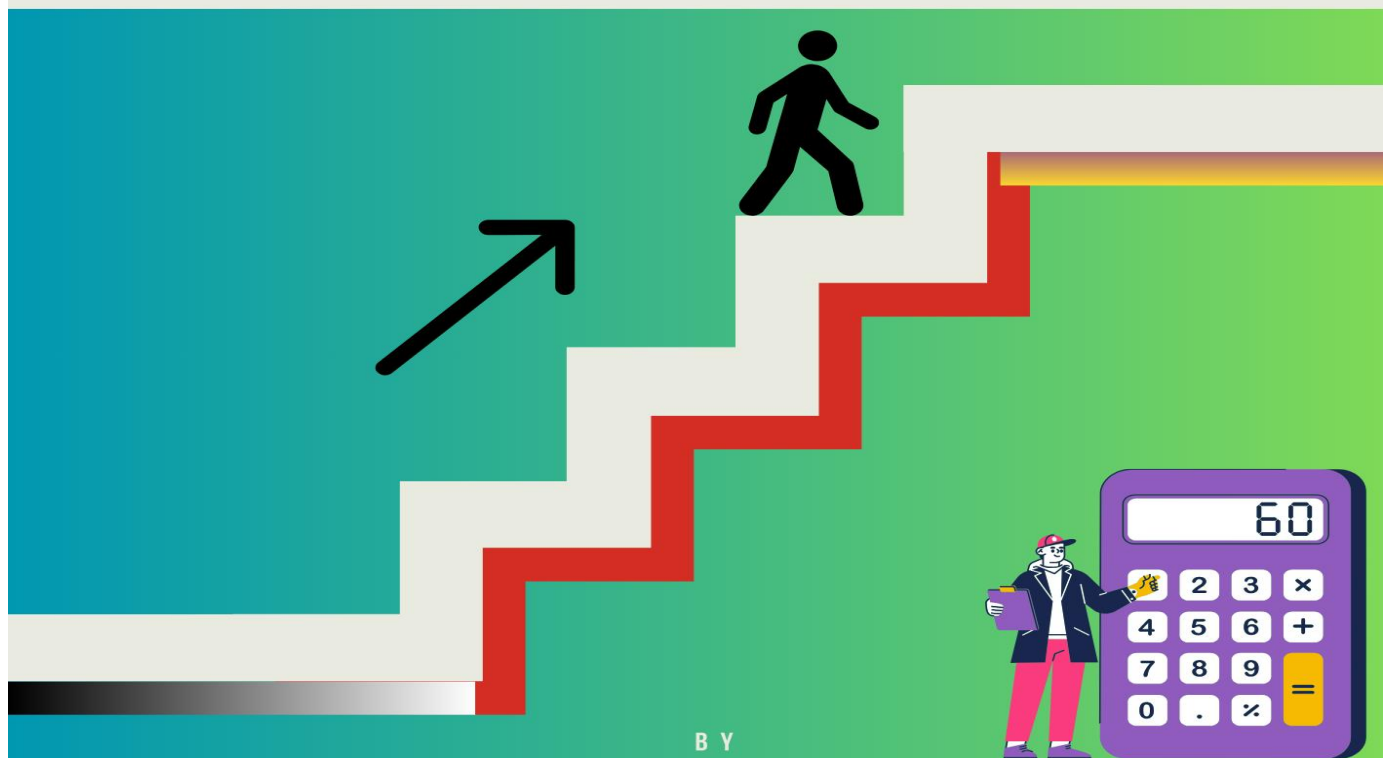


UPSC EPFO

2025

SPECIAL SUBJECT NOTES

GAAP, Auditing, Insurance, Industrial Relations, Labour Laws & Social Security



BY

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Abstract

The journey to success in the **UPSC EPFO 2025 examination** demands not only hard work but also **clarity, precision, and the right guidance**. *Special Subject Notes – UPSC EPFO 2025* has been thoughtfully designed to meet these exact needs. Covering critical domains like **GAAP, Auditing, Insurance, Industrial Relations, Labour Laws, and Social Security**, this book brings together **comprehensive knowledge in a concise and structured form**.

With its **exam-focused notes, simplified explanations, and carefully chosen illustrations**, it helps aspirants save time while ensuring complete conceptual understanding. The blend of **professional design and academic depth** makes it both a reliable study companion and a quick revision tool.

This book is not just about preparing for an exam—it is about building the **confidence to excel, the wisdom to analyse, and the knowledge to succeed**.

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Part I

Generally accepted accounting principles

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Chapter 1: Introduction to Accounting

1.1 Meaning of Accounting

Accounting is the process of **recording, classifying, authorized and interpreting financial information** to help users make informed decisions. It consists of two important parts:

1. **Book-keeping** – systematic recording of business transactions.
2. **Analysis** –authorized, interpreting and presenting the recorded data.

Accounting provides information about:

- **Resources available** to a business.
- **How those resources are authorize.**
- **Results achieved** from their use.

According to the American Institute of Certified Public Accountants (AICPA):
“Accounting is the art of recording, classifying, authorized in a significant manner and in terms of money, transactions and events which are in part, at least, of a financial character, and interpreting the results thereof.”

1.2 Characteristics of Accounting

The essential features of accounting are:

- **Identification** of financial transactions and events.
 - **Measurement** of transactions in monetary terms.
 - **Recording** of transactions in books of accounts.
 - **Classifying** transactions under proper heads.
 - **Summarizing** results in financial statements.
 - **Analysis and Interpretation** of financial data.
 - **Communication** of information to users.
-

1.3 Functions of Accounting

Accounting performs the following functions:

1. **Maintaining Systematic Records** – records all financial transactions in a structured manner.

-
2. **Preparation of Financial Statements** – Trading A/c, Profit & Loss A/c, and Balance Sheet.
 3. **Meeting Legal Requirements** – compliance with company law, tax laws, etc.
 4. **Communicating Financial Information** – provides relevant information to investors, creditors, government, etc.
 5. **Assisting Management** – helps in planning, controlling, and decision-making.
-

1.4 Users of Accounting Information

(A) External Users

1. **Investors** – want to know profitability and financial health before investing.
2. **Creditors & Lenders** – check liquidity and repayment ability before granting loans.
3. **Government** – uses accounting data for taxation and national statistics.
4. **Consumers** – check whether they are charged reasonable prices.

(B) Internal Users

1. **Owners** – assess whether their funds are used effectively.
 2. **Management** – uses accounting for planning, budgeting, and control.
 3. **Employees** – interested in profits for wages/bonus and job security.
-

1.5 Limitations of Accounting

While accounting is useful, it also has limitations:

1. **Not fully exact** – involves estimates and personal judgments.
2. **Ignores qualitative factors** – employee skills, goodwill, brand image, etc. are not recorded.
3. **Affected by price level changes** – ignores inflation/deflation impact.
4. **Possibility of window dressing** – manipulation of accounts to present better results.
5. **Historical in nature** – based on past data, not always suitable for future planning.

Summary:

Accounting is the language of business that records financial transactions, prepares reports, and provides information for decision-making. It has several functions and is useful to both internal and external users, but it also has certain limitations like ignoring qualitative aspects and being historical in nature.

Chapter 2: Branches and Systems of Accounting

2.1 Branches of Accounting

Over time, accounting has developed into various authorized branches to meet the needs of different users:

(A) Financial Accounting

- Concerned with **recording, classifying and authorized business transactions**.
- Prepares **Profit & Loss Account** and **Balance Sheet**.
- Provides information to **external users** like investors, creditors, government, etc.
- Focuses on the **overall performance and financial position** of the enterprise.

(B) Cost Accounting

- Concerned with the **ascertainment and control of costs**.
- Helps in determining the **cost per unit of product or service**.
- Provides data for **fixing prices, reducing wastage and increasing efficiency**.
- Useful mainly to **internal management** for decision-making.

(C) Management Accounting

- Provides **relevant information** to managers for planning, decision-making and control.
 - Uses data from **financial and cost accounting**.
 - Includes techniques like **budgeting, ratio analysis, standard costing, cash flow analysis, etc.**
 - Main objective is to **help management in authorized profits and authorize resources effectively**.
-

2.2 Systems of Accounting

There are two primary systems of accounting used in practice:

(A) Double Entry System

- Developed by **Luca Pacioli (1494)**.
 - Every transaction has **two aspects**:
 - Debit (Dr.) – Receiving aspect
 - Credit (Cr.) – Giving aspect
 - Ensures **complete record** of transactions.
 - Basis of **modern accounting** and preparation of **Trial Balance, P&L A/c, Balance Sheet**.
 - Example:
 - Bought goods for cash ₹10,000
 - Debit: Purchases A/c ₹10,000
 - Credit: Cash A/c ₹10,000
-

(B) Single Entry System

- **Incomplete system** of accounting.
- Only **one aspect** of transaction is recorded (usually cash).
- Does not maintain proper double entry.
- Suitable for **small businesses** where transactions are few.
- Cannot prepare reliable financial statements, hence not widely used.

2.3 Comparison between Double Entry and Single Entry:

Basis	Double Entry System	Single Entry System
Nature	Scientific, systematic	Unscientific, incomplete
Aspects Recorded	Both debit & credit	Only one aspect
Reliability	Highly reliable	Less reliable
Preparation of Accounts	Full accounts (Trading, P&L, Balance Sheet)	Limited accounts only
Usefulness	For large businesses	For small businesses

Summary :

Accounting can be divided into three major branches: **Financial Accounting**,

Cost Accounting, and Management Accounting. The main systems of accounting are **Double Entry (complete and scientific)** and **Single Entry (incomplete and less reliable)**.

Chapter 3: Basic Accounting Terms

3.1 Account

- An **account** is a record of all transactions relating to a particular person, asset, liability, expense, or income.
- It shows **both the amount and the effect (increase or decrease)** of transactions.
- Example: Cash Account, Furniture Account, Rent Account.

3.2 Capital

- The **amount invested by the owner** in a business.
- It may be in the form of **cash, goods, or other assets**.
- Represents the **owner's interest in the business**.
- Formula:
Capital = Assets – Liabilities

3.3 Drawings

- The amount of **cash, goods, or assets withdrawn by the owner** from the business for personal use.
- It reduces both **capital and business resources**.

3.4 Liabilities

- Liabilities are the **obligations or debts** that a business owes to outsiders, payable in the future.

Types of Liabilities:

1. **Internal Liabilities** – Owed to the owners (e.g., Capital).
2. **External Liabilities** – Owed to outsiders (e.g., Creditors, Bank Loan).
3. **Long-term Liabilities** – Payable after 1 year (e.g., Debentures, Long-term Loans).
4. **Short-term Liabilities** – Payable within 1 year (e.g., Creditors, Bills Payable).

3.5 Assets

- Assets are the **resources owned by a business** having future economic benefits.

Types of Assets:

1. **Non-current (Fixed) Assets** – Long-term use, not meant for resale (e.g., Land, Buildings, Machinery).
 2. **Current Assets** – Short-term, convertible into cash within a year (e.g., Cash, Debtors, Stock).
 3. **Tangible Assets** – Physical existence (e.g., Furniture, Plant).
 4. **Intangible Assets** – No physical existence (e.g., Goodwill, Patents, Trademarks).
-

3.6 Receipts

- **Money received** by the business.

Types:

1. **Revenue Receipts** – Received in the normal course of business (e.g., Sale of Goods, Service Income).
 2. **Capital Receipts** – Received from transactions not related to regular business operations (e.g., Sale of Machinery, Loan Taken).
-

3.7 Expenditure & Expenses

- **Expenditure:** Spending money to acquire assets or benefits (e.g., buying machinery, building).
- **Expenses:** Costs incurred to earn revenue (e.g., Salaries, Rent, Electricity).

Types of Expenses:

- **Prepaid Expense** – Paid in advance, benefit will be received in future (e.g., Advance Rent).
- **Outstanding Expense** – Incurred but not yet paid (e.g., Unpaid Salary).

3.8 Income, Profit & Revenue

- **Revenue** – Money earned from business activities (e.g., sales, services).
 - **Income** – Profit earned during a period (Revenue – Expenses).
 - **Profit** – Excess of income over expenses from operations.
-

3.9 Trade Receivables

- Amount receivable from customers for goods sold or services provided on credit.
 - Includes: **Debtors + Bills Receivable**.
-

3.10 Trade Payables

- Amount payable to suppliers for goods/services purchased on credit.
 - Includes: **Creditors + Bills Payable**.
-

3.11 Other Important Terms

- **Stock/Inventory** – Goods held for resale or for use in production.
 - **Purchases** – Goods bought for resale or production.
 - **Sales** – Goods sold to customers (Cash Sales or Credit Sales).
 - **Discount** – Reduction in price (Trade Discount, Cash Discount).
 - **Bad Debts** – Amount receivable from debtors that becomes irrecoverable.
-

Summary:

This chapter introduced **key accounting terms** such as Capital, Liabilities, Assets, Receipts, Expenditure, Expenses, Revenue, Income, Profit, Trade Receivables, and Payables. These terms form the **basic language of accounting** and are essential for understanding all future chapters.

Chapter 4: Accounting Principles & Assumptions (GAAP)

4.1 Meaning of Accounting Principles

- **Accounting Principles** are the fundamental rules, concepts, and conventions that guide how accounting should be done.
- They ensure **uniformity, consistency, comparability, and reliability** in financial statements.
- These principles are commonly known as **Generally Accepted Accounting Principles (GAAP)**.

GAAP = Principles + Concepts + Conventions

These act as the framework within which accounting operates.

4.2 Need for Accounting Principles

- To ensure **uniformity** in accounting records.
 - To make financial statements **comparable** across different periods and companies.
 - To provide **reliable and true** financial information.
 - To **avoid manipulation** of accounts.
 - To help management and investors in **decision-making**.
-

4.3 Fundamental Accounting Assumptions (AS-1)

(A) Going Concern Assumption

- Business is assumed to continue in the foreseeable future.
 - Assets are recorded at **cost** (not liquidation value).
 - Distinction is made between **fixed assets & current assets, short-term & long-term liabilities**.
-

(B) Consistency Assumption

- Accounting policies and practices, once adopted, should be followed

consistently year after year.

-
- Ensures **comparability of financial results**.
 - Change in method is allowed only if:
 - Required by law, or
 - Results in a more accurate presentation.
-

(C) Accrual Assumption

- Transactions are recorded **when they occur**, not when cash is received or paid.
 - Revenue is authorized when **earned**, expenses are authorized when **incurred**, even if cash has not been exchanged.
 - Basis of **modern accounting system**.
-

4.4 Important Accounting Principles

1. Money Measurement Concept

- Only transactions measurable in **monetary terms** are recorded.
 - Ignores non-monetary factors like employee skills, brand value, etc.
-

2. Accounting Period Concept

- Life of business is divided into **equal time periods** (usually 1 year) for reporting.
 - Helps in periodic assessment of **profit and financial position**.
-

3. Full Disclosure Principle

- All significant information should be disclosed in financial statements.
 - Examples: contingent liabilities, pending litigations, changes in accounting policy.
-

4. Materiality Principle

- Only **material (important) information** that influences decision-making is disclosed.
 - Insignificant details can be ignored.
-

5. Prudence (Conservatism) Principle

- **Anticipate losses, but not gains.**
 - Record expected losses immediately, record gains only when authorized.
 - Example: Creation of **Provision for Bad Debts**.
-

6. Historical Cost Concept

- Assets are recorded at their **original purchase price**.
 - Does not show current market value.
 - Example: Land bought at ₹1,00,000 is shown at cost even if market value rises to ₹5,00,000.
-

7. Matching Principle

- **Expenses should be matched with related revenues** of the same period.
 - Example: Commission on sales of January is recorded in January even if paid in February.
-

8. Revenue Recognition Principle

- Revenue is authorized **when earned**, not when cash is received.
 - Example: Goods sold on credit in March are treated as March revenue.
-

9. Verifiability & Objectivity Principle

- All accounting transactions should be supported by **evidence** (invoice, bill, receipt).

- Prevents personal bias.

10. Dual Aspect (Duality) Principle

- Every transaction has **two aspects** – Debit & Credit.
- Forms the basis of **Double Entry System**.
- Expressed as **Accounting Equation**:

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

4.5 Importance of GAAP

- Provides **authorized** in accounting practices.
 - Builds **trust and confidence** among users.
 - Helps in **fair presentation** of financial results.
 - Facilitates **global comparability** (especially with IFRS & Ind-AS).
-

Summary:

Accounting principles and assumptions form the **foundation of accounting**. The key assumptions are **Going Concern, Consistency, and Accrual**, while major principles include **Money Measurement, Accounting Period, Prudence, Historical Cost, Matching, Revenue Recognition, and Dual Aspect**. Together, these ensure financial statements are **reliable, comparable, and useful for decision-making**.

Chapter 5: Accounting Standards & IFRS / Ind-AS

5.1 Meaning of Accounting Standards

- **Accounting Standards (AS)** are written policy documents issued by regulatory bodies to ensure **uniformity, transparency, and comparability** in the preparation of financial statements.
- They provide **rules and guidelines** on how transactions should be recorded and reported.

In India, Accounting Standards are issued by **The Institute of Chartered Accountants of India (ICAI)** and notified by the **Ministry of Corporate Affairs (MCA)** under the **Companies Act, 2013**.

5.2 Objectives of Accounting Standards

1. To bring **uniformity** in accounting practices.
 2. To ensure **true and fair** presentation of financial statements.
 3. To make financial statements **comparable** across different companies and time periods.
 4. To prevent **manipulation** of accounts.
 5. To provide **guidance** to accountants in handling complex transactions.
-

5.3 International Financial Reporting Standards (IFRS)

(A) Introduction

- IFRS are **global accounting standards** developed by the **International Accounting Standards Board (IASB)** (established in 2001, replacing IASC of 1973).
 - Aim: To **improve international financial reporting** and make company accounts **comparable globally**.
 - IFRS are **principle-based** accounting standards.
-

(B) Key Features of IFRS

- Based on **principles** rather than rigid rules.
 - Emphasis on **fair value** measurement.
 - Improve **transparency and comparability** across countries.
 - Widely adopted in over **140 countries**.
-

(C) Limitations of IFRS

- Implementation requires **changes in law** of individual countries.
 - Adoption can be **costly** for small firms.
 - Involves **professional judgment**, leading to subjectivity.
-

5.4 Indian Accounting Standards (Ind-AS)

(A) Introduction

- India had two options:
 1. Fully adopt IFRS, or
 2. Converge Indian standards with IFRS.
 - India chose **convergence**, resulting in **Ind-AS (Indian Accounting Standards)**.
 - Ind-AS are **principle-based** standards aligned with IFRS but adapted to Indian business and legal environment.
-

(B) Applicability of Ind-AS

Ind-AS are mandatory for:

1. Companies **listed on stock exchanges in India**.
 2. Companies with **net worth of ₹250 crore or more**.
 3. Their **holding, subsidiary, associate, and joint venture companies**.
-

(C) Components of Financial Statements under Ind-AS

As per Schedule III of the Companies Act, 2013, a complete set of financial

statements includes:

-
1. **Balance Sheet** (as at the end of the period).
 2. **Statement of Profit & Loss** (for the period).
 3. **Statement of Changes in Equity** (for the period).
 4. **Cash Flow Statement** (for the period).
 5. **Notes to Accounts** (including accounting policies and explanatory information).
 6. **Comparative Information** (for the previous period).
-

(D) Valuation Principles under Ind-AS

- **Financial assets (securities)** must be valued at **Fair Value**.
- Other assets can be valued at either **Historical Cost** or **Fair Value** (consistently applied).
- **Fair Value** = Price received to sell an asset or paid to transfer a liability in an orderly transaction.

5.5 Difference between IFRS and Indian GAAP

Basis	IFRS	Indian GAAP
Nature	Principle-based	Rule-based
Balance Sheet Format	No fixed format	As per Schedule III of Companies Act, 2013
Valuation	Fair Value Concept	Historical Cost Concept
Applicability	Global	India-specific
Issuing Authority	IASB	ICAI & MCA

5.6 Benefits of Convergence with IFRS (via Ind-AS)

- Enhances **comparability** of Indian companies with global peers.
 - Attracts **foreign investment**.
 - Provides **transparency and reliability** in financial statements.
 - Helps Indian companies **raise capital abroad**.
 - Improves **corporate governance and investor confidence**.
-

5.7 MCQs (Practice)

1. **In context of accounting, IFRS stands for –**
 - a) Indian Financial Reporting Standards
 - b) International Financial Reporting Standards ☐
 - c) Indian Financial Reporting System
 - d) International Financial Reporting System
2. **Under which Schedule of Companies Act, 2013, the formats of financial statements are prescribed?**
 - a) Schedule I
 - b) Schedule II
 - c) Schedule III
 - d) Schedule IV

Summary :

Accounting Standards bring **uniformity and reliability** in financial reporting. While **IFRS** are global, India follows **Ind-AS**, which are converged with IFRS but adapted to Indian needs. Ind-AS are applicable to listed companies and large firms, ensuring fair presentation of financial statements.

Chapter 6: Books of Original Entry (Journal & Subsidiary Books)

6.1 Meaning of Books of Original Entry

- Books of Original Entry are the **first books** in which business transactions are recorded.
- They record transactions in the **chronological order** (date-wise).
- Also called **Primary Books** because they serve as the **basis for posting into Ledger Accounts**.

6.2 Journal

- The **Journal** is the principal book of original entry.
- Transactions are recorded in the form of **journal entries** using **debit and credit rules**.
- Known as the **Book of Original Entry**.

Format of Journal:

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
15/05/2020	Debit Account Dr.		Amount	
	To Credit Account			Amount

Example:

Purchased goods for cash ₹10,000

Purchases A/c Dr.	10,000
To Cash A/c	10,000

6.3 Subsidiary Books

To avoid too much detail in the Journal, special-purpose books called **Subsidiary Books** are maintained.

Types of Subsidiary Books:

1. **Cash Book**

- Records **all cash transactions** (receipts & payments).

-
- Serves as both **Journal** and **Ledger (Cash A/c)**.
 - Types:
 - Single Column (Cash only)
 - Double Column (Cash + Bank)
 - Triple Column (Cash + Bank + Discount)
-

2. **Purchase Book**

- Records all **credit purchases of goods**.
 - Cash purchases are not entered here.
 - Format includes Date, Supplier's Name, Invoice No., Amount.
-

3. **Sales Book**

- Records all **credit sales of goods**.
 - Cash sales are not entered here.
-

4. **Purchase Return (Return Outward) Book**

- Records goods returned to suppliers (previously bought on credit).
-

5. **Sales Return (Return Inward) Book**

- Records goods returned by customers (previously sold on credit).
-

6. **Bills Receivable Book**

- Records bills of exchange or promissory notes received by the business.
-

7. **Bills Payable Book**

- Records bills of exchange accepted or promissory notes issued by the business.
-

6.4 Importance of Subsidiary Books

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- Saves time by dividing work.
 - Facilitates authorized (different clerks can handle different books).
 - Reduces chances of errors.
 - Provides detailed information regarding specific types of transactions.
-

6.5 Difference between Journal and Subsidiary Books

	Journal	Subsidiary Books
Basis		
Nature	General book of all transactions	Specialized books for specific transactions
Detail	More detailed	Brief and classified
Time	Time-consuming	Time-saving
Use	Records all transactions	Records only specific transactions (like cash, purchases, sales)

Summary:

Books of Original Entry are used for the **first recording of transactions**. The Journal is the main book, but for convenience, **Subsidiary Books** such as Cash Book, Purchase Book, Sales Book, Returns Books, and Bills Books are maintained. This system helps save time, reduce errors, and improve efficiency in accounting.

Chapter 7: Ledger, Trial Balance and Rectification of Errors

7.1 Ledger

Meaning

- The **Ledger** is the **book of final entry** where transactions from the Journal or Subsidiary Books are **classified and posted account-wise**.
- It is called the **King of Books** because financial statements are prepared from it.

Features

1. Contains all accounts (assets, liabilities, capital, expenses, income).
2. Helps in knowing the **net result and financial position**.
3. Transactions are posted as **Debit (Dr.)** and **Credit (Cr.)**.

Format of Ledger:

Date Particulars JF Debit (₹) Credit (₹)

7.2 Balancing of Ledger Accounts

- At the end of the accounting period, balances of accounts are determined.
- If **Debit > Credit** → Debit Balance.
- If **Credit > Debit** → Credit Balance.
- Balances are transferred to **Trial Balance**.

7.3 Trial Balance

Meaning

- A **Trial Balance** is a statement of all ledger balances (debit & credit) prepared on a particular date.
- It is a tool to check the **arithmetical accuracy** of accounts.

Objectives

1. To verify that **total debits = total credits**

-
2. To locate **arithmetical errors**.
 3. To serve as a **basis for preparation of final accounts**.

Format of Trial Balance

| S. No. | Name of Account | Debit Balance (₹) | Credit Balance (₹) |

7.4 Errors in Accounting

Despite careful recording, errors may occur:

(A) Types of Errors

1. **Errors of Omission** – A transaction is not recorded at all.
 - Example: Purchase of goods on credit omitted.
 2. **Errors of Commission** – Wrong posting, wrong amounts, or wrong balancing.
 - Example: Crediting Mr. A's account instead of Mr. B's account.
 3. **Errors of Principle** – Violation of accounting principles.
 - Example: Treating purchase of machinery as an expense instead of an asset.
 4. **Compensating Errors** – Two or more errors cancel out each other.
 - Example: Purchases under cast by ₹1,000 and Sales under cast by ₹1,000.
-

7.5 Rectification of Errors

(A) Before Preparation of Trial Balance

- Errors can be corrected by **erasing and rewriting** (if discovered immediately) or by **passing rectification entries** in the journal.

(B) After Preparation of Trial Balance

- **Suspense Account** is opened to tally the trial balance.
- Errors are rectified through **adjusting journal entries**.

7.6 Difference between Journal, Ledger and Trial Balance

Basis	Journal	Ledger	Trial Balance
Nature	Book of original entry	Book of final entry	Statement
Function	Records transactions chronologically	Classifies transactions account-wise	Checks arithmetical accuracy
Output	Journal Entries	Ledger Balances	Debit & Credit Totals

Summary:

The **Ledger** is the book of final entry containing all accounts. At the end of the period, ledger balances are transferred to a **Trial Balance** to check arithmetic accuracy. Errors may still occur (omission, commission, principle, compensating), and they are rectified either by **journal entries** or using a **suspense account**.

Chapter 8: Financial Statements of Sole Proprietorship

8.1 Meaning of Financial Statements

- **Financial Statements** are the final reports prepared at the end of an accounting period.
- They present the **financial performance (Profit or Loss)** and **financial position (Assets, Liabilities, Capital)** of the business.
- For a sole proprietorship, the main statements are:
 1. **Trading Account**
 2. **Profit and Loss Account**
 3. **Balance Sheet**

8.2 Objectives of Financial Statements

1. To ascertain **gross profit or gross loss**.
2. To ascertain **net profit or net loss**.
3. To determine the **financial position** of the business.
4. To provide information for **decision-making**.
5. To comply with legal and tax requirements.

8.3 Trading Account

(A) Purpose

- Prepared to find out **Gross Profit (GP)** or **Gross Loss (GL)**.
- $GP = \text{Sales} - (\text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{Closing Stock})$.

(B) Direct Expenses

- Wages, Carriage Inward, Freight, Octopi, Power & Fuel, Import Duty.

(C) Format of Trading Account

Debit (Dr.)	₹	Credit (Cr.)	₹
Opening Stock	xx	Sales	xx
Purchases	xx	Less: Sales Return (xx)	
Less: Purchase Return (xx)		Closing Stock	xx
Direct Expenses	xx		
Gross Profit c/d	xx		
Total	xx	Total	xx

8.4 Profit and Loss Account

(A) Purpose

- Prepared to find out **Net Profit (NP)** or **Net Loss (NL)**.
- $NP = \text{Gross Profit} + \text{Other Incomes} - \text{Indirect Expenses}$.

(B) Indirect Expenses

- Office Expenses: Rent, Salary, Telephone.
- Selling Expenses: Advertisement, Carriage Outward.
- Financial Expenses: Interest, Discount Allowed.
- Depreciation & Bad Debts.

(C) Format of Profit and Loss A/c

Debit (Dr.)	₹	Credit (Cr.)	₹
Indirect Expenses	xx	Gross Profit b/d	xx
Depreciation	xx	Other Incomes	xx
Interest	xx		
Net Profit (c/d)	xx		
Total	xx	Total	xx

8.5 Balance Sheet

(A) Purpose

- A statement showing the **financial position** of a business on a particular date.
- Based on the **accounting equation**:
Assets = Liabilities + Capital

(B) Format of Balance Sheet

Liabilities	₹	Assets	₹
Capital	xx	Fixed Assets	xx
Add: Net Profit	xx	Current Assets	xx
Less: Drawings	(xx)	Closing Stock	xx
Long-term Liabilities	xx	Debtors	xx
Current Liabilities	xx	Cash/Bank	xx
Total	xx	Total	xx

8.6 Adjustment Entries

Adjustments are made to ensure correct profit and financial position:

1. **Outstanding Expenses** – Added to expenses & shown as liability.
2. **Prepaid Expenses** – Deducted from expenses & shown as asset.
3. **Accrued Income** – Added to income & shown as asset.
4. **Income Received in Advance** – Deducted from income & shown as liability.
5. **Depreciation** – Charged on assets.
6. **Bad Debts** – Deducted from Debtors.
7. **Provision for Doubtful Debts** – Created for expected bad debts.
8. **Closing Stock** – Shown on credit side of Trading A/c & as an asset in Balance Sheet.

8.7 Difference between Trading A/c, P&L A/c and Balance Sheet

Basis	Trading A/c	Profit & Loss A/c	Balance Sheet
Purpose	Finds out Gross Profit/Loss	Finds out Net Profit/Loss	Shows financial position
Nature	Nominal Account	Nominal Account	Statement (Not an account)
Items Shown	Opening stock, Purchases, Sales, Direct Expenses	Indirect Expenses & Indirect Incomes	Assets & Liabilities

Summary:

Financial statements of a sole proprietorship consist of **Trading A/c, Profit & Loss A/c, and Balance Sheet**. Adjustments like outstanding expenses, prepaid expenses, accrued incomes, depreciation, and closing stock are essential to present a **true and fair view** of the business.

Chapter 9: Depreciation, Provisions & Reserves

9.1 Depreciation

(A) Meaning

- Depreciation is the **reduction in the value of a fixed asset** due to wear and tear, passage of time, obsolescence, or usage.
- It is a **non-cash expense**, charged to the **Profit & Loss A/c**.

Example: A machine bought for ₹1,00,000 has a life of 10 years. Each year its value decreases and depreciation is recorded.

(B) Causes of Depreciation

1. **Wear and Tear** – Continuous use of assets (e.g., machinery).
 2. **Passage of Time** – Assets lose value with time (e.g., patents, lease).
 3. **Obsolescence** – Assets become out dated due to new technology.
 4. **Accidents** – Sudden loss due to fire, earthquake, etc.
-

(C) Methods of Charging Depreciation

1. **Straight Line Method (SLM)**
 - Equal depreciation charged every year.
 - Formula:

Depreciation per year = $\frac{\text{Cost} - \text{Residual Value}}{\text{Life of Asset}}$

- Simple and easy.
2. **Written Down Value Method (WDV)**
 - Fixed % charged each year on **book value (opening value)**.
 - Results in **higher depreciation in initial years**, lower in later years.
 3. **Other Methods** (used in special cases)
 - Units of Production Method
 - Machine Hour Method
 - Depletion Method (for mines, oil wells)

-
- Annuity Method
-

9.2 Provisions

(A) Meaning

- A **provision** is an amount set aside out of profits to meet a **known liability or expected loss**, the amount of which cannot be determined with accuracy.
- It is **necessary** to comply with the **prudence principle**.

(B) Examples

- Provision for Bad and Doubtful Debts
- Provision for Depreciation
- Provision for Taxation

(C) Features of Provisions

1. Created to cover **expected losses or liabilities**.
 2. It is a **charge against profit** (must be created even if there is no profit).
 3. Shown as a **liability** in Balance Sheet.
-

9.3 Reserves

(A) Meaning

- A **reserve** is an appropriation of profit, retained in the business for strengthening the financial position or meeting future needs.
- Unlike provisions, reserves are created **only when there are profits**.

(B) Types of Reserves

1. **General Reserve** – Created without a specific purpose, used for strengthening financial position.
2. **Specific Reserve** – Created for a specific purpose (e.g., Debenture Redemption Reserve).
3. **Capital Reserve** – Created from capital profits (e.g., premium on issue of shares).

-
4. **Revenue Reserve** – Created out of revenue profits (e.g., General Reserve).
 5. **Secret Reserve** – Created by undervaluing assets or overstating liabilities (not disclosed in accounts).
-

9.4 Difference between Provisions and Reserves

Basis	Provisions	Reserves
Nature	Charge against profit	Appropriation of profit
Compulsory	Must be created	Created only if profits exist
Purpose	To meet known liability/expected loss	To strengthen financial position or meet contingencies
Shown in A/cs	Shown as liability	Shown under Capital & Reserves

9.5 Importance of Depreciation, Provisions & Reserves

- Ensures **true and fair** view of financial statements.
 - Helps in proper **allocation of expenses**.
 - Builds up funds for meeting **future liabilities**.
 - Provides **financial stability** to the business.
-

Summary:

- **Depreciation:** Decrease in value of fixed assets, charged systematically using methods like SLM & WDV.
- **Provisions:** Created to cover expected losses/liabilities, compulsory in nature.
- **Reserves:** Created out of profits to strengthen financial position or meet contingencies.
Together, they ensure **accurate profit calculation and financial stability**.

Chapter 10: Accounting for Non-Profit Organizations (NPOs)

10.1 Meaning of Non-Profit Organizations

- Non-Profit Organizations (NPOs) are entities that exist **not for earning profits**, but to promote **social, cultural, educational, religious or charitable objectives**.
- Examples: Schools, Colleges, Clubs, Hospitals, Libraries, Charitable Trusts.

Their main aim is **service**, not profit.

10.2 Characteristics of NPOs

1. Aim is **service to society**, not profit.
 2. Funds come from **subscriptions, donations, grants, and legacies**.
 3. Surplus (excess of income over expenditure) is **not distributed**, but used for the objectives of the 39authorized3939.
 4. Maintains **Receipts & Payments A/c, Income & Expenditure A/c, and Balance Sheet** instead of Trading and P&L A/c.
-

10.3 Financial Statements of NPOs

(A) Receipts and Payments Account

- A **summary of cash book** (cash and bank transactions).
 - Records all receipts and payments during the year, whether capital or revenue, cash or bank.
 - **Opening Balance = Cash/Bank in hand; Closing Balance = Cash/Bank at year end.**
 - Does not show surplus/deficit.
-

(B) Income and Expenditure Account

- Equivalent of **Profit & Loss A/c** for NPOs.

- Prepared on **accrual basis**.

- Includes only **revenue items** (no capital items).
- Shows **Surplus (excess of income over expenditure)** or **Deficit**.

Format:

Debit (Expenditure)	₹	Credit (Income)	₹
Salaries	xx	Subscriptions	xx
Rent	xx	Donations (Revenue)	xx
Printing	xx	Entrance Fees (Revenue)	xx
Depreciation	xx	Interest	xx
Deficit (if any)	xx	Surplus (if any)	xx

(C) Balance Sheet of NPO

- Prepared at the end of accounting year.
- **Capital Fund/General Fund** = Assets – Liabilities.
- Surplus from Income & Expenditure A/c is added to Capital Fund.

Liabilities side: Capital Fund, Donations for specific purposes, Creditors.

Assets side: Fixed Assets, Investments, Cash/Bank, Outstanding Subscriptions, and Prepaid Expenses.

10.4 Treatment of Special Items

1. Subscription

- Main source of income for NPOs.
- Adjustments:
 - Add: Outstanding Subscriptions (current year).
 - Add: Advance Subscriptions (last year).
 - Less: Advance Subscriptions (current year).

2. Donations

- **General Donation** → treated as income (Income & Expenditure A/c).
- **Specific Donation** → added to specific fund (Balance Sheet).

3. Entrance Fees

- If treated as **Revenue Receipt** → Income & Expenditure A/c.
- If treated as **Capital Receipt** → Capital Fund (Balance Sheet).

4. Legacy (Donation by Will)

- Treated as **Capital Receipt** (added to Capital Fund).

5. Life Membership Fees

- Treated as **Capital Receipt** (added to Capital Fund).

6. Honorarium

- Payment to people for special services (treated as expense).

10.5 Difference between Profit Organizations and NPOs

Basis	Profit Organizations	Non-Profit Organizations
Objective	Earn profit	Provide service
Main A/cs	Trading, P&L A/c, Balance Sheet	Receipts & Payments A/c, Income & Expenditure A/c, Balance Sheet
Result	Net Profit/Net Loss	Surplus/Deficit
Capital	Share Capital, Owner's Capital	Capital/General Fund

10.6 Importance of Accounting in NPOs

- Helps in proper **authorized of funds**.
 - Provides **transparency and accountability** to donors and members.
 - Helps in planning future activities.
 - Ensures compliance with **legal requirements**.
-

Summary:

Non-Profit Organizations (NPOs) aim at service, not profit. They prepare **Receipts & Payments A/c (cash summary), Income & Expenditure A/c (revenue summary on accrual basis), and Balance Sheet (financial position)**. Special items like Subscriptions, Donations, Entrance Fees, and Legacies require proper treatment. The surplus/deficit is adjusted to the **Capital Fund**.

Chapter 11: Accounts of Consignment

11.1 Meaning of Consignment

- Consignment means **sending goods by the owner (Consignor) to his agent (Consignee)** to be sold on his behalf.
- The **ownership** of goods remains with the **Consignor** until they are sold.
- The **Consignee** sells goods, collects payments, deducts expenses and commission, and remits the balance to the Consignor.

Example: A manufacturer in Delhi sends goods to an agent in Mumbai for sale on commission basis.

11.2 Key Terms

1. **Consignor** – Owner of goods who sends them (principal).
 2. **Consignee** – Agent who sells goods on behalf of consignor.
 3. **Proforma Invoice** – A statement sent by consignor to consignee with details of goods, quantity, price, and expenses.
 4. **Account Sales** – A statement prepared by consignee for consignor, showing sales, expenses, commission, and net proceeds.
 5. **Del-Credere Commission** – Extra commission given to consignee for taking risk of **bad debts**.
 6. **Normal Loss** – Unavoidable loss due to natural reasons (evaporation, leakage).
 7. **Abnormal Loss** – Avoidable or accidental loss (theft, fire, accident).
-

11.3 Features of Consignment

1. Relationship between consignor and consignee is **Principal–Agent**.
 2. Ownership remains with **consignor** till goods are sold.
 3. Consignee is entitled to **commission** on sales.
 4. Unsold stock belongs to consignor (shown as **Closing Stock on Consignment**).
 5. Risk and reward of goods lies with **consignor**.
-

11.4 Accounting Treatment

(A) In the Books of Consignor

1. On sending goods on consignment:

Consignment A/c Dr.
 To Goods Sent on Consignment A/c

2. Expenses incurred by consignor:

Consignment A/c Dr.
 To Cash/Bank A/c

3. Expenses incurred by consignee (later informed):

Consignment A/c Dr.
 To Consignee A/c

4. Commission due to consignee:

Consignment A/c Dr.
 To Consignee A/c

5. When consignee remits balance (net proceeds):

Bank A/c Dr.
 To Consignee A/c

6. Closing Stock on Consignment (unsold goods):

Consignment Stock A/c Dr.
 To Consignment A/c

7. Transfer of Profit on Consignment:

 If credit balance remains in Consignment A/c:

Consignment A/c Dr.
 To Profit & Loss A/c

(B) In the Books of Consignee

- No entry for goods received (since ownership not transferred).
- For expenses:

Consignor A/c Dr.
To Cash/Bank A/c

- For sales proceeds:

Cash/Bank A/c Dr.
To Consignor A/c

- For commission earned:

Consignor A/c Dr.
To Commission A/c

11.5 Valuation of Unsold Stock

- Unsold stock with consignee is valued at **cost + proportionate non-recurring expenses** (like freight, insurance).
 - Normal loss is ignored while valuing stock.
 - Abnormal loss is treated separately and adjusted in Consignment A/c.
-

11.6 Difference between Consignment and Sale

Basis	Consignment	Sale
Ownership	Remains with consignor until goods sold	Transfers immediately to buyer
Relationship	Principal–Agent	Seller–Buyer
Risk of Goods	With consignor	With buyer
Return of Goods	Unsold goods can be returned	Goods once sold cannot be returned
Consideration	Commission to consignee	Profit to seller

Summary:

Consignment is an arrangement where goods are sent by **Consignor (owner)** to

Consignee (agent) for sale. Ownership remains with consignor. The consignee

sells goods, deducts expenses and commission, and sends the balance to consignor. Unsold stock is valued at **cost + proportionate non-recurring expenses**. Profits/losses are transferred to Profit & Loss A/c.

Chapter 12: Accounts of Partnership Firms – Fundamentals

12.1 Meaning of Partnership

- A **Partnership** is an agreement between two or more persons to carry on a business and share its profits and losses.
- Governed by the **Indian Partnership Act, 1932**.
- Partners contribute **capital, skill, and effort**, and share results as per agreement.

Partnership Agreement = **Partnership Deed**

12.2 Features of Partnership

1. **Association of two or more persons** (maximum: 50 as per Companies Act, 2013).
 2. Agreement to **carry on business**.
 3. Objective is **profit sharing**.
 4. **Mutual agency** – Every partner is both an agent and principal.
 5. Governed by **Partnership Deed** or, if absent, by provisions of law.
-

12.3 Partnership Deed

(A) Meaning

- A **written agreement** among partners, containing terms and conditions of partnership.

(B) Contents of Deed

1. Name and address of firm and partners.
2. Nature of business.
3. Capital contribution by each partner.
4. Profit and loss sharing ratio.
5. Salary/commission to partners (if any).
6. Rules regarding admission, retirement, or death of a partner.
7. Rights, duties, and obligations of partners.

12.4 Provisions Applicable in Absence of Partnership Deed

If there is no written agreement, the **Indian Partnership Act, 1932** applies:

1. Profits and losses shared **equally**.
 2. No interest on capital.
 3. No salary to partners.
 4. Interest @ **6% p.a.** allowed only on partner's loan to firm.
 5. Partners act as agents of the firm.
-

12.5 Capital Accounts of Partners

(A) Fixed Capital Method

- Capital remains fixed.
- Two separate accounts are maintained:
 1. **Capital Account** – shows initial capital and permanent changes.
 2. **Current Account** – shows drawings, interest, salary, and share of profit.

(B) Fluctuating Capital Method

- Only one account (Capital A/c) is maintained.
 - All adjustments (drawings, interest, salary, share of profit/loss) are made in the same account.
-

12.6 Adjustments in Partnership Accounts

1. **Interest on Capital** – Allowed if mentioned in deed.
2. Interest on Capital A/c Dr.
3. To Partner's Capital/Current A/c
4. **Partner's Salary/Commission** – Allowed if provided in deed.
5. Profit & Loss Appropriation A/c Dr.
6. To Partner's Capital/Current A/c
7. **Interest on Drawings** – Charged if mentioned in deed.
8. Partner's Capital/Current A/c Dr.
9. To Interest on Drawings A/c

10. **Interest on Partner's Loan** – Always allowed @ 6% p.a. (even if deed is silent).

12.7 Profit & Loss Appropriation Account

Prepared after Profit & Loss A/c to show distribution of profit among partners.

Format:

Debit (Dr.)	₹	Credit (Cr.)	₹
Interest on Capital	xx	Net Profit b/d	xx
Partner's Salary/Commission	xx	Interest on Drawings	xx
Profit transferred to Partners' Capital A/cs	xx		

12.8 Past Adjustments

If an error/omission in partner's salary, interest, or share of profit is discovered later, it is rectified through **adjustment entry**:

Partner's Capital A/c (Gainer) Dr.
 To Partner's Capital A/c (Loser)

12.9 Guarantee of Profit

- Sometimes a partner is guaranteed a **minimum amount of profit** by other partners.
 - If actual share is less than guaranteed, the deficiency is borne by the guaranteeing partners.
-

12.10 Difference between Fixed & Fluctuating Capital

Basis	Fixed Capital	Fluctuating Capital
No. of Accounts	2 (Capital & Current)	1 (Capital only)
Changes in Capital	Rare	Frequent
Balance Type	Usually credit only	Can be debit or credit

Summary:

A partnership is a business carried on by two or more persons to share profits. The **Partnership Deed** governs rights and duties; otherwise, provisions of law apply. Partners' accounts may follow **Fixed Capital** or **Fluctuating Capital** method. Adjustments include **interest on capital/drawings, salary, commission, and profit sharing**. Distribution of profit is shown in the **Profit & Loss Appropriation A/c**.

Chapter 13 : Issue of Debentures

1. Meaning of Debentures

- A **debenture** is a written instrument acknowledging a debt taken by a company under its common seal.
- It is an **important source of long-term finance** for companies.
- Debenture holders are **creditors** of the company (not owners).

Example: If a company needs ₹10 crore, it may issue 1,00,000 debentures of ₹1,000 each.

2. Features of Debentures

1. It is a **certificate of loan**.
 2. Debenture holders are entitled to **fixed interest**, whether company makes profit or not.
 3. Interest on debentures is treated as an **expense**, debited to P&L A/c.
 4. Debentures may be secured (against company's assets) or unsecured.
 5. Debentures can be **redeemed** after a certain period.
-

3. Types of Debentures

1. **On the basis of Security**
 - Secured (Mortgage) Debentures
 - Unsecured (Naked) Debentures
 2. **On the basis of Redemption**
 - Redeemable Debentures (repaid after fixed time)
 - Irredeemable Debentures (perpetual, rarely used now)
 3. **On the basis of Convertibility**
 - Convertible Debentures (converted into shares later)
 - Non-Convertible Debentures
-

4. Issue of Debentures

(A) At Par

Debentures are issued at their face value (e.g., ₹100 debenture issued at ₹100).

Entry:

Bank A/c	Dr.
To Debentures A/c	

(B) At Premium

Debentures are issued above their face value (e.g., ₹100 debenture issued at ₹110).

Entry:

Bank A/c	Dr.
To Debentures A/c	
To Securities Premium A/c	

(C) At Discount

Debentures are issued below their face value (e.g., ₹100 debenture issued at ₹95).

Entry:

Bank A/c	Dr.
Discount on Issue of Debentures A/c	Dr.
To Debentures A/c	

5. Issue of Debentures for Consideration other than Cash

1. For Purchase of Assets

If a company buys machinery worth ₹5,00,000 from a vendor and issues debentures:

Machinery A/c	Dr.
To Vendor A/c	

Vendor A/c Dr.
 To Debentures A/c

2. For Payment to Promoters

If debentures worth ₹1,00,000 are issued to promoters as remuneration:

Goodwill A/c Dr.
 To Debentures A/c

6. Issue of Debentures as Collateral Security

- Sometimes debentures are issued as **security for a loan**.
- Two methods of accounting:

(A) **No Entry Method** – Just disclosure in Balance Sheet (contingent).

(B) **Entry Method** –

Debenture Suspense A/c Dr.
 To Debentures A/c

7. Interest on Debentures

- Debenture holders receive **fixed interest**, even if the company has no profit.
- Entry for interest due:

Interest on Debentures A/c Dr.
 To Debenture Holders A/c

- Entry for payment:

Debenture Holders A/c Dr.
 To Bank A/c

- Interest is a **charge against profit** (shown in P&L A/c).
-

8. Difference between Shares and Debentures

Basis	Shares	Debentures
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Ownership

Represent ownership of

Represent loan to company

Basis	Shares	Debentures
	company	
Return	Dividend (only if profit)	Fixed interest (whether profit or not)
Position	Shareholders are owners	Debenture holders are creditors
Voting Rights	Yes	No
Security	Not secured	Often secured against assets

9. Importance of Debenture Financing

- Provides long-term funds without diluting ownership.
- Interest is a tax-deductible expense → reduces tax burden.
- Suitable for companies with stable earnings.
- Burden of repayment at maturity may create financial pressure.

Summary:

Debentures are an important tool of raising long-term debt by companies. They may be issued at **par, premium, or discount**, or issued for consideration other than cash. Interest is payable at a fixed rate and treated as an expense. Debentures differ from shares since holders are creditors, not owners.

Chapter 14 – Redemption of Debentures

13.1 What is Redemption of Debentures?

When a company repays the principal amount to its debenture holders, it is called **Redemption of Debentures**.

- It is done at the time of **maturity period**.
 - Payment can be made **at par (face value)** or **at premium**.
-

13.2 Methods of Redemption

(i) Lump-sum Method

- All debentures are repaid together (on the same date).
- Example: After 5 years, the company repays all debenture holders in one go.

(ii) Instalment Method

- Some debentures are redeemed every year in instalments.
- Gradually, all debentures are retired.

(iii) Purchase in Open Market

- The company buys back its own debentures from the open market and cancels them.
- Advantage: If debentures are available at a lower (discounted) price in the market, the company gains.

(iv) Conversion Method

- Instead of paying in cash, the company offers shares or new debentures to debenture holders.
 - In this case, no cash outflow takes place.
-

13.3 Redemption at Par and Premium

- **Redemption at Par** → Payment equals the face value.

-
- **Redemption at Premium** → Payment equals face value + **additional premium**.
 - The premium is paid out of **Securities Premium Reserve** or **Profit & Loss Account**.
-

13.4 Debenture Redemption Reserve (DRR)

- According to the Indian Companies Act, companies must create a **special reserve** for redemption of debentures.
 - This reserve is called **Debenture Redemption Reserve (DRR)**.
 - **Objective** → To protect the interests of debenture holders.
 - **Rules:**
 - Every year, the company must transfer a certain portion of its profits to the DRR.
 - After redemption, the DRR balance can be transferred back to free reserves.
-

13.5 Accounting Entries (Main Entries)

(i) Redemption Due:

Debentures A/c Dr
 To Debenture Holders A/c

(ii) Payment to Debenture Holders:

Debenture Holders A/c.....Dr
 To Bank A/c

(iii) Redemption at Premium:

Debentures A/c Dr
Premium on Redemption of Debentures A/c Dr
 To Debenture Holders A/c

13.6 Conversion of Debentures into Shares

If debentures are converted into shares:

Debentures A/c..... Dr

To Share Capital A/c
To Securities Premium A/c (if issued at premium)

13.7 Redemption through Sinking Fund (or Insurance Policy)

- The company sets aside a fixed amount every year in a **Sinking Fund / Insurance Policy**.
 - At maturity, these investments are sold, and the proceeds are used to repay debentures.
 - This avoids a sudden large financial burden on the company.
-

Summary

- **Redemption** = Repayment of debentures (at par or premium).
 - **Methods** = Lump-sum, Installments, Open Market Purchase, Conversion.
 - **DRR** = Reserve created for the protection of debenture holders.
 - **Conversion** = Issue of shares/new debentures instead of cash payment.
-

Chapter 15 – Financial Statements of a Company

14.1 Introduction

- A company has to prepare its accounts according to the **Companies Act, 2013** and **Schedule III**.
- The main financial statements are:
 1. **Statement of Profit & Loss**
 2. **Balance Sheet**

The objective is to show the **profitability** and **financial position** of the company.

14.2 Statement of Profit and Loss

This statement shows the **incomes and expenses** of a company.

Structure:

1. **Revenue from Operations**
 - Sale of goods and services
 - Other operating income
 2. **Other Income**
 - Interest, rent, dividend, etc.
 3. **Total Revenue = (1 + 2)**
 4. **Expenses**
 - Cost of materials consumed
 - Purchase of stock-in-trade
 - Changes in inventories
 - Employee benefit expenses (wages, PF, etc.)
 - Finance costs (interest)
 - Depreciation & amortization
 - Other expenses (rent, electricity, advertisement, etc.)
 5. **Profit before Tax (PBT) = Total Revenue – Total Expenses**
 6. **Tax Expense**
 7. **Profit after Tax (PAT)**
-

14.3 Balance Sheet

The balance sheet shows the **financial position** of a company on a particular date (usually at year-end).

Structure (as per Schedule III):

I. EQUITY & LIABILITIES

1. Shareholders' Funds

- Share Capital
- Reserves & Surplus

2. Non-Current Liabilities

- Long-term borrowings
- Deferred tax liabilities

3. Current Liabilities

- Short-term borrowings
- Trade payables (creditors)
- Other current liabilities
- Short-term provisions

II. ASSETS

1. Non-Current Assets

- Fixed assets (tangible & intangible)
- Non-current investments
- Long-term loans & advances

2. Current Assets

- Inventories (stock)
- Trade receivables (debtors)
- Cash & cash equivalents
- Short-term loans & advances

14.4 Notes to Accounts

- Along with the balance sheet and profit & loss statement, a company must also provide **additional information**.
- Examples:
 - Method of depreciation
 - Details of share capital (64authorized, issued, paid-up)
 - Details of reserves

- Contingent liabilities (possible liabilities)

14.5 Features of Financial Statements

1. **Legally mandatory** to prepare.
 2. Prepared in a **standard format** (Schedule III).
 3. Ensure **transparency** and **comparability**.
 4. Help stakeholders in decision-making.
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Summary

- **P&L A/c** → Statement of income & expenses (Profitability).
 - **Balance Sheet** → Statement of assets & liabilities (Financial Position).
 - **Notes to Accounts** → Additional explanations.
-

Chapter 16 – Analysis of Financial Statements

15.1 Introduction

- Analysis of financial statements is a systematic process through which a company's **profitability, liquidity & solvency, and operational efficiency** are evaluated.
- This analysis helps investors, creditors, management, and other stakeholders understand the financial position of the company in depth.

15.2 Objectives

1. To evaluate the company's ability to earn profit.
2. To assess the capacity to repay short-term and long-term debts.
3. To study the efficiency of resource utilization.
4. To compare with other companies and industry standards.
5. To provide a basis for future plans and policies.

15.3 Techniques of Analysis

(i) Comparative Statements

- Financial statements of two or more years are compared.
- The percentage increase or decrease shows the financial trends of the company.

(ii) Common-Size Statements

- Each item is expressed as a percentage of a base amount (like sales or total assets).
- Useful for comparison between companies of different sizes.

(iii) Trend Analysis

- One base year is selected and the trend of subsequent years is studied.
- Shows whether the company's growth is positive or negative.

(iv) Ratio Analysis

- Ratios are calculated by comparing two related financial figures.
- Ratios are classified into four major categories:
 1. **Liquidity Ratios** – Short-term payment capacity (e.g., Current Ratio, Quick Ratio).
 2. **Solvency Ratios** – Ability to meet long-term obligations (e.g., Debt-Equity Ratio).
 3. **Profitability Ratios** – To measure profitability (e.g., Gross Profit Ratio, ROI).
 4. **Activity Ratios** – Operational efficiency (e.g., Inventory Turnover Ratio).

(v) Cash Flow Analysis

- Shows sources and uses of cash.
- Explains how cash is affected by operations, investments, and financing activities.

15.4 Limitations of Financial Statement Analysis

1. Based on **historical data**, so it cannot predict the future accurately.
2. Comparisons may not always be reliable due to differences in accounting policies.
3. Ratios and techniques are only indicators, not final conclusions.
4. Data can sometimes be manipulated by management (Window Dressing).

15.5 Summary

- Analysis of financial statements is a systematic evaluation of a company's financial position.
 - Main techniques: **Comparative Statements, Common-Size Statements, Trend Analysis, Ratio Analysis, Cash Flow Analysis.**
 - Helps stakeholders gain deep insights into performance and stability, but limitations must be kept in mind while interpreting.
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Chapter 17 – Accounting Ratios

16.1 Introduction

- Accounting Ratios are used for comparative analysis of financial data.
- A ratio is a quantitative relationship between two related items.
- Ratios measure **liquidity, solvency, profitability, and efficiency** of a company.

16.2 Objectives of Ratio Analysis

1. To evaluate financial position and performance.
2. To assist management in decision-making.
3. To assure investors and creditors.
4. To compare across years and companies.
5. To provide a basis for future plans and policies.

16.3 Types of Ratios

(A) Liquidity Ratios (Short-term payment capacity)

1. **Current Ratio** = Current Assets ÷ Current Liabilities → Standard = 2:1
2. **Quick Ratio (Acid-Test Ratio)** = (Current Assets – Inventory – Prepaid Expenses) ÷ Current Liabilities → Standard = 1:1

(B) Solvency Ratios (Long-term financial stability)

1. **Debt-Equity Ratio** = Debt ÷ Equity → Standard = 2:1
2. **Proprietary Ratio** = Shareholders' Funds ÷ Total Assets
3. **Interest Coverage Ratio** = EBIT ÷ Interest → Shows how easily the company can pay interest.

(C) Profitability Ratios (Earning capacity)

1. **Gross Profit Ratio** = Gross Profit ÷ Net Sales × 100
2. **Net Profit Ratio** = Net Profit ÷ Net Sales × 100
3. **Operating Ratio** = Operating Cost ÷ Net Sales × 100
4. **Return on Investment (ROI)** = Net Profit ÷ Capital Employed × 100
5. **Earnings per Share (EPS)** = Net Profit after Tax ÷ Number of Equity

Shares

(D) Activity Ratios (Efficiency in resource utilization)

1. **Inventory Turnover Ratio** = $\text{Cost of Goods Sold} \div \text{Average Inventory}$
→ Shows how many times stock is sold and replaced.
 2. **Debtors (Receivables) Turnover Ratio** = $\text{Net Credit Sales} \div \text{Average Debtors}$ → Indicates speed of collection from debtors.
 3. **Creditors Turnover Ratio** = $\text{Net Credit Purchases} \div \text{Average Creditors}$
 4. **Working Capital Turnover Ratio** = $\text{Net Sales} \div \text{Working Capital}$
-

16.4 Limitations of Ratio Analysis

1. Ratios are only indicators, not complete solutions.
 2. Based on **historical data**.
 3. Comparisons may be misleading due to different accounting policies.
 4. Window Dressing may distort results.
-

16.5 Summary

- Ratios are classified into 4 categories: **Liquidity, Solvency, Profitability, Activity**.
 - Useful for management, investors, and creditors.
-

Chapter 18 – Cash Flow Statement

17.1 Introduction

- A Cash Flow Statement is a financial statement that shows **inflow and outflow of cash & cash equivalents** during a specific period.
 - Prepared as per **Accounting Standard – 3 (AS-3)**.
 - It shows the liquidity and cash management position of a company.
-

17.2 Components of Cash Flow

(i) Operating Activities (Cash from main business operations)

- **Cash Inflows:**
 - Cash from sales of goods
 - Cash from services
 - Dividend/interest received (in some cases)
- **Cash Outflows:**
 - Payments to suppliers
 - Wages & salaries
 - Payment of taxes
- **Operating Cash Flow = Operating Receipts – Operating Payments**

(ii) Investing Activities (Cash from purchase/sale of long-term assets & investments)

- **Cash Inflows:**
 - Sale of fixed assets
 - Sale of investments
 - Interest/dividend received (in some cases)
- **Cash Outflows:**
 - Purchase of fixed assets
 - Purchase of investments

(iii) Financing Activities (Cash from raising or repaying capital & loans)

- **Cash Inflows:**
 - Issue of shares
 - Issue of debentures/loans
- **Cash Outflows:**

- Payment of dividends

-
- Repayment of debentures/loans
 - Buyback of shares
-

17.3 Cash & Cash Equivalents

- Cash in hand
 - Cash at bank
 - Short-term investments (up to 3 months)
 - Marketable securities
-

17.4 Methods of Preparing Cash Flow Statement

(A) Direct Method – Cash receipts and payments are listed directly to find net cash flow.

(B) Indirect Method – Starts from Net Profit, adjusts for Non-Cash Items (like depreciation) and Working Capital Changes to calculate operating cash flow.

17.5 Importance

1. Shows company's cash position and liquidity.
 2. Helps in short-term and long-term planning.
 3. Provides actual cash position to investors and creditors.
 4. Helps understand difference between profit and cash flow.
-

17.6 Limitations

1. Shows only **cash transactions**, ignores non-cash items (like depreciation, credit sales).
 2. Indicates liquidity, not profitability.
 3. Based on past data, so cannot predict future accurately.
-

17.7 Summary

- **Cash Flow Statement = Cash Inflows – Cash Outflows.**

- Three parts: **Operating, Investing, Financing.**

-
- Methods: **Direct and Indirect.**
 - Importance = shows true picture of liquidity and cash management.
 - Limitations = Non-cash items not included.
-

Part II
AUDITING

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Part I

Audit

The term 'audit' originated from the Latin word 'audire' which means 'to hear'? ▪ The increased complexity of a business has greatly expanded the scope of auditing. ▪ Although it includes the examination of cash transactions, yet the main object of modern audit is to verify the financial position of a business as disclosed by its Balance Sheet and Profit and Loss Account.

Auditing

Auditing is a systematic and independent examination of data, statements, records, operations and performances (financial or otherwise) of an enterprise to ensure the compliance with certain set standards

Difference between Accountancy and auditing

S. No.	Basis of Difference	Accountancy	Auditing
1	Function	Includes in its scope the task of recording, classifying, and summarizing financial transactions.	Includes in its scope the examination and verification of the work of accountancy.
2	Beginning	Begins where bookkeeping ends.	Begins where the work of accountancy ends.
3	Basis	Not based upon auditing.	Completely based upon accountancy.
4	Qualification	No predetermined qualification required for doing the work of accountancy.	Requires professional qualification; the person must be a Chartered Accountant.
5	Report	The accountant is not required to submit any report about his work.	It is mandatory for the auditor to submit a report about his findings.

Objectives of Auditing:

1. Primary Objectives:

- **Enhances Credibility:** Auditing enhances the credibility of financial statements by providing assurance to stakeholders that the information provided is reliable and accurate.
- **Prevents Fraud:** Auditing helps in detecting and prevent fraud by examining the financial statements of a company and identifying any irregularities.
- **Improves Internal Control:** Auditing helps in improving internal controls by identifying weaknesses in the internal control system and providing recommendations for improvement.
- **Ensures Compliance:** Auditing ensures that the company complies with laws and regulations by examining the financial statements and verifying that they are prepared in accordance with accounting principles.

2. Secondary Objectives:

- **Detection of Clerical Errors:** Identify arithmetic mistakes, omissions, or duplications.
- **Performance Review:** Assess the effectiveness and efficiency of financial controls and internal processes.
- **Improvement Recommendations:** Suggest improvements in the organization's internal controls and financial practices.

Types of Audit

A) On the Basis of Ownership

1. **Audit of Proprietorship:** In case of sole-proprietor- ship, the owner himself takes the decision to get the accounts audited.
2. **Audit of Partnership:** To avoid mis-statement of financial statements, partners audit their accounts. Auditor is appointed by the mutual consent of all the partners.
3. **Audit of Companies:** Under Companies Act, audit of company accounts in India has been made compulsory. Chartered accountant who is professionally qualified is required for the audit of company accounts.
4. **Audit of Accounts of Co-operative Societies:** The auditor of the Co-operative Society should have an expert knowledge of the particular act under which Co-operative society is functioning.

5. **Government Audit:** A separate department is maintained by government of India known as Accounts and Audit Department for carrying out the auditing of Government accounts. This department is headed by the Comptroller and Auditor General of India and works only for the government offices and departments.

B) Based on Time

1. Interim Audit:

- When an audit is conducted between two annual audits, such audit is known as Interim audit.
- It may involve complete checking of accounts for a part of the year. Sometimes it is conducted to enable the board of directors to declare an Interim dividend. It may also be for the purpose of dealing with interim figures of sales.

2. Continuous Audit: The Continuous Audit is conducted throughout the year or at the regular short intervals of time.

3. Final Audit: Final Audit means when the audit work is conducted at the end of the financial year

C) Based on Objectives

1. Internal Audit:

- It implies the audit of accounts by the staff of the business.
- internal audit is an appraisal activity within an organization for the review of the accounting, financial and other operations as basis for protective and constructive service to the management.
- it is a type of control which functions by measuring and evaluating the effectiveness of other types of control. It deals primarily with accounting and financial matters but it may also properly deal with matters of operating nature.

2. Cost Audit: Cost audit is the verification of the correctness of cost accounts and adherence to the cost accounting plans. Cost audit is the detailed checking of costing system, techniques and accounts to verifying correctness and to ensure adherence to the objectives of cost accounting.

3. Secretarial Audit: Secretarial audit is concerned with verification compliance by the company of various provisions of Companies Act and other relevant laws.

Secretarial audit report includes: (a) whether the books are maintained as per companies act, 2013 (b) whether necessary approvals as required from central Government, Company law board or other authorities were obtained

4. Independent Audit:

- Is conducted by the independent qualified auditor. The purpose of independent audit is to see whether financial statements give true and fair view of financial position and profits.
- mainly it is for safeguarding the interest of owners, shareholders and other parties who do not have knowledge of day- to-day operations of organization.

5. Tax Audit:

- Now-a-days, tax audit has become very important to ascertain the accuracy of tax related documents. Tax audit mostly covers income returns, invoices, debit and credit notes and various current and fixed assets.
- Tax audit is an innovation of 21st century. It has added one more chapter to the practice of auditing. Tax audit ensures the validity and credibility of tax related documents.

6. Information Systems Audit:

- Information systems audit focuses on evaluating an organization's IT systems, processes, and controls to ensure data integrity, confidentiality, and availability.
- Information systems audits typically involve reviewing the organization's IT infrastructure, security measures, data management practices, and compliance with IT policies and standards.

7. Performance Audit:

- Performance audit focuses on evaluating an organization's performance and results achieved against established goals, targets, or benchmarks.
- Performance audits can be conducted by external auditors, internal auditors, or other specialized auditors, and can cover various areas such as government programs, non-profit organizations, and private businesses. Qualities and Qualifications of an Auditor

The qualities of an auditor as classified below.

1. Professional qualification, i.e., Statutory qualification
2. Professional qualities, i.e., Personal qualification

3. Personal qualities, i.e., General qualities

1. Professional Qualification/Statutory Qualification of an Auditor:

- In the case of sole trading concern and partnership the law has not prescribed any qualification for an auditor. However, in the case of auditors of joint stock companies, the auditor must be a Chartered Accountant within the meaning of Chartered Accountant Act, 1949.
- He must pass Chartered Accountant (CA) examination conducted by the Institute of Chartered Accountants of India (ICAI)
- to be entitled to practice, a chartered accountant should obtain a certificate of practice from the council of the ICAI on payment of a prescribed annual fee.

2. Professional Qualities/Personal Qualification of an Auditor:

- (a) The auditor must have a thorough knowledge of the principles, theories and practice of accounting.
- (b) The auditor must be familiar with the different system of accounting and their aspects. He must have knowledge of all branches of accounting
- (c) He should have a thorough knowledge in various legislation regulating business such as Companies Act, the Indian Partnership Act, Banking and Insurance Act, Sale of Goods Act, the Indian Contract Act, etc.
- (d) He should well aware of the techniques of auditing.
- (e) An auditor should have a good knowledge in business organization and financial administration, and industrial management.

3. Personal Qualities/General Qualities of an Auditor:

- (a) Honest
- (b) Tactful
- (c) Ability to Work Hard
- d) Impartial
- (e) Cautious and Vigilant
- (f) Methodical

(g) Ability to Trace out Facts and Figures

(h) Courageous

(i) Ability to Maintain Secrets

(j) Ability to Communicate

(k) Common Sense

Part II

Meaning of an Auditor

- an auditor is an independent professional who is appointed to review and assess the accuracy and validity of a company's financial statements.
- the primary role of an auditor is to ensure that the company's financial reports are free from material misstatements and in compliance with generally accepted accounting principles (GAAP), legal regulations, and other statutory requirements.

Auditors can be:

1. External Auditors: Independent professionals or firms appointed to audit a company's financial statements.
2. Internal Auditors: Employees or consultants who review internal processes, risk management, and internal controls within an organization.

Appointment of an Auditor the Provision regarding appointment of an auditor are contained in section 224 of the companies Act.

- 1 First auditor
2. Subsequent auditor
3. Appointment by Central Government
4. Appointment against the casual vacancy
5. Appointment by special resolution
6. Appointment of auditor of Government or certain other companies

1. First Auditor:

- Private Company: The Board of Directors appoints the first auditor of a private company within 30 days of incorporation. If the Board fails to appoint the auditor within this period, the company's shareholders are responsible for the appointment within the next 90 days.
- Public Company: Similar to private companies, the Board of Directors appoints the first auditor within 30 days of incorporation. If the Board does not appoint, the shareholders will appoint the auditor within the next 90 days.

2. Subsequent Auditor: This auditor is appointed every year by the shareholders in annual general meeting by passing an ordinary resolution. If the auditor so appointed doesn't accept the appointment, the vacancy can neither be treated as casual nor a vacancy by resignation.

3. Appointment by Central Government: If no auditor is appointed at an annual general meeting then the Central Government may appoint the auditor to fill the vacancy.

4. Appointment against a Casual Vacancy: If the casual vacancy of auditor arises due to death, insanity or insolvency, etc. the Board of Directors can fill the vacancy under the Section 224 (6).

5. Appointment by Special Resolution: In Companies Act, 1974 Section 224A, provides that if 25% or more of the subscribed capital is held whether individually or collectively by: (a) A public financial institution or Government Company or any other state government (b) Any financial institution in which state government holds not less than 51% of the subscribed capital (c) A nationalized bank or any insurance company carrying on general insurance business

6. Appointment of Auditor in Government Companies For government companies or companies where the majority of the shareholding is owned by the government:

- The Comptroller and Auditor General (CAG) of India appoints the auditor within 180 days of the commencement of the financial year.

Qualities and Qualifications of an Auditor

The qualities of an auditor as classified below.

1. Professional qualification, i.e., Statutory qualification
2. Professional qualities, i.e., Personal qualification
3. Personal qualities, i.e., General qualities

Rights of an Auditor

1. Right to Access Books and Records
2. Right to Obtain Information and Explanations

-
3. Right to Visit Branches
 4. Right to Receive Notices and Attend Meetings
 5. Right to Sign the Audit Report
 6. Right to Report to Shareholders
 7. Right to Seek Legal or Expert Advice
 8. Right to Remuneration

Duties of an Auditor

1. Duty to Conduct the Audit with Due Diligence
2. Duty to Report on True and Fair View
3. Duty to Detect Fraud and Errors
4. Duty to Follow Auditing Standards
5. Duty to Maintain Confidentiality
6. Duty to Make a Qualified or Clean Report
7. Duty to Verify Assets and Liabilities
8. Duty to Report to Regulatory Authorities
9. Duty to Enquire into Specific Matters The auditor has a duty to inquire into certain specified matters under the Companies Act, such as:
 - Whether loans and advances made by the company are properly secured and accounted for.
 - Whether the company's transactions are prejudicial to the interests of its members.
 - Whether personal expenses are charged to revenue.
10. Duty to Avoid Conflict of Interest

Removal of Auditor

An auditor can be removed from office before the expiry of their term only by passing a special resolution in the general meeting and obtaining approval from the Central

Government. The auditor is given an opportunity to present their case before the removal process is finalized.

Remuneration of Auditor

- The remuneration of the auditor is determined by the shareholders in the AGM or by the Board of Directors when appointing the first auditor.
- The remuneration includes the audit fees, expenses incurred during the audit, and any other professional charges.

Disqualification of Statutory Auditor

1. Body Corporate: A corporate entity (except LLP) cannot be an auditor.
2. Officer or Employee: An officer or employee of the company is disqualified.
3. Relative or Partner: A partner or relative of an officer/employee is not eligible.
4. Financial Interest: Anyone holding securities or financial interest in the company or its affiliates is disqualified.
5. Indebtedness: Anyone indebted to the company over ₹5 lakh cannot be appointed.
6. Restricted Services: Providing certain services (e.g., bookkeeping, internal audit) disqualifies a person.
7. Business Relationship: A person with significant business relationships with the company is disqualified.
8. Fraud Conviction: Conviction of fraud disqualifies a person for 10 years.
9. Relative of Director: A relative in a key managerial position in the company leads to disqualification.
10. Other Laws: Disqualification under any applicable law or regulation.

Part III

Verification of Assets

Verification of assets is a process by which the auditors examine the accuracy of the assets that appear in the balance sheet. The auditor needs to that the assets shown in the Balance Sheet are correct. Verification of assets involves the following points:

1. To compare the ledger accounts with the Balance Sheet;
2. To verify the physical existence of assets as on the date of Balance Sheet
3. To satisfy that the assets are free from any charge or mortgage and that the business under audit is the real owner gage thereof and that they are under proper custody
4. Adequate disclosure of information.

Valuation of Assets

- Valuation means estimation of the assets and liabilities of the business.
- It is the duty of Auditor to ensure that assets and liabilities are appearing in the balance sheet at their correct value.
- In the absence of proper valuation of assets and liabilities, they will be mis-stated.

The difference between Verification and Valuation

S. No.	Basis of Difference	Verification	Valuation
1	Meaning	Establishes existence, ownership, and acquisition of assets.	Certifies correctness of the value of assets and liabilities.
2	Evidence	Title deed, receipt for payments, and other documents constitute evidence.	Certificate offered by the owner, directors, or experts serves as evidence.
3	Checking	Auditor verifies whether the value ascertained is fair or not.	Involves critical examination of the value of assets and comparative analysis.
4	View	Includes valuation, examination of ownership rights, existence of assets, and freedom from any charge.	Tests the exact value of an asset on the basis of its utility.
5	Work	Considered the final work.	Considered the initial work, which needs to be verified later.
6	Personnel	Performed by the auditor.	Done by the concerned authority or board of the company.
7	Time	Conducted at the end of the year.	Done throughout the year.

Vouching

Vouching is a procedure followed in the auditing process to authorise the credibility of the entries entered in the books of accounts. In simple and easier words, it can be understood as an investigation by an auditor of the documents presented by the firm to check the correctness of such documents. In general, vouchers are majorly divided into two parts

1. Primary Vouchers: The bills or the documents that are available in the original copy are known as primary vouchers.
2. Collateral Vouchers: These are the bills that are available in a duplicate copy.

Sources of Vouchers

There are two sources of vouchers.

- Internal Vouchers: The vouchers prepared by the company itself are termed as internal vouchers, such as sales invoices.
- External Vouchers: The vouchers created outside the organization are termed as external vouchers such as bank statements.

Objectives of Vouching

1. To ensure that all the transactions took place during the financial year for the business only (not for personal use) appropriately recorded in the books of accounts with true and fair evidence.
2. To check the accuracy of the totaling and carrying forward amount recorded in the books.
3. To ensure that the person responsible for the business has verified his records.
4. To make the financial records free from malpractices.
5. To make sure that law has been followed while preparing financial records.

Audit Report

An Audit report is a formal document issued by an auditor that provides the auditor's opinion on the accuracy and fairness of a company's financial statements. It represents the outcome of an audit process and gives assurance to stakeholders, such as investors,

regulators, and management that the financial records are free from material misstatements, whether due to fraud or error.

Components of an Audit Report:

1. **Title:** It clearly identifies that the report is from independent auditors.
2. **Addressee:** The report is usually addressed to the shareholders or the board of directors of the company.
3. **Introduction:** Briefly explains what financial statements were audited and the responsibility of both management and the auditor.
4. **Scope:** Describes the scope of the audit, the auditing standards followed, and the procedures conducted.
5. **Auditor's Opinion:** This is the key part of the report, stating the auditor's opinion on whether the financial statements are presented fairly.
6. **Signature of the Auditor:** The auditor or the auditing firm's signature.
7. **Date of the Report:** The date the audit is completed.
8. **Auditor's Address:** The office location of the auditor or audit firm.

Types of Audit Reports

- Unqualified Audit Report (Clean Report)
- Qualified Audit Report:
- Adverse Audit Report:
- Disclaimer of Opinion:

1. Unqualified Audit Report (Clean Report):

- Issued when the financial statements are free of material misstatements and conform to Generally Accepted Accounting Principles (GAAP).
- Indicates that the financial health of the company is represented fairly and accurately.
- This is the best type of report a company can receive.

2. Qualified Audit Report:

- Issued when the financial statements are mostly accurate, but there are specific exceptions or limitations (e.g., a scope limitation or a disagreement with management).

-
- The report explains the areas of concern but overall gives a qualified opinion.
 - Example: A lack of sufficient evidence for a certain area, or noncompliance with a particular accounting principle, but the rest of the financials are fairly presented.

3. Adverse Audit Report:

- Issued when the auditor determines that the financial statements are not accurate or are materially misstated and do not comply with accounting standards.
- This is a very serious report and signals significant problems with the financial health or accounting practices of the company.

4. Disclaimer of Opinion:

- Issued when the auditor cannot form an opinion on the financial statements due to a significant limitation in the audit scope or lack of sufficient evidence.
- The auditor declines to provide an opinion, often because they were unable to obtain enough information to perform a proper audit.

Part III
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- 15.7 Ayushman Bharat (AB)

Chapter 1: Origin and Development of Insurance

The history of the origin and development of insurance in India is thousands of years old, and its reference is found in ancient religious texts.

- In the Shrutis, the word Yogakshema was used for insurance, which means prosperity and protection of people.

- References to insurance are also found in the Manusmriti, Dharmashastra, and Arthashastra. At that time, insurance meant protection of wealth and people from natural calamities such as fire, flood, disease, and untimely death.

Development of Insurance

In the development sequence of insurance, marine insurance is considered the first. After the 14th century, fire insurance, life insurance, and various other types of insurance gradually came into practice.

Marine Insurance

- In ancient times, in various countries, trade was done through sea routes, in which many types of risks had to be faced.

- At that time, there was no advanced technology-based navigation.

Therefore, various methods were adopted to deal with dangers.

- The first method was sharing of losses. Under this, all traders would contribute to cover the damage to goods being carried on a ship. This was called General Average.

- The second method was the Bottomry Bond, which was the practice of giving a special loan related to sea trade.

- Under this loan, it was given on the condition that if the sea voyage is completed safely, the loan along with interest will be repaid, but if the ship sinks or is destroyed, the loan would be forfeited.

- The systematic form of marine insurance started in Italy in the early 13th century, and in 1523 AD, an ordinance called the Ordinance of Florence was implemented. After this, insurance-related laws were created.

- Marine insurance began in England in the 16th century, and in 1575 AD, an organization called the Chamber of Assurances was established in London.

- This institution was responsible for the registration of insurance policies and resolving policy-related disputes. In 1720 AD, for conducting marine insurance business in England, two chartered companies were established.

- Royal Exchange Assurers and London Assurers, both these companies played a very important role in marine insurance. In 1688 AD, Edward Lloyd's Coffee House in England became world-famous for making marine insurance business prosperous.

Fire Insurance

- After marine insurance, fire insurance began in London in 1681 with the establishment of the Fire Insurance Office.
- In 1774, the Union Fire Office was also established, and in 1710, this business started in Calcutta, India.
- By 1825, the Alliance British & Foreign Insurance Company began large-scale fire insurance operations.

Life Insurance

- Life insurance began in England in the 16th century, and in the 17th century, the Amicable Company and the Society for Equitable Assurances on Lives and Survivorships were established.
- In India, life insurance began in 1818 with the establishment of the Oriental Life Insurance Company in Calcutta. Later, in 1823, 1829, and 1897, other companies were also established.
- In 1956, life insurance was nationalized, when the Life Insurance Corporation of India (LIC) was created as a large organization. Until April 2000, the monopoly of LIC remained, but after that, private companies were allowed to enter the insurance sector.

Chapter 2: Meaning and Definitions of Insurance

Meaning of Insurance

Insurance is a means by which, by paying a small fee (called a premium), the loss arising from a specific risk (called a peril or insured risk) is covered.

- The burden of loss is transferred from the insured person to the insurer, which is called insurance.

Definitions of Insurance

- Sir William Beveridge: Insurance is the collective bearing of risks of life.
- John Mangi: Insurance is a scheme through which a large number of individuals collectively bear risks.
- Densdale: Insurance is a means through which uncertainty is reduced.
- McGill: Insurance is a process by which certainty replaces uncertainty.

Conclusion from all definitions:

Insurance is a process where, for protection against a specific risk, many individuals contribute together. From this contribution, compensation is given to those individuals who face loss due to risk.

Chapter 3: Nature of Insurance

Nature of Insurance

- Insurance is a system where a large group of people collectively protect themselves from certain risks.

- It is based on the principle of cooperation.

- Through insurance, the economic losses of an individual are distributed among many people.

- Compensation is given only up to the maximum limit of loss, not beyond it.

- The system is based on the Theory of Probability and the Theory of Large Numbers.

- Insurance is neither gambling nor donation. It can prevent reaching a loss and can also provide profit, but insurance is not a profit-making arrangement. It is only a means to cover the loss when it happens.

- Insurance is one of the many ways to deal with risks. But not all risks are insurable. This is the limitation of insurance.

Chapter 4: Functions of Insurance

Functions of Insurance

Primary Functions of Insurance

1. Providing Certainty

- The main purpose of insurance is to reduce uncertainty of future events and provide certainty.

2. Providing Security

- Human life is full of uncertainties and risks of premature death. Insurance provides security by ensuring certainty.

3. Distribution of Risks

- Insurance distributes business-related risks. The losses of some unfortunate individuals are shared by a large group of people who pay insurance premiums.

Secondary Functions of Insurance

1. Capital Formation

- Insurance institutions make a significant contribution to capital formation in the economy.

2. Enhancing Business Efficiency

- Business involves various risks, and insurance helps in covering them, which allows businesses to focus better on their activities.

3. Contribution in Loss Prevention

- While selecting risks for insurance, insurers suggest ways to reduce them.

Research and promotion of loss-prevention methods get an important contribution from insurance.

4. Providing Financial Stability

- Insurance provides financial stability because sudden risks can cause instability.

- Example: If natural calamities, accidents, thefts, or fires occur, industries and businesses may suffer losses. Insurance provides compensation, helping avoid economic crisis and maintain stability.

Chapter 5: Usefulness of Insurance

Usefulness of Insurance

Insurance provides benefits to businesses, society, and individuals.

Benefits of Insurance to Business

1. Means of Financial Security

- Insurance provides protection against unforeseen losses, which leads to the growth of industries and business organizations.

2. Increase in Business Efficiency

- Because of insurance, businesspersons get freedom from large-scale risks. They can focus more of their resources and energy on business, resulting in growth.

3. Basis for Credit

- Companies and institutions that provide loans are willing to give credit to businesses if they have insurance for different risks.

4. Means of Savings

- By saving through insurance, individuals can accumulate funds. Life insurance is considered both a protection plan and a savings tool.

Benefits of Insurance to Society

1. Freedom from Business Instability

- Insurance helps society overcome the negative effects of business fluctuations and maintains stability in trade and commerce.

2. Stability in Standard of Living

- Insurance protects families from sudden financial loss due to death or accidents of earning members. It helps maintain the standard of living of dependents.

3. Capital Formation

- Premiums collected from policyholders are invested by insurance companies into productive sectors. A large fund is created, leading to capital formation in the economy.

Benefits of Insurance to Individuals

1. Protection from Risks

- Individuals get security from different types of risks and uncertainties of future losses.

2. Freedom from Worry of Losses

- For an individual, the real concern is the possibility of loss. Insurance relieves this concern because losses, if they occur, are compensated.

3. Provision for Family Needs

•Life insurance fulfills various family requirements, such as financial security for dependents in case of premature death, children's education, marriage, housing, health care, old age, and other needs.

Chapter 6: Types of Insurance

Types of Insurance

Based on the origin and development of insurance, it can be divided into the following types:

Marine Insurance

- The cheapest and best means of water transport is marine insurance. It provides security against the possibility of loss or damage to ships or goods during water transportation.
- Marine insurance provides protection against loss or damage caused to ships, cargo, and freight.

Fire Insurance

- Fire insurance provides relief from financial loss due to destruction of assets caused by fire.
- It covers losses to houses, shops, mills, factories, warehouses, etc., due to fire accidents.

Life Insurance

- Life insurance provides financial security to a family in case of untimely death of an earning member.
- It is also beneficial for old age because it provides additional insurance against old-age risks.

Social Insurance

- Social insurance refers to schemes that provide social security.
- Its main purpose is to provide protection against sickness, disability, old age, and unemployment.
- It helps society members overcome economic difficulties in such circumstances.

Miscellaneous Insurance

- All types of insurance other than life, fire, marine, and social insurance are included in miscellaneous insurance.
- In England, accident insurance and casualty insurance are included under this type.

Chapter 7: Classification of Insurance

Classification of Insurance

Insurance can be classified from two perspectives:

1. Based on Insurance Business
2. Based on Nature of Risks

Classification Based on Business

The main types of insurance businesses are:

- Life Insurance
- Social Insurance
- Marine Insurance
- Fire Insurance
- Miscellaneous Insurance

Classification Based on Business

- Life Insurance
- General Insurance
- Social Insurance
- Marine Insurance
- Fire Insurance
- Miscellaneous Insurance

Note:

•According to the Indian Insurance Act, 1938, Section 2, insurance business is classified into life insurance and general insurance.

(ii) General Insurance Business

•According to Section 2 of the Indian Insurance Act, 1938, general insurance business includes fire insurance, marine insurance, and miscellaneous insurance.

(iii) Social Insurance Business

- This insurance is operated for the welfare of weaker sections of society.
- It provides financial help and organized remedies in case of old-age pension, unemployment allowance, accidents, illness, disability, etc.

Classification Based on Nature of Risk

The main types under this classification are:

(i) Personal Insurance

- It includes Life Insurance, Personal Accident Insurance, and Health Insurance.

(ii) Property Insurance

•This insurance provides protection against loss or damage to human property due to risk.

•Examples: Fire Insurance, Marine Insurance, Crop Insurance, Cattle Insurance, Machinery Insurance, etc.

(iii) Liability Insurance

•This covers all types of risks under which the insurance company has to compensate due to liabilities of the insured.

•Examples: Public Liability Insurance, Workmen's Compensation Insurance, etc.

(iv) Guarantee Insurance

•This covers all insurances where the insurance company gives a guarantee or assurance for another party's honesty, trustworthiness, or performance.

•Example: Protection against fraud, embezzlement, and dishonesty of employees.

- If losses occur, the insurer compensates them.

Chapter 8: Principles of Insurance

Principles of Insurance

- The principles of insurance are the rules and guidelines that must be followed in every insurance business.
- They are essential for the validity of insurance.

Important Principles of Insurance:

1. Principle of Utmost Good Faith
2. Principle of Insurable Interest
3. Principle of Indemnity
4. Principle of Proximate Cause
5. Principle of Loss Minimization
6. Principle of Contribution
7. Principle of Subrogation

Principles of Insurance

(i) Principle of Utmost Good Faith

- Both the insurer and the insured must maintain utmost good faith towards each other.
- The insured is required to disclose all important facts related to the proposed risk truthfully and completely, and the insurer must provide complete and correct information about the insurance contract to the insured.

(ii) Principle of Insurable Interest

- For the subject matter of insurance, insurable interest is essential.
- This means that a person cannot insure a house, ship, or another person's life unless they have a financial interest in it. Insurance is only possible if the insured has a financial stake in the subject matter.

(iii) Principle of Contribution

- According to this principle, if the insured has taken insurance from multiple insurers for the same claim, then in the case of loss, all insurers contribute proportionally to compensate the insured.

(iv) Principle of Proximate Cause

- According to this principle, the insurance policy covers only those losses which are the result of risks described in the policy.
- If a loss occurs due to two or more causes, it will be compensated only if the proximate (nearest) cause is covered under the policy.

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- Proximate cause means the most effective and primary cause of the loss.

(v) Principle of Mitigation of Loss

• It is the duty of the insured to take reasonable steps to minimize the loss or damage to the insured property after the risk occurs, just as a prudent person would act in such circumstances.

(vi) Principle of Indemnity

• All contracts of fire insurance or general insurance are contracts of indemnity.

• According to this principle, the insurer compensates only the actual loss suffered by the insured due to the occurrence of the insured event, but not more than that.

• In other words, the insurer is liable to make good only that loss which occurred directly due to the insured risk.

(vii) Principle of Subrogation

• According to this principle, after the insurer compensates the insured for the loss, the insurer gets the right to take over the legal rights of the insured in respect of that property.

• For example, if the insured property is damaged and after the claim is settled, if anything of value remains from the damaged property, the ownership of such property automatically passes to the insurer.

• Therefore, the insurer prevents the insured from making a profit by selling the damaged property separately after receiving compensation.

Chapter 9: Insurance Regulatory and Development Authority of India (IRDAI)

Insurance Regulatory and Development Authority (IRDA)

- In 1993, the Malhotra Committee was formed to recommend reforms for the development of the insurance industry.

- Based on the committee's recommendations, the Insurance Regulatory and Development Authority (IRDA) was established in 1999.

Insurance Regulatory and Development Authority Act, 1999

With the passage of the Insurance Regulatory and Development Authority Act, 1999, from April 2000, a statutory regulatory body was established for the life insurance, general insurance, and health insurance industries in India, known as the Insurance Regulatory and Development Authority of India (IRDAI).

- Initially, it was called IRDA, but in 2014 it was renamed IRDAI.

- Its headquarters was first in Delhi, but in 2001 it was shifted to Hyderabad (Telangana).

Main Objectives

The IRDA, established under the IRDA Act, 1999, is a statutory body of the Government of India. Its main objectives include:

- Protecting the interests of insurance policyholders,
- Regulating, promoting, and ensuring orderly growth of the insurance industry,
- Handling other related and incidental matters.

Organizational Structure

According to Section 4 of the IRDA Act, 1999, the authority consists of a chairman, five whole-time members, and four part-time members, all appointed by the Central Government.

1. Chairman:

- Term of 5 years, eligible for reappointment.
- Maximum age should not exceed 65 years.

2. Whole-time Members:

- Maximum five, each with a term of 5 years, eligible for reappointment.

3. Part-time Members:

- Maximum four, each with a term of 5 years, but not eligible for reappointment.

Resignation or Removal from Office

- A member may resign from office but must notify the Central Government 3 months in advance (or earlier if permitted).

Grounds for removal from office:

- (i) If the member is declared insolvent.
- (ii) If convicted of a criminal offence involving moral turpitude.
- (iii) If engaged in misconduct detrimental to public interest.
- (iv) If acquired financial interest in a company that may affect duties.

Roles and Functions of IRDAI

- Registration and regulation of insurance companies, including granting, renewing, revoking, or suspending registrations.
- Protecting the interests of policyholders, settlement of insurance claims, and ensuring insurance terms are fair.
- Promoting efficiency in insurance business operations.
- Regulating and monitoring the functioning of the Tariff Advisory Committee.
- Ensuring financial stability of insurance companies and resolving disputes between insurers and insured.
- Regulating investment of funds by insurance companies.

Chapter 10: Life Insurance

Life Insurance

Life Insurance is a mechanism that provides protection against risks associated with life.

- It offers financial security to individuals and their families against unforeseen events.
- Through life insurance, a person can ensure financial protection for dependents in case of death or other life-related risks.

Importance of Life Insurance

- Apart from death, a person may become unable to work due to disability or old age.
- Because of these risks, life insurance becomes necessary to provide security against such uncertainties.
- All associated risks affect a person's income.
- Life insurance mainly protects against death, old age, and illness, thereby providing financial security from economic difficulties.

Importance of Life Insurance

Life Insurance as:

1. A Means of Security
 - Family Security
 - Education/Marriage arrangements
 - Old-age provision
 - Business/Professional security
 - Estate planning
2. An Investment
3. An Investment Institution
4. Other Benefits of Life Insurance
 - Efficiency, thrift, and social benefits

1. Life Insurance as a Means of Security

(i) Family Security:

- The earning member of the family can secure the family by purchasing life insurance.
- If he/she dies, the family receives financial support.

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- Thus, life insurance is the best means of family security.

(ii) Provision for Education/Marriage:

- Family expenses like children's education and marriage create financial pressure.
- If the earning member dies, life insurance helps cover such needs effectively.

(iii) Old-age Provision:

- Life insurance provides support during old age when physical strength reduces and earnings decline.
- Regular premium payments ensure financial support after retirement.

(iv) Business/Professional Security:

- Businessmen and professionals often face risks in their assets and income.
- Insurance provides financial protection against these uncertainties.

(v) Estate Duty Arrangement:

- The government levies estate duty on inherited property.
- Wealthy individuals, before their death, can plan through life insurance to ensure heirs are not burdened.
- The insurance payout can be used to settle estate duty obligations.

2. Life Insurance as an Investment

- Insurance provides security through premiums paid.
- Along with protection, it also serves as a form of investment.
- In this way, life insurance combines protection + savings.
- The amount invested earns returns, and upon maturity or death, the insured or their heirs receive financial benefits.

3. Life Insurance as an Investment Institution

- Among the different types of investment institutions, life insurance institutions are considered very important.
- Life insurance companies collect large sums in the form of premiums and invest them in productive and development-oriented programs.
- In this way, life insurance institutions play an important role in capital formation and also facilitate industrial and economic development.

4. Other Benefits of Life Insurance

(i) Efficiency:

- Life insurance frees individuals from worry and increases their efficiency.

(ii) Thrift and Savings:

- Life insurance develops thrift and savings among people.
- The insured is required to pay premiums regularly, which helps them develop the habit of thrift.
- Thus, life insurance is considered the best method for long-term savings.

(iii) Social Benefits:

- Life insurance helps families during crises, giving dependents the strength and respect to stand on their own feet.
- It provides support to the poor, helpless, and disabled.

Chapter 11: Life Insurance Corporation of India (LIC)

Life Insurance Corporation of India (LIC)

- LIC is the largest life insurance company in India and also the country's biggest investment institution.

- Established: 1st September 1956, with headquarters in Mumbai.

- On 19th June 1956, the Indian Parliament passed the Life Insurance Corporation Act, 1956, leading to the establishment of LIC.

- This was the result of the nationalization of the life insurance business and the implementation of the Industrial Policy Resolution, 1956.

- LIC sold 13.8 crore shares, in which the Industrial Credit and Investment Corporation of India Bank (ICICI) held a 2.2% stake.

- LIC later sold its 2% stake in ICICI Bank.

Role in Insurance Sector

- **Monopoly to Competition** – From 1956 till 2000, LIC enjoyed monopoly in the life insurance sector. After liberalization (IRDA Act, 1999), private insurers entered, but LIC still dominates.
- **Largest Life Insurer** – LIC is the biggest life insurance company in India in terms of **premium income, customer base, policies in force, and claim settlement ratio**.
- **Wide Network** – It has the **largest distribution network** with thousands of branch offices, agents, and satellite offices across India, even in rural and semi-urban areas.
- **Variety of Products** – LIC offers **endowment plans, term assurance, pension plans, unit-linked insurance plans (ULIPs), money-back policies, health insurance**, etc., catering to diverse needs.
- **Social Security Provider** – It plays a key role in providing **social security and financial inclusion**, especially for economically weaker sections through **low-premium policies and micro-insurance schemes**.
- **Trust and Brand Value** – LIC is often perceived as the **most trustworthy and reliable** insurer in India, which gives it an advantage over private players.

Contributions to Economy

- **Capital Mobilization** – LIC mobilizes **huge household savings** through premiums and invests them in productive sectors of the economy.

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- **Infrastructure Development** – It is one of the **largest institutional investors** in India, investing in **railways, roads, bridges, housing projects, power plants, irrigation, and industrial development**.
 - **Support to Government Borrowing** – LIC regularly invests in **government securities and bonds**, helping finance the fiscal deficit and development programs.
 - **Employment Generation** – Through its vast agent network, branch offices, and allied services, LIC provides **direct and indirect employment** to lakhs of people.
 - **Financial Stability** – As a strong institutional investor, LIC contributes to **stability in the financial markets**, acting as a buffer in times of economic crisis.
 - **Contribution to GDP** – Insurance penetration and density in India is significantly supported by LIC, thereby contributing to **overall economic growth and GDP share**.
 - **Global Presence** – LIC has expanded internationally with offices in countries like **Nepal, Fiji, Mauritius, Singapore, UAE, and UK**, promoting India's insurance footprint abroad.

Chapter 12: General Insurance

General Insurance

- After the nationalization of life insurance in 1956, the demand for nationalization of general insurance also started.
- With the expansion of the public sector and the success of Five-Year Plans, this demand grew stronger.
- However, the government did not make any decisions on this for several years.
- After the nationalization of 14 commercial banks in 1969, the demand for general insurance nationalization increased further.
- In 1971, the government took over the general insurance business.
- To fully implement nationalization, Parliament passed the General Insurance Business (Nationalization) Act, 1972, which came into effect on 1st January 1973.

General Insurance Corporation of India (GIC)

- This corporation was established by the Central Government on 22nd November 1972 under the Companies Act, 1956.
- Its registered office is located in Mumbai.
- According to the General Insurance Business (Nationalization) Act, 1972, GIC performs the following tasks:
 1. To carry on general insurance business efficiently and provide better insurance services.

Chapter 13: Insurance and Economic Development

Insurance and Economic Development

Insurance has become a strong foundation in fulfilling the socio-economic objectives of the Indian financial system.

For economic development, insurance plays a major role by:

- Mobilizing capital investments,
- Establishing industries,
- Expanding economic growth,
- Developing world trade,
- Financial intermediation, etc.

Role of Insurance in India's Economic Development

(i) Savings and Insurance:

- Insurance companies collect savings and invest them in productive activities.
- This becomes a major factor for economic development.

(ii) Capital Formation and Insurance:

- Capital formation is the foundation of a country's development.
- It includes industries, machinery, equipment, buildings, transport, and communication.
- Real savings, investment activities, and increased employment opportunities are the three essential steps in capital formation, and insurance plays an important role in this process.

(iii) Duties for Industrial and Social Sectors:

- Insurance companies are required to invest a specific part of their funds in government securities.
- In the last five years, this required proportion has been between 5%, 7%, 10%, 12%, and 15%.

(iv) Financial Intermediation:

- Insurance provides a system of financial intermediation.
- It helps mobilize funds and ensures their productive use, thus improving capital flow in the economy.

(v) Trade and Commerce Development:

- Insurance facilitates trade and commerce by providing security against risks.
- By promoting financial stability, it creates confidence in commercial activities.

- Social security is also strengthened, which reduces the burden on the government.

Chapter 14: Pension Fund Regulatory and Development Authority (PFRDA)

Pension Fund Regulatory and Development Authority (PFRDA)

- In India, to review policies related to old-age income security, the Government of India initiated a national project named OASIS in the year 1999.
- Based on the recommendations of the OASIS Report, the Government of India, leaving aside the armed forces, initiated a new defined contribution pension system for new entrants into the central and state government services.
- On 23rd August 2003, the Pension Fund Regulatory and Development Authority (PFRDA) was established in India through the process of increasing, developing, and regulating the pension system.
- The Pension Fund Regulatory and Development Authority Act was enacted on 19th September 2013, and it was notified in February 2014.
- PFRDA regulates NPS (National Pension System), under which employees of central and state governments, private institutions/organizations, and unorganized sectors are covered.

Functions of PFRDA:

- To educate customers and the general public on pension-related matters and systems.
- To support resolution of disputes between various intermediaries such as customers, banks, and intermediaries, and to establish a grievance redress system for customers.
- To support grievances related to various pension schemes in the country.
- The organization monitors and regulates everything related to pension funds and pension schemes, and promotes the old-age income security scheme through the pension regulatory fund.

Chapter 15: Government Insurance Schemes in India

Insurance Schemes Run by the Government of India

The major insurance schemes currently run by the Government of India are as follows:

Pradhan Mantri Suraksha Bima Yojana (PMSBY)

- This was announced in the annual budget of 2015-16 on 28th February 2015. It is a type of accident insurance policy under which a claim can be made for the insurance amount in case of death or permanent disability due to an accident.

- **Eligibility:** Persons aged between 18 and 70 years can enroll in this scheme, and for joining the scheme, a premium of ₹20 per annum must be paid by the subscriber.

- **Coverage:** In the event of death or permanent total disability due to an accident, ₹2 lakh will be paid; for permanent partial disability, ₹1 lakh will be paid.

Rashtriya Swasthya Bima Yojana (RSBY)

- The Rashtriya Swasthya Bima Yojana was started by the Ministry of Labour and Employment, Government of India, to provide health insurance coverage to families living below the poverty line (BPL).

Eligibility:

- Workers in the unorganized sector who come under the BPL category, and their family members (up to five members of a family unit) will get benefits under this scheme.

- Implementing agencies will be responsible for verifying the eligibility of workers and their family members from the unorganized sector, whose proposal for benefits under the scheme is submitted.

To identify beneficiaries, a smart card will be issued.

- **Benefit:** The total insurance amount will be ₹30,000 per family annually based on a family floater policy.

Contribution Pattern

- **Central Government Contribution:** The estimated annual premium of ₹750 will include 75% contribution by the central government, i.e., a maximum of ₹565 per family annually.

- **State Government Contribution:** Annual premium contribution of 25% by the state government.

Employees State Insurance Scheme (ESI Scheme)

•The Employees State Insurance Scheme (ESI) is managed by the Employees State Insurance Corporation (ESIC), which provides social security to workers in organized sectors in India. Its establishment is under the Employees State Insurance Act, 1948. The scheme applies to establishments where 10 or more persons are employed.

•This is a contributory scheme, applicable to employees whose monthly wages do not exceed ₹21,000. The contribution rate is 0.75% from the employee's wages and 3.25% from the employer's share, totaling a 4% monthly contribution towards the employee's insurance.

•For Persons with Special Ability (PwSA), the maximum wage limit is ₹25,000, and they are exempt from contributing ₹176 or less from their wages.

Benefits of the Scheme

1. Medical Benefits:

•Provides cashless medical treatment to the insured person or their family members in case of illness.

2. Sickness Benefit:

•Provides 70% of wages during sickness. In the case of serious illnesses, this is increased up to 80%.

3. Maternity Benefit:

•Female insured workers receive 100% of wages for 26 weeks during maternity leave.

4. Disability Benefit:

•In case of an accident at the workplace resulting in permanent disability, 90% of wages are paid. For permanent disability, the percentage of disability determines the lifelong pension amount.

5. Dependents' Benefit:

•If the insured person dies during employment, their dependents are provided a pension equivalent to 90% of wages.

Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)

- This scheme is available to people aged 18–50 years with a bank account, from which premium can be deducted through auto-debit. Under the scheme, for an annual premium of ₹436 (approximately ₹1 per day), a life insurance cover of ₹2 lakh is provided.
- The scheme covers both death due to accident and natural causes. It is administered by LIC (Life Insurance Corporation).

Pradhan Mantri Vaya Vandana Yojana (PMVVY)

- On 5th January 2018, the Government of India launched the Pradhan Mantri Vaya Vandana Yojana, a new pension scheme. Under this scheme, Indian citizens aged 60 years and above are eligible to invest for a fixed monthly return for 10 years
- This scheme is serviced and exempted from GST.
- In case of premature withdrawal of the scheme, 98% of the paid amount will be refunded, and in case of the pensioner's death during the policy period of 10 years, the nominee will be paid the accumulated corpus.

Aam Aadmi Bima Yojana (AABY)

- The Aam Aadmi Bima Yojana (AABY) is a social security scheme launched by the Government of India's Ministry of Finance on 2nd October 2007.
- The scheme provides life insurance coverage as well as coverage in cases of permanent or temporary disability to the head of rural landless families or working family members.
- The applicant's age under the scheme must be between 18 to 59 years.

Provisions of the Scheme

- In case of natural death of a member during the insurance coverage period, the nominee will receive ₹30,000.
- In case of death due to accident, the nominee will receive ₹75,000.
- In case of permanent disability, the insured person or nominee will receive ₹37,500.

Ayushman Bharat (AB)

- To achieve Universal Health Coverage (UHC), the Government of India adopted a major initiative called Ayushman Bharat, in line with the National Health Policy 2017.
- This initiative is designed to fully implement the Sustainable Development Goals (SDG) and its associated commitments to ensure that no one is left behind.
- Ayushman Bharat aims to remove regional and fragmented views of health service delivery and instead make a broader attempt toward universal health insurance services.
- The goal of this scheme is to comprehensively link primary, secondary, and tertiary health service systems.

- Ayushman Bharat is a major step toward health services with two related components:

Health and Welfare Centres (HWCs)

- In February 2018, the Indian Government announced converting existing sub-centers and primary health centers into Health and Welfare Centres (HWCs).
- The initiative aims to deliver health services through Comprehensive Primary Health Centres (CPHC) and to reach health services to people's homes.

Pradhan Mantri Jan Arogya Yojana (PMJAY)

- The second component of Ayushman Bharat is the Pradhan Mantri Jan Arogya Yojana (PMJAY).
- This is the world's largest health scheme, whose objective is to provide free treatment up to ₹5 lakh annually per family for secondary and tertiary health services.
- It aims to provide health services to over 10.74 crore poor and deprived families, representing 40% of India's population.
- The families covered are identified based on the 2011 Social Economic Caste Census (SECC) data, using deprivation and socio-economic criteria.

This scheme provides a cash amount of up to ₹5 lakh per family annually for secondary and tertiary health treatment in public and private empaneled hospitals in India.

- Under this scheme, pre-hospitalization medical treatment, health treatment, and medicines are provided free of cost from 3 days before hospitalization up to 15 days after hospitalization.
- There is no restriction on the family size, age, or gender of members under this scheme.
- The scheme is portable, meaning the beneficiary can avail the benefits at any empaneled public or private hospital across the country.

Atal Bima Yojana (Atal Accident Insurance Scheme)

- The scheme started from 01-07-2018, initially applicable for a two-year term on a pilot basis, which was later extended up to 30 June 2021.
- It is a welfare measure implemented by the Employees State Insurance (ESI) Corporation.
- Under this scheme, workers who become unemployed are provided cash compensation.
- The purpose is to offer social assistance by covering cases of disease, maternity, disability, and employment-related accidents resulting in death. Additionally, insured workers and their families are provided medical care.

Senior Citizens Pension Insurance Scheme

- A pension scheme where senior citizens receive pensions based on their investment.
- Each month, a pension ranging from ₹500 to ₹10,000 is paid.
- The responsibility of this scheme was assigned to the Life Insurance Corporation of India (LIC), which offers a minimum guaranteed return of 8% for 10 years.
- To avail of this scheme, the applicant's age must be 60 years or older.
- The scheme provides for borrowing three years after investment, with a maximum loan of 75% of the total investment.
- Upon maturity, the invested principal is returned.
- In case the policyholder dies during the term, the principal amount is paid to the nominee.
- Pension payments are made only via banking platforms like ECS or NEFT.

Pradhan Mantri Fasal Bima Yojana (PM-FBY)

- Launched in 2016 by the Ministry of Agriculture and Farmers Welfare.
- The scheme provides comprehensive insurance coverage to farmers against crop failure, helping stabilize farmers' incomes.
- The premium for Kharif crops is 2% of the sum insured, and for Rabi crops, 1.5%. An additional 5% premium for commercial and horticultural crops is also fixed.
- Farmers who hold a Kisan Credit Card (KCC) can opt for the scheme, while for others, it is optional.

Restructured Weather-Based Crop Insurance Scheme

- Launched on 18 February 2016.
- The primary purpose is to reduce farmers' difficulties due to estimated yield loss caused by adverse weather conditions such as temperature, humidity, rainfall, etc.

Important Facts

- The National Insurance Business (Nationalization) Act was enacted in 1972, and it came into effect on 1st January 1973.
- Articles 27 and 37 of the Indian Constitution provide legal regulations regarding investments of life insurance funds.
- The Indian Cooperative Societies Act, 1912, includes provisions regarding registered cooperative societies.
- The American Experience Table, created in 1868, was based on life insurance statistics in the USA.
- Based on Indian experience, the task of making mortality tables was given to the Oriental Government Security Life Insurance Company.
- Under the Natural Premium Plan, the annual premium rate is calculated according to age.
- Government Securities (G-Secs) are defined in the Indian Public Debt Act, 1944.
- The Renewable Whole Life Policy is also referred to as the Optional Whole Life Policy.
- The Employment State Insurance Act, 1946 provides social security benefits to workers in organized sectors.
- The Theory of Probability and the Theory of Large Numbers form the basis of the insurance principle.
- In 1696, an insurance institution called Hand in Hand was established.
- Marine insurance as a commercial practice began in Italy in 1523 A.D., known as the Ordinance of Florence.
- Insurance is a contract between two parties, in which one party undertakes specific risks in exchange for a definite return from the other party.
- Marine risk is defined under Section 6 of the Marine Insurance Act.
- The functions of the IRDA (Insurance Regulatory and Development Authority) are specified under Section 14 of the IRDA Act

Summary of All Chapters

Chapter 1: Origin and Development of Insurance

Insurance originated as a way to **share risks collectively**. In India, traces are found in ancient texts and community practices. Marine insurance was the earliest form, followed by fire and life insurance. Globally, modern insurance evolved in Europe. In India, insurance developed rapidly after the British period, leading to formalized companies and later nationalization.

Chapter 2: Meaning and Definitions of Insurance

Insurance means **protection against risk of financial loss** through pooling of funds. It is defined as a contract where the insurer agrees to compensate for loss in return for a premium. Core idea → **transfer and sharing of risks**.

Chapter 3: Nature of Insurance

Insurance is a **contract based on principles of good faith, indemnity, and risk sharing**. It reduces uncertainty and provides financial security. Its nature is both **protective (safety against risk)** and **promotive (mobilization of savings & investments)**.

Chapter 4: Functions of Insurance

- **Primary functions:** risk transfer, security, certainty, and distribution of risk.
 - **Secondary functions:** mobilization of capital, promotion of trade & industry, prevention of loss, economic growth, and financial stability.
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Chapter 5: Usefulness of Insurance

Insurance benefits **businesses (risk coverage, credit support)**, **society (social security, development funding)**, and **individuals (financial protection, investment option, old-age support)**.

Chapter 6: Types of Insurance

Major types:

- **Marine Insurance** – covers ships, cargo, and freight.
- **Fire Insurance** – covers fire-related damages.
- **Life Insurance** – covers death and provides savings.
- **Social Insurance** – government-backed schemes for weaker sections.
- **Miscellaneous Insurance** – includes motor, health, crop, liability insurance, etc.

Chapter 7: Classification of Insurance

- **By business:** life, general, social, marine, fire, miscellaneous.
- **By risk:** personal (life, accident, health), property (house, goods), liability (legal responsibility), and guarantee insurance.

Chapter 8: Principles of Insurance

Insurance rests on **seven principles**:

1. Utmost Good Faith (disclosure of facts)
2. Insurable Interest (legal right to insure)
3. Indemnity (compensation without profit)
4. Proximate Cause (nearest cause of loss)
5. Loss Minimization (duty to reduce loss)
6. Contribution (sharing by multiple insurers)
7. Subrogation (insurer's right after claim settlement).

Chapter 9: IRDAI (Insurance Regulatory and Development Authority of India)

Established in **1999**, IRDAI regulates India's insurance industry. Functions: issue licenses, regulate insurers/agents, protect policyholders, promote competition, ensure solvency, and develop the insurance sector.

Chapter 10: Life Insurance

Life insurance provides **financial protection against death and also acts as savings and investment**. It ensures security for dependents, mobilizes funds, and provides loans/pensions. It is both a **protection tool and development instrument**.

Chapter 11: Life Insurance Corporation of India (LIC)

Formed in **1956**, LIC is the largest life insurer in India.

- **Role:** Monopoly till 2000, wide agent network, trusted brand, variety of products, social security provider.
 - **Contribution:** Major investor in infrastructure, government securities, financial markets, employment generation, global expansion.
-

Chapter 12: General Insurance

General insurance covers **non-life risks** like fire, marine, health, and motor. The **General Insurance Corporation (GIC)** was formed in 1972 after nationalization. In 2000, the sector opened to private players. GIC continues as the national reinsurer.

Chapter 13: Insurance and Economic Development

Insurance supports economic development by:

- **Mobilizing savings** into productive investments
 - **Funding infrastructure** (roads, power, housing)
 - **Providing financial security** to individuals and businesses
 - **Supporting trade, industry, and government borrowing**
 - **Stabilizing markets** during crises.
-

Chapter 14: Pension Fund Regulatory and Development Authority (PFRDA)

Established in **2003**, regulates pension sector and manages the **National Pension System (NPS)**. Objectives: old-age income security, regulation of pension funds, financial inclusion, and long-term savings mobilization.

Chapter 15: Government Insurance Schemes in India

Key schemes to promote **social security and financial inclusion**:

- **PMSBY** (accident insurance)
- **PMJJBY** (life insurance)
- **RSBY & Ayushman Bharat** (health insurance)
- **AABY** (poor families)
- **PMVVY** (senior citizens pension plan)
- **ESI Scheme** (workers' health & social security).

Part IV

INDUSTRIAL RELATIONS

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Chapter 1: Industrial Relations

1.1 Meaning of Industrial Relations

- **Industrial Relations (IR)** = “*Industry*” + “*Relations*”
 - **Industry** → all productive activities (agriculture, mining, manufacturing, banking, transport, etc.)
 - **Relations** → interactions between **employers**, **employees**, and the **state**.

In simple words: IR is about maintaining harmony between workers, employers, and government for smooth functioning of industry.

1.2 Definitions

- **Bethel:** IR is that part of management concerned with manpower of the enterprise.
 - **V. Agnihotri:** IR is the relationship between employees and management, directly or indirectly arising from union–employer relations.
-

1.3 Objectives of IR

Objectives	Explanation
Peace	Ensure industrial peace by reducing strikes, lockouts.
Cooperation	Promote teamwork between management & workers.
Fairness	Provide fair wages, good working conditions.
Productivity	Higher efficiency → national growth.
Social Justice	Protect rights of workers & balance with employers’ interests.

1.4 Types of Industrial Relations

1. **Labour Relations** → between trade unions & management.
2. **Group Relations** → among groups of workers, supervisors, technical staff.
3. **Employer–Employee Relations** → management vs. individual employees.

4. **Community/Public Relations** → industry & society.

1.5 Models of Industrial Relations

(a) Dunlop's System Model

- *Actors*: Govt. agencies, management, workers/unions.
- *Shared Ideology*: Common beliefs binding system.
- *Contexts*: Technology, market, power distribution.
- *Rules*: Substantive (wages), procedural (grievances), distributive.

Criticism: Static, descriptive, ignores power/conflict.

(b) Craig's Model

- *Inputs*: Legal, political, socio-cultural factors.
 - *Conversion mechanisms*: bargaining, grievance settlement.
 - *Outputs*: Productivity, equity, worker morale.
 - *Feedback*: Outcomes influence future relations.
-

1.6 Layers of Industrial Relations

Layer	Role
Employer	Provides jobs, seeks profit.
Employee	Provides labour, demands fair treatment.
Government	Regulates via laws, policies.
Trade Unions	Protect workers' interests.

1.7 Approaches to IR

Approach	Key Idea	Criticism
Unitary	Org = one family, conflicts are temporary.	Unrealistic, ignores unions.

Approach	Key Idea	Criticism
Pluralist	Multiple groups (management, unions); conflict is natural & resolved by bargaining.	Power imbalance, over-reliance on state.
Marxist	Class struggle between labour & capital.	Narrow, only capitalist view.
Systems (Dunlop)	IR = actors + context + ideology + rules.	Static, descriptive.
Human Relations	Good relations, motivation, communication.	Can be manipulative.
Gandhian/Trusteeship	Employer = trustee of wealth, non-violent conflict resolution.	Idealistic, hard to implement.
Sociological	Attitude, skills, group behaviour shape IR.	Less predictive.
Psychological	Conflicts arise from different perceptions.	Overemphasises mindset.
Socialistic	Worker participation in management.	Limited to socialist economies.

1.8 Industrial Relations in India (Five Year Plans)

Plan	Focus on IR
1st (1951–56)	Peaceful IR, fair wages, social justice.
2nd (1956–61)	<i>Code of Discipline</i> (1958), workers' education, voluntary arbitration.
3rd (1961–66)	Emphasis on collective bargaining, National Commission on Labour (1966).
4th (1969–)	Employer–employee partnership, welfare activities.

Plan	Focus on IR
74)	
5th (1974–79)	Shop councils, bipartite discussion, job creation.
6th (1980–85)	Dispute resolution, strengthen tripartite consultations.
7th (1986–91)	Human resource development, policy for sick industries.
Post-1991	Focus on globalization, skill development, unorganized sector, social security.

1.9 Theoretical Perspectives

1. **Unitarist** → one happy family, no unions needed.
2. **Pluralist** → multiple interest groups, conflict normal.
3. **Radical/Marxist** → conflict inevitable in capitalism, unions are worker defense.

Chapter 2: Labour Welfare

2.1 Meaning of Labour Welfare

- **Labour Welfare** → Activities & services provided to workers to ensure their **well-being, comfort, and improvement** beyond wages.
- It is **not charity**, but a **rightful part** of industrial relations.

Example: Providing canteen, housing, healthcare, social security, safety, education.

2.2 Definitions

- **ILO**: Labour welfare = services, facilities, and amenities established near workplaces to ensure a healthy and congenial environment.
 - **Arthur James Todd**: Anything done for employees' comfort and improvement (intellectual & social), beyond wages.
 - **S.T. Edwards**: Wages can buy time, but *loyalty, enthusiasm, and initiative* come from welfare activities.
-

2.3 Evolution in India

- Early efforts by **philanthropists, social workers, religious leaders**.
 - With **Industrial Revolution** → large factories → exploitation → need for welfare.
 - Gradually became part of **government policy, trade unions' role, and employers' responsibility**.
-

2.4 Scope of Labour Welfare

Type	Examples
Intra-Mural (inside factory)	Clean drinking water, canteen, restrooms, crèche, safety devices, medical aid.
Extra-Mural (outside factory)	Housing, transport, education, recreation, cooperative societies.

Type	Examples
Social Security	Insurance, maternity benefits, pensions, provident fund.

Labour welfare covers workers' life from “**cradle to grave**” (e.g., ESIC gives child medical aid, funeral benefit after death).

2.5 Objectives of Labour Welfare

1. Provide social comfort to employees.
 2. Improve working & living conditions.
 3. Reduce absenteeism and labour turnover.
 4. Build sense of responsibility & belongingness.
 5. Raise morale & efficiency.
 6. Promote industrial peace.
-

2.6 Principles of Labour Welfare

Principle	Explanation
Integration/Coordination	Welfare must cover all aspects (physical, mental, moral).
Association	Workers should participate in planning & execution.
Responsibility	Workers must share responsibility (safety, canteen committees).
Accountability	Welfare schemes must be evaluated & socially audited.
Timeliness	Help must reach workers at the right time (e.g., medical, financial aid).

2.7 Importance of Labour Welfare

1. **Improves IR** → less strikes/conflicts.
2. **Creates stable workforce** → less turnover.
3. **Raises productivity & income.**
4. **Boosts morale & sense of belonging.**

5. **Changes employer outlook** → more humane approach.
 6. **Benefits society** → social justice & equality.
-

2.8 Theories of Labour Welfare

Theory	Essence
Policing Theory	Employers are selfish → Govt. must compel them to provide welfare.
Religious Theory	Welfare seen as moral/religious duty (good deeds for salvation).
Philanthropic Theory	Out of compassion/love for mankind, employers help workers.
Paternalistic/Trusteeship Theory	Employer = trustee of workers' welfare (Gandhian view).
Placating Theory	Welfare used to pacify/mollify organized labour to avoid unrest.
Public Relations Theory	Welfare builds goodwill & positive image of employer.
Functional/Efficiency Theory	Happy workers → more productive → welfare is an investment.

2.9 Labour Welfare Funds in India

- Govt. set up **Labour Welfare Funds** for specific sectors:
 - **Beedi Workers' Fund**
 - **Mica Mines Labour Fund**
 - **Cine Workers' Welfare Fund**
 - Purpose: Provide **housing, education, health care, recreation** for workers in unorganized/weak sectors.
-

2.10 Position of Labour Welfare in India

- Welfare activities are carried out by:
 1. **Employers** → statutory & voluntary welfare.
 2. **Trade Unions** → demand welfare rights.
 3. **Government** → labour laws, social security schemes.
 4. **NGOs/Voluntary Bodies** → support weaker sections.

Trend: From **voluntary charity** → **compulsory statutory welfare** (Factories Act, ESI, EPF).

Quick Revision for UPSC EPFO

- Labour welfare = well-being of workers beyond wages.
- **Scope** = Intra-mural, extra-mural, social security.
- **Principles** = integration, association, responsibility, accountability, timeliness.
- **Theories** = policing, religious, philanthropic, trusteeship, placating, PR, functional.
- India has **sector-specific welfare funds**.

Chapter 3: Trade Unionism

3.1 Meaning

- **Trade Union** = an organized association of workers formed to protect and promote their interests (wages, working conditions, job security).
 - Aims at **collective bargaining** rather than individual struggle.
 - Trade unions are recognized under the **Indian Trade Union Act, 1926**.
-

3.2 Definitions

- **ILO**: Trade union is an association of workers for protecting and improving their working conditions.
 - **Webb (1894)**: A trade union is a continuous association of wage earners to maintain or improve conditions of work.
-

3.3 Objectives of Trade Unions

Economic Objectives	Social/Political Objectives
Secure fair wages.	Protect democratic rights of workers.
Improve working conditions.	Promote social justice & equality.
Provide job security.	Participate in policy making.
Protect against exploitation.	Improve status of labour in society.
Support welfare services (education, housing). Foster class solidarity.	

3.4 Functions of Trade Unions

1. **Protective** → safeguard workers against exploitation.
2. **Economic** → fight for wages, bonuses, allowances.
3. **Social** → welfare activities like health, housing, education.
4. **Political** → influence government policies, labour laws.
5. **Mutual Help** → strike funds, financial aid in distress.

3.5 History of Trade Union Movement in India

Pre-Independence Era

- **1850–1900:** Early associations, no formal unions (Bombay Mill Hands Association, 1890).
- **1900–1920:** Rise of worker protests due to exploitation; ILO established in 1919 influenced Indian leaders.
- **1920:** Formation of **All India Trade Union Congress (AITUC)**.
- **1926:** **Indian Trade Union Act** gave legal recognition to unions.
- **1930s–40s:** Multiplicity of unions due to political affiliations; emergence of INTUC, HMS.

Post-Independence Era

- Unions linked to political parties (INTUC → Congress, AITUC → CPI, HMS → Socialists).
- Government encouraged collective bargaining, but rivalry weakened unions.
- **1960s–70s:** Frequent strikes, “Gherao” tactics, militancy in labour movement.
- **1980s onwards:** Decline due to automation, liberalization, contract labour.

3.6 Structure of Trade Unions in India

Level	Examples
Enterprise/Plant Level	Trade unions in one company (e.g., Tata Steel Workers’ Union).
Industrial Level	Unions across an industry (e.g., All India Bank Employees Association).
National Level	Central Trade Union Organizations (CTUOs) like AITUC, INTUC, HMS, CITU.
International Level	Affiliation with ILO, ITUC.

3.7 Major Trade Union Federations in India

Federation	Founded	Political Link
AITUC	1920	Communist (CPI)
INTUC	1947	Indian National Congress
HMS	1948	Socialist movement
CITU	1970	CPI (Marxist)
BMS (Bharatiya Mazdoor Sangh)	1955	Linked to RSS/BJP

3.8 Problems of Trade Unions in India

1. **Multiplicity of Unions** → political rivalries weaken unity.
 2. **Outside Leadership** → dominated by politicians, not workers.
 3. **Financial Weakness** → low subscription, poor resources.
 4. **Inter-union Rivalry** → frequent strikes, weak bargaining power.
 5. **Uneven Growth** → strong in organized sector, weak in unorganized sector.
 6. **Declining Influence** → globalization, contract labour, automation.
-

3.9 Role of Trade Unions in Industrial Relations

- Balance power between labour and management.
 - Promote **collective bargaining** instead of individual disputes.
 - Reduce industrial unrest by negotiation.
 - Represent workers in **grievances, tribunals, tripartite bodies**.
 - Contribute to social justice and democratic participation.
-

3.10 Recent Trends in Trade Unionism

1. Shift from **political agitation** → **economic & social issues**.
2. Growth of **independent unions** (not tied to political parties).
3. Rising focus on **contract, informal, gig workers**.
4. Emphasis on **skill development, social security**.
5. Decline of strikes; more use of **conciliation & arbitration**.

Quick Revision for UPSC EPFO

- **First Trade Union in India:** Bombay Mill Hands Association (1890).
- **First Central TU:** AITUC (1920).
- **Key Act:** Indian Trade Union Act, 1926.
- **Major Federations:** AITUC, INTUC, HMS, CITU, BMS.
- **Problems:** Multiplicity, rivalry, outside leadership.
- **Trend:** Declining power in globalization era, rising role in informal sector.

Chapter 4: Collective Bargaining

4.1 Meaning

- **Collective Bargaining** = negotiation between **employers (management)** and **employees (trade unions)** to settle issues related to wages, working conditions, and other employment terms.
- It is a method of **industrial democracy**.
- Instead of fighting individually, workers negotiate **collectively** for better outcomes.

Term first used by **Sidney & Beatrice Webb (1891)**.

4.2 Definitions

- **ILO**: Collective bargaining is negotiations between employers and workers' organizations to determine working conditions and employment terms.
 - **Dale Yoder**: A process where representatives of employers and employees meet to determine conditions of employment.
-

4.3 Features

1. **Two parties**: Employers & employees (via unions).
 2. **Bargaining process**: Discussion, proposals, counter-proposals.
 3. **Continuous process**: Not one-time; requires periodic negotiation.
 4. **Flexible & voluntary**: Relies on goodwill and cooperation.
 5. **Industrial democracy**: Ensures workers' participation in decision-making.
 6. **Give and Take**: Both sides compromise.
-

4.4 Objectives

For Workers	For Employers	For Society
Secure fair wages & benefits.	Maintain productivity & discipline.	Industrial peace & social justice.
Improve working	Minimize strikes &	Economic growth.

For Workers	For Employers	For Society
conditions.	disruptions.	
Gain job security.	Retain workforce loyalty.	Democratic participation.

4.5 Process of Collective Bargaining

1. **Preparation** → Study issues, data collection, drafting proposals.
 2. **Discussion** → Formal meeting between union & management.
 3. **Negotiation** → Exchange of proposals, counteroffers.
 4. **Agreement** → Draft settlement on agreed issues.
 5. **Implementation** → Apply agreement in workplace.
 6. **Review** → Monitor and revise if needed.
-

4.6 Types of Collective Bargaining

Type	Meaning	Example
Distributive (Win–Lose)	One gains at expense of other.	Wage increase vs. profit margin.
Integrative (Win–Win)	Both sides benefit.	Productivity-linked bonus.
Concessionary	Workers accept concessions to save jobs.	Wage freeze during crisis.
Productivity Bargaining	Higher pay in return for better output.	Incentive schemes.
Composite Bargaining	Covers non-wage issues too (training, welfare, rights).	Work hours, promotions.

4.7 Levels of Collective Bargaining

1. **Plant-level** → single enterprise, direct negotiation.
2. **Industry-level** → across an industry (e.g., banking).

3. **National-level** → tripartite agreements (Govt., employers, workers).
 4. **International-level** → rare, in global corporations.
-

4.8 Importance of Collective Bargaining

- Ensures **industrial peace** (reduces strikes/lockouts).
 - Promotes **industrial democracy**.
 - Improves **wages, conditions, social security**.
 - Enhances **worker morale, productivity**.
 - Provides a **grievance redressal mechanism**.
-

4.9 Collective Bargaining in India

- **Legal basis:** Industrial Disputes Act, 1947.
 - Recognized by **Trade Union Act, 1926**.
 - Mostly at **enterprise level** (not industry-wide like USA/UK).
 - **Challenges:**
 - Multiplicity of unions.
 - Weak trade union structure.
 - Political rivalries.
 - Large unorganized sector.
 - Employer resistance.
 - Govt. intervention (compulsory arbitration reduces bargaining power).
-

4.10 Methods of Conflict Resolution (Linked to Bargaining)

- **Voluntary:** Negotiation, conciliation, arbitration.
 - **Compulsory:** Adjudication by labour courts/tribunals.
-

Quick Revision for UPSC EPFO

- **Meaning:** Negotiation between employers & workers.
- **Features:** Bilateral, continuous, voluntary, democratic.
- **Types:** Distributive, integrative, productivity, concessionary, composite.
- **Process:** Preparation → Discussion → Negotiation → Agreement → Implementation → Review.

- **India:** Weak due to multiple unions, political rivalry, govt. interference.

Chapter 5: Grievance, Discipline & Conflict Resolution

5.1 Meaning of Grievance

- **Grievance** = Any **real or imagined feeling of injustice** by an employee about workplace conditions.
- It may relate to **wages, hours of work, promotion, safety, behaviour of supervisors, unfair practices, etc.**

In simple words: *Grievance = dissatisfaction of a worker that is formally expressed.*

5.2 Causes of Grievances

Cause	Examples
Economic	Low wages, overtime payment issues, bonus disputes.
Work Environment	Unsafe conditions, long hours, poor facilities.
Supervision	Harsh behaviour, victimization, unfair treatment.
Work Group Relations	Inter-union rivalry, discrimination, lack of recognition.
Organizational Policy	Transfers, promotions, leave rules, lack of career growth.

5.3 Grievance Redressal Procedure

1. **Step 1 – Informal complaint** to immediate supervisor.
2. **Step 2 – Written complaint** if not resolved.
3. **Step 3 – Review by grievance committee** (management + union).
4. **Step 4 – Appeal to higher authority** (HR or senior management).
5. **Step 5 – External mechanisms** (conciliation, labour court, tribunal).

Legal Basis: **Industrial Disputes Act, 1947** requires Works/Grievance Committees in large establishments.

5.4 Meaning of Discipline

- **Discipline** = Employees following organizational rules, procedures, and standards of conduct.
 - Aim: Ensure **orderly behaviour** and smooth functioning of industry.
 - Two Types:
 1. **Positive Discipline** → Self-discipline, motivation, rewards.
 2. **Negative Discipline** → Punishment for rule-breaking.
-

5.5 Principles of Discipline

- Discipline must be **fair, just, and known to all**.
 - Punishment should be **proportional to misconduct**.
 - Opportunity for worker to **explain his side** (natural justice).
 - Should be used as **last resort**, after counselling.
-

5.6 Types of Misconduct

- Absenteeism without permission.
 - Habitual late-coming.
 - Drunkenness, disorderly behaviour.
 - Insubordination.
 - Theft, fraud.
 - Strikes/gherao in violation of law.
-

5.7 Code of Discipline in India (1958)

- Voluntary agreement between **employers, workers, and government**.
 - Aims:
 - No strikes/lockouts without notice.
 - No violence, victimization, or coercion.
 - Respect agreements and awards.
 - Promote cooperation & consultation.
-

5.8 Conflict in Industrial Relations

- **Conflict** = Disagreement between employers and employees over issues like wages, hours, conditions, rights.
 - **Types of Industrial Disputes (ID Act, 1947):**
 1. **Interest disputes** → demand for new wages/benefits.
 2. **Rights disputes** → violation of existing laws/contracts.
 3. **Economic disputes** → bonus, allowances, layoffs.
 4. **Grievance disputes** → individual complaints.
-

5.9 Methods of Conflict Resolution

Method	Meaning	Nature
Collective Bargaining	Direct negotiation between union & management.	Voluntary
Conciliation	Govt. appointed officer mediates between parties.	Semi-voluntary
Arbitration	Neutral third party gives binding decision (if agreed).	Voluntary
Adjudication	Labour court/tribunal decides dispute.	Compulsory
Mediation	Mediator suggests compromise, not binding.	Voluntary

5.10 Preventive Measures

- **Grievance handling machinery.**
 - **Strong unions & fair management.**
 - **Joint consultative committees.**
 - **Worker participation in management.**
 - **Proper communication & transparency.**
-

Quick Revision for UPSC EPFO

- **Grievance** = dissatisfaction expressed formally.

- **Procedure** = Supervisor → Committee → Appeal → Tribunal.
- **Discipline** = orderly behaviour; positive (self-control), negative (punishment).
- **Code of Discipline (1958)**: No strikes/lockouts without notice, no violence, promote cooperation.
- **Conflict resolution methods**: Bargaining, conciliation, arbitration, adjudication, mediation

Chapter 6: Labour Legislations

6.1 Meaning

- **Labour Legislation** = body of laws, rules, and regulations relating to the employment of workers.
- Purpose: To **protect workers**, regulate relations between employers & employees, and ensure **industrial peace**.

Labour is in the **Concurrent List** → both **Centre & States** can make laws (but Central law prevails in conflict).

6.2 Objectives of Labour Legislation

Objective	Explanation
Protection	Safeguard workers from exploitation (long hours, low wages, unsafe conditions).
Social Justice	Ensure equality, fair distribution of profits, dignity of labour.
Regulation	Balance power of employers & employees.
Welfare	Provide healthy working conditions, housing, canteens, crèches, etc.
Social Security	Protect workers from risks like sickness, accidents, old age, maternity.
Economic Development	Harmonious relations → productivity → national growth.
International Uniformity	Align with ILO standards.

6.3 Constitutional Framework for Labour Laws in India

- **Preamble** → Justice (social, economic, political).
 - **Fundamental Rights (Part III)**
 - Article 14: Equality before law.
 - Article 19(1)(c): Right to form associations/unions.
 - Article 23: Prohibition of forced labour.
 - Article 24: Prohibition of child labour below 14 years.
 - **Directive Principles (Part IV)**
 - Art. 38: Minimize inequalities.
 - Art. 39: Adequate livelihood, equal pay, protect health.
 - Art. 41: Right to work, education, assistance.
 - Art. 42: Just & humane conditions, maternity relief.
 - Art. 43: Living wage & decent standard of life.
 - Art. 43A: Workers' participation in management.
-

6.4 Evolution of Labour Legislation in India

1. **Pre-Independence (1850–1947)**
 - 1881: **First Factories Act** → working hours, child labour.
 - 1926: **Indian Trade Union Act** → legal recognition of unions.
 - 1936: **Payment of Wages Act**.
 - 1942: **Tripartite Labour Conference** (Govt., employers, workers).
 2. **Post-Independence (1947 onwards)**
 - 1947: **Industrial Disputes Act** → dispute resolution.
 - 1948: **Factories Act, Minimum Wages Act, ESI Act**.
 - 1952: **EPF Act**.
 - 1972: **Payment of Gratuity Act**.
 3. **Post-Liberalization (1991 onwards)**
 - Emphasis on globalization, competitiveness, social security.
 - Focus on unorganized & contract labour.
-

6.5 Labour Codes (Recent Reforms)

To simplify 29 central labour laws, Govt. consolidated them into **4 Labour Codes**:

Labour Code	Key Provisions
Code on Wages, 2019	Universal minimum wage, floor wage by Centre, equal pay, bonus provisions.
Industrial Relations Code, 2020	Governs trade unions, strikes/lockouts, layoffs; threshold for retrenchment = 300+ workers; reskilling fund for retrenched workers.
Occupational Safety, Health & Working Conditions (OSHWC) Code, 2020	Consolidates factory, mines, contract labour laws; 8-hour workday; women allowed in all sectors with safety; health & safety measures.
Code on Social Security, 2020	Extends social security to gig, platform & unorganized workers; EPF, ESI, gratuity; National Social Security Board.

Aim: Simplify compliance, protect workers, improve ease of doing business.

6.6 Important Labour Legislations (Before Codes)

Law	Purpose
Factories Act, 1948	Safety, health, welfare in factories.
Minimum Wages Act, 1948	Ensure minimum pay for workers.
Payment of Wages Act, 1936	Timely payment without deductions.
Industrial Disputes Act, 1947	Dispute resolution (conciliation, adjudication).
Trade Unions Act, 1926	Legal recognition of unions.
EPF Act, 1952	Provident fund, pension, deposit-linked insurance.
ESI Act, 1948	Medical care, sickness benefit, maternity benefit.
Payment of Gratuity Act, 1972	Retirement benefit after 5 years of service.

Law	Purpose
Maternity Benefit Act, 1961	Paid maternity leave, job security.
Contract Labour Act, 1970	Regulates contract workers' rights.

6.7 Role of ILO in Indian Labour Laws

- India is a **founding member** of ILO (1919).
 - Ratified **40+ Conventions**.
 - Core principles:
 - Labour is not a commodity.
 - Freedom of association.
 - Equal pay.
 - No forced/child labour.
 - Indian laws (Factories Act, EPF, ESI, Child Labour Act) influenced by ILO standards.
-

6.8 Challenges in Labour Legislation

1. **Multiplicity & complexity** of laws → compliance burden.
 2. **Implementation gap** → weak enforcement in unorganized sector.
 3. **Contract labour & gig workers** → lack social security.
 4. **Union opposition** to reforms.
 5. **Balancing ease of doing business vs. worker protection.**
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Quick Revision for UPSC EPFO

- Labour in **Concurrent List**.
- Objectives: Protection, social justice, welfare, security.
- **Constitutional basis**: FR (Art. 14, 19, 23, 24) + DPSP (Art. 38–43A).
- Recent reforms: **4 Labour Codes** (Wages, IR, OSHWC, Social Security).
- Major laws: Factories Act, ID Act, Trade Union Act, EPF, ESI, Gratuity, Maternity.
- ILO → global standards, India founding member.

Chapter 7: Social Security Measures in India

7.1 Meaning

- **Social Security** = protection given by society (through government laws/schemes) to workers against risks like **illness, accidents, unemployment, old age, maternity, death**.
- It ensures a **minimum standard of living** and promotes **social justice**.

In simple words: *Social security = safety net for workers against economic & social risks.*

7.2 Objectives

Objective	Explanation
Protection	Shield workers against income loss due to sickness, disability, old age.
Equity & Justice	Provide fair living conditions for weaker sections.
Welfare	Improve standard of living & health of workers.
Productivity	Reduce insecurity → improve morale & efficiency.
Nation-building	Promote inclusive growth & stability.

7.3 Types of Social Security

Type	Examples
Social Insurance (contributory: workers + employers + govt.)	Provident Fund, Pension, ESI, Unemployment Insurance.
Social Assistance (non-contributory, govt. funded)	Old-age pensions, widow pensions, disability pensions.

Type	Examples
Other Welfare Measures	Housing, education, nutrition schemes.

7.4 Constitutional Provisions

- **Art. 38:** Promote welfare of people.
- **Art. 39:** Right to livelihood, prevent wealth concentration.
- **Art. 41:** Right to work, education, public assistance in unemployment, old age, sickness, disability.
- **Art. 42:** Just & humane work conditions, maternity relief.
- **Art. 43:** Living wage & decent standard of life.
- **Art. 43A:** Workers' participation in management.

7.5 Major Social Security Legislations in India

Act	Purpose
Employees' State Insurance (ESI) Act, 1948	Medical, sickness, maternity, disablement, dependants' benefits.
Employees' Provident Fund (EPF) Act, 1952	Provident Fund, Pension Scheme (EPS), Deposit-linked Insurance.
Maternity Benefit Act, 1961	Paid maternity leave, job security.
Payment of Gratuity Act, 1972	Lump-sum payment on retirement (min. 5 years service).
Workmen's Compensation Act, 1923 (now Employees' Compensation Act)	Compensation for injury/death at work.
Unorganized Workers Social Security Act, 2008	Social security schemes for unorganized sector workers.

7.6 Recent Reforms – Code on Social Security, 2020

- Consolidates **9 laws** (EPF, ESI, Gratuity, Maternity, etc.).

- Coverage extended to:
 - **Gig workers** (e.g., Ola/Uber drivers).
 - **Platform workers** (app-based delivery, digital platforms).
 - **Unorganized workers** (domestic workers, street vendors).
- **Key features:**
 - Mandatory registration of establishments.
 - National Social Security Board for unorganized workers.
 - Universal social security coverage.

7.7 Social Security Schemes in India

Scheme	Beneficiaries	Benefit
PM Shram Yogi Maandhan (2019)	Unorganized workers (18–40 yrs)	Pension ₹3000/month after 60 yrs.
Atal Pension Yojana (2015)	Unorganized sector	Pension ₹1000–5000/month.
PM Suraksha Bima Yojana	All citizens (18–70 yrs)	Accident insurance up to ₹2 lakh.
PM Jeevan Jyoti Bima Yojana	All citizens (18–50 yrs)	Life insurance ₹2 lakh.
Ayushman Bharat (PM-JAY)	Poor households	Health insurance ₹5 lakh/family.
National Social Assistance Programme (NSAP)	Elderly, widows, disabled (BPL)	Pensions, assistance.

7.8 Challenges in Social Security

1. **Huge unorganized sector** → 90% workers still outside effective coverage.
 2. **Multiplicity of schemes** → overlapping, poor coordination.
 3. **Low awareness** among workers.
 4. **Financial constraints** for govt. & employers.
 5. **Implementation issues** → leakages, corruption, weak monitoring.
-

7.9 Importance of Social Security

- Protects workers & families against poverty.
 - Reduces inequality.
 - Promotes industrial peace & loyalty.
 - Contributes to inclusive economic growth.
-

Quick Revision for UPSC EPFO

- **Types:** Social insurance (PF, ESI), social assistance (pensions).
- **Acts:** ESI (1948), EPF (1952), Maternity (1961), Gratuity (1972).
- **Reform:** Code on Social Security (2020) → gig & unorganized workers included.
- **Schemes:** PM-SYM, Atal Pension, PMJJBY, PMSBY, Ayushman Bharat.
- **Challenge:** 90% workforce still unorganized.

Chapter 8: Wage Policy, Wage Regulation & Bonus

8.1 Meaning of Wages

- **Wage** = monetary payment by employer to worker for services rendered.
- Includes: basic pay, allowances, overtime, bonuses, etc.
- Excludes: gratuity, PF contribution, retrenchment compensation (as per law).

Wages are not just income, but also a measure of **living standard, motivation, and industrial peace**.

8.2 Concepts of Wages

Type	Meaning
Nominal Wages	Money received in cash (without considering price rise).
Real Wages	Purchasing power of wages (adjusted for inflation).
Minimum Wages	Legally fixed floor wage → employer cannot pay below this.
Fair Wages	More than minimum, less than living wage; fair share in industry's prosperity.
Living Wages	Enable worker to maintain decent living standard (food, clothing, shelter, health, education, social needs).

8.3 Objectives of Wage Policy

1. Ensure **minimum living standards**.
2. Reduce wage inequalities.
3. Attract & retain efficient workers.
4. Maintain industrial peace by fair settlement.
5. Increase productivity through incentives.

6. Achieve social justice (reduce poverty, inequality).
-

8.4 Constitutional Basis

- **Art. 39(d):** Equal pay for equal work.
 - **Art. 43:** Living wage, fair conditions of work.
 - **Art. 23:** Prohibition of forced labour.
 - **Art. 24:** Ban on child labour below 14 yrs.
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8.5 Wage Policy in India

- **Tripartite Bodies:** Indian Labour Conference (ILC), Minimum Wages Advisory Boards.
 - **National Wage Policy:** No formal single policy, but principles guided by Fair Wage Committee (1949).
 - **Major Principles:**
 - Need-based minimum wage.
 - Link wages with productivity.
 - Reduce regional & sectoral disparities.
-

8.6 Wage Regulation Laws in India

Law	Objective
Minimum Wages Act, 1948	Fixes minimum wage in scheduled employments.
Payment of Wages Act, 1936	Timely payment without unauthorized deductions.
Equal Remuneration Act, 1976 (now in Code on Wages, 2019)	Equal pay for equal work, no gender discrimination.
Payment of Bonus Act, 1965	Profit-sharing → workers get statutory bonus.
Code on Wages, 2019	Consolidates above 4 laws; universal minimum wage, floor wage, timely payment.

8.7 Payment of Bonus

- **Bonus** = extra payment in addition to wages, linked to profits or productivity.
- **Payment of Bonus Act, 1965:**
 - Applies to establishments with **20+ employees**.
 - **Minimum bonus:** 8.33% of salary/wages.
 - **Maximum bonus:** 20%.
 - Eligibility: Employee with salary $\leq$ ₹21,000/month.
 - Includes productivity & customary bonus (like festival bonus).

8.8 Wage Boards in India

- Tripartite bodies (govt., employers, employees) to recommend wage structures.
- Example: Wage Boards for journalists, sugar industry, working journalists & newspaper employees.
- Criticism: Delays, lack of uniformity, limited coverage.

8.9 Factors Affecting Wage Determination

1. **Economic factors** → demand & supply of labour, productivity.
2. **Cost of living** → inflation, price index.
3. **Industry capacity to pay.**
4. **Government policies** → minimum wage laws.
5. **Collective bargaining & trade unions.**
6. **Skills & qualifications of workers.**

8.10 Recent Developments

- **Code on Wages, 2019** (yet to be fully implemented):
 - Universal application → organized + unorganized sector.
 - **National floor wage** fixed by Centre, states cannot go below it.
 - Ensures gender equality in wages.
 - Simplifies compliance by merging 4 laws.

Quick Revision for UPSC EPFO

- **Types of wages:** Minimum, fair, living, nominal, real.
- **Fair Wage Committee (1949):** Need-based minimum wage.
- **Bonus Act, 1965:** Min 8.33%, Max 20%.
- **Important Acts:** Minimum Wages (1948), Payment of Wages (1936), Equal Remuneration (1976), Bonus (1965).
- **Reform:** Code on Wages (2019) → universal minimum wage, floor wage.

Chapter 9: Workers' Participation in Management (WPM)

9.1 Meaning

- **Workers' Participation in Management (WPM)** = involvement of workers in **decision-making** of the organization.
- It is a system of **industrial democracy**, where workers share responsibility with management.

In simple words: *WPM = giving workers a voice in decisions affecting their work.*

9.2 Objectives

Objective	Explanation
Industrial Peace	Reduce strikes, disputes by involving workers.
Democracy at Work	Workers treated as partners, not just labourers.
Efficiency	Better decisions through worker insights.
Social Justice	Share benefits of industry fairly.
Belongingness	Workers feel part of the organization → higher morale.

9.3 Forms of WPM

1. **Informative Participation** → Management shares information (plans, production, policies).
 2. **Consultative Participation** → Workers consulted before decisions (suggestions considered).
 3. **Associative Participation** → Joint committees, councils with management.
 4. **Administrative Participation** → Workers involved in implementing decisions.
 5. **Decisive Participation** → Workers have equal vote in decision-making (rare in India).
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9.4 Methods of WPM in India

Method	Features
Works Committee (ID Act, 1947)	Employer + worker reps; discuss day-to-day issues.
Joint Management Councils (1950s)	Advisory role in welfare, training, productivity.
Shop Councils & Joint Councils (1975)	Shop Council at department level; Joint Council at enterprise level.
Unit Councils (1977, banking sector)	For service industry employees.
Worker Directors (PSUs)	Worker representatives nominated on Boards of public enterprises.
Collective Bargaining	Indirect participation through unions.

9.5 Workers' Participation in India – Legal & Policy Basis

- **Directive Principles (Art. 43A, 42nd Amendment, 1976):**
 - *“The State shall take steps to secure workers’ participation in management of undertakings.”*
 - **Industrial Disputes Act, 1947:** Mandated **Works Committees** in units with 100+ workers.
 - **1975 Emergency Period:** Govt. launched **Shop Councils & Joint Councils Scheme**.
 - **Public Sector Undertakings (PSUs):** Worker Directors included in Boards.
-

9.6 Advantages of WPM

- Builds **industrial harmony**.
- Reduces strikes/lockouts.
- Improves **productivity & quality**.
- Promotes **team spirit**.
- Increases **worker motivation & loyalty**.

9.7 Limitations of WPM in India

1. **Lack of strong trade unions** → weak worker voice.
 2. **Multiplicity of unions** → inter-union rivalry.
 3. **Employer resistance** → fear of losing authority.
 4. **Workers' apathy** → low interest in participation.
 5. **Government schemes unsuccessful** → advisory role, not binding.
 6. **Mostly in public sector**, private sector reluctant.
-

9.8 International Experience

- **Germany:** *Co-determination law* → workers on company boards.
 - **UK & USA:** Focus on collective bargaining, not direct participation.
 - **Japan:** Enterprise unions, close worker–management cooperation.
-

9.9 Recent Developments

- Inclusion of **Art. 43A** in Constitution.
 - **PSUs** experimenting with worker directors.
 - Private sector adopting **quality circles, participative management teams**.
 - Labour Codes emphasize **consultation with workers**.
-

Quick Revision for UPSC EPFO

- **WPM = workers sharing decision-making with management.**
- **Forms:** Informative → Consultative → Associative → Administrative → Decisive.
- **Schemes:** Works Committee (1947), Joint Councils, Shop Councils (1975), Worker Directors in PSUs.
- **Constitutional Basis:** Art. 43A (Directive Principles).
- **India's Problem:** Weak unions, employer resistance, poor implementation.

Chapter 10: International Labour Organization (ILO)

10.1 Introduction

- **ILO** = specialized UN agency for labour issues.
- Founded in **1919** (Treaty of Versailles, after WW-I).
- Became first specialized UN agency in **1946**.
- Headquarters: **Geneva, Switzerland**.
- Motto: “**Social Justice is essential to Universal and Lasting Peace.**”

10.2 Objectives

1. Promote **social justice** & decent working conditions.
2. Protect workers against exploitation.
3. Promote **collective bargaining & freedom of association**.
4. Ensure **social security & minimum wages**.
5. Abolish **forced labour & child labour**.
6. Promote **equal opportunities** and treatment.

10.3 Structure of ILO

ILO is unique → has **tripartite structure**:

1. **Governments.**
2. **Employers.**
3. **Workers.**

Main Organs of ILO:

Organ	Functions
International Labour Conference (ILC) (World Parliament of Labour)	Meets annually; drafts & adopts conventions & recommendations.
Governing Body	Executive council; sets agenda, budget,

Organ	Functions
	supervises ILO work.
International Labour Office	Secretariat; conducts research, provides technical assistance.
International Court of Justice (ICJ)	Disputes on interpretation of ILO conventions.

10.4 Conventions & Recommendations

- **Conventions** = legally binding international treaties (when ratified).
- **Recommendations** = guidelines, not binding.

Till now, ILO has adopted **190+ Conventions**.

10.5 Core Conventions of ILO

(India ratified 6 of 8 Core Conventions)

Convention	Subject	India's Status
C29	Forced Labour	Ratified
C87	Freedom of Association	Not Ratified
C98	Right to Organize & Collective Bargaining	Not Ratified
C100	Equal Remuneration	Ratified
C105	Abolition of Forced Labour	Ratified
C111	Discrimination (Employment & Occupation)	Ratified
C138	Minimum Age for Employment	Ratified (2017)
C182	Worst Forms of Child Labour	Ratified (2017)

10.6 ILO and India

- **India = founding member** (1919).
 - Major role in drafting conventions.
 - **Permanent seat** in ILO Governing Body.
 - Ratified many conventions on **wages, hours of work, safety, maternity, child labour**.
 - India's labour laws influenced by ILO:
 - Factories Act (1948).
 - Minimum Wages Act (1948).
 - Equal Remuneration Act (1976).
 - Child Labour (Prohibition & Regulation) Act.
-

10.7 Achievements of ILO

- Established **labour standards** globally.
 - Promoted **tripartism** (Govt–Employer–Worker cooperation).
 - Abolition of **forced & child labour**.
 - Promoted **social security schemes**.
 - Won **Nobel Peace Prize in 1969**.
-

10.8 Limitations of ILO

1. Conventions not binding unless ratified.
 2. Many countries (incl. India) reluctant to ratify due to domestic constraints.
 3. Weak enforcement mechanism.
 4. More effective in developed countries than in developing ones.
-

Quick Revision for UPSC EPFO

- **Founded:** 1919, HQ: Geneva.
- **Tripartite structure:** Govt, Employers, Workers.
- **Core Conventions:** 8 (India ratified 6, not 87 & 98).
- **India:** Founding member, permanent Governing Body seat.
- **Nobel Peace Prize:** 1969.
- **Constitutional Link:** DPSP – Art. 39, 41, 43, 43A reflect ILO principles.

Chapter 11: Globalisation and its Impact on Labour

11.1 Meaning of Globalisation

- **Globalisation** = increasing integration of economies through **trade, investment, technology, and labour mobility**.
 - Started in India with **Economic Reforms of 1991 (LPG Policy)** – Liberalisation, Privatisation, Globalisation.
 - It has deeply affected **industries, labour markets, and industrial relations**.
-

11.2 Features of Globalisation

1. Free flow of goods & services (global trade).
 2. Free flow of capital & investment.
 3. Migration of labour (though restricted compared to capital).
 4. Technology transfer, IT & automation.
 5. Integration of national economies with world economy.
-

11.3 Positive Impact on Labour

Aspect	Impact
Employment Opportunities	New jobs in IT, services, manufacturing, exports.
Skill Development	Demand for higher skills, training, professional growth.
Higher Wages	In specialized sectors (IT, finance, pharma).
Work Culture	Adoption of global standards, better HR practices.
Social Security Awareness	Multinational companies (MNCs) brought international welfare standards.

11.4 Negative Impact on Labour

Aspect	Impact
Job Insecurity	Contractualisation, outsourcing, layoffs.
In formalisation	Rise in unorganized/gig jobs with little security.
Wage Inequality	High gap between skilled & unskilled workers.
Union Weakening	Multiplicity of unions + employer resistance.
Stressful Work Culture	Long hours, work pressure, health issues.
Child & Women Labour Exploitation	Seen in low-cost export industries (garments, leather, etc.).

11.5 Globalisation & Industrial Relations in India

- Shift from **conflict** → **cooperation** (focus on productivity, not strikes).
 - Rise of **contract labour, casualisation** → unions weakened.
 - Govt. policies favour “**ease of doing business**” → pro-employer tilt.
 - Labour laws consolidated into **4 Labour Codes** to simplify compliance.
 - Growing role of **conciliation, arbitration** instead of strikes.
-

11.6 Globalisation & Social Security

- Majority of Indian workers in **unorganized sector (≈90%)** remain outside social security.
 - Govt. response:
 - **Code on Social Security (2020).**
 - Schemes like **PM Shram Yogi Maandhan, Atal Pension Yojana, Ayushman Bharat.**
 - But coverage still low.
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11.7 Challenges for Labour in Global Era

1. **Jobless growth** in manufacturing.
2. **Automation/AI** replacing unskilled jobs.

3. **Exploitation of gig/platform workers.**
 4. **Race to the bottom** – companies shift to countries with cheap labour.
 5. Weak enforcement of labour laws.
-

11.8 Way Forward

- Strengthen **skill development** (Skill India, PMKVY).
 - Extend **universal social security** (gig & unorganized workers).
 - Encourage **social dialogue** (Govt–Employer–Worker cooperation).
 - Promote **decent work agenda** (ILO standards).
 - Ensure **gender equality** & protection against discrimination.
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Quick Revision for UPSC EPFO

- **Globalisation in India:** 1991 LPG reforms.
- **Positive impact:** More jobs, higher wages (skilled sector), better HR practices.
- **Negative impact:** Job insecurity, contractualisation, wage inequality, union weakening.
- **Industrial Relations:** Shift from strikes → negotiation, but unions weaker.
- **Challenge:** 90% workers unorganized, social security gap.
- **Reform:** Labour Codes (2019–20), Skill India, social security schemes.

Chapter 12: Industrial Relations in Public & Private Sector

12.1 Meaning

- **Industrial Relations (IR)** = relationship between **employers, employees, and government** in an industry.
 - In India, IR differs in **Public Sector Undertakings (PSUs)** vs **Private Sector Enterprises** due to **ownership, objectives, and policies**.
-

12.2 Industrial Relations in Public Sector

Characteristics:

1. **Ownership:** Govt. owns & manages → focus on welfare + nation-building.
2. **Objectives:** Social justice, employment generation, not just profit.
3. **Trade Unions:** Strong presence, often **politically affiliated**.
4. **Conflict:** Frequent strikes/gheraos in 1960s–70s; now more **collective bargaining & negotiation**.
5. **Worker Participation:** Workers on Boards (worker-directors), joint consultative councils.
6. **Government Role:** Direct employer + policymaker → strong intervention in disputes.

Problems:

- Inter-union rivalry (INTUC, AITUC, CITU, BMS).
 - Overstaffing & inefficiency due to political pressure.
 - Resistance to reforms & modernization.
-

12.3 Industrial Relations in Private Sector

Characteristics:

1. **Ownership:** Profit-oriented, controlled by individuals/corporates.
2. **Objectives:** Cost reduction, productivity, competitiveness.
3. **Trade Unions:** Weaker compared to PSUs; many employer-dominated.

4. **Conflict:** Management resists unionisation → more **individual bargaining**.
5. **Worker Participation:** Limited; mostly through HR practices, not formal councils.
6. **Flexibility:** More use of **contract labour, outsourcing, gig work**.

Problems:

- Job insecurity, layoffs, retrenchments.
- Weak unionism, lack of collective bargaining.
- High wage disparity between skilled/unskilled.
- Exploitation in unorganized sector.

12.4 Public vs. Private Sector – Comparison

Aspect	Public Sector	Private Sector
Ownership	Government	Private Individuals/Corporates
Objective	Welfare + nation-building	Profit maximization
Union Strength	Strong, politically linked	Weak, fragmented
Conflict Nature	Frequent strikes (esp. in 1970s)	Employer resistance to unions
Worker Participation	Worker-directors, councils	Limited, mostly HR-driven
Government Role	Direct employer + regulator	Regulator only
Job Security	High (till reforms)	Low, contractualisation common

12.5 Government Role in IR (Both Sectors)

- Enacts & enforces labour laws (ID Act, Trade Union Act, Labour Codes).
- Acts as **mediator/conciliator** in disputes.
- Balances **worker welfare vs. business competitiveness**.
- Post-liberalisation: Encouraging **flexibility & ease of doing business**.

12.6 Recent Trends

- **Public Sector:** Downsizing, disinvestment, voluntary retirement schemes (VRS).
 - **Private Sector:** HR-driven IR, focus on productivity & technology.
 - **Overall:**
 - Decline of strikes, rise in negotiations.
 - Growth of **contract, gig, platform economy**.
 - Shift from welfare to **efficiency & competitiveness**.
 - Govt. pushing **4 Labour Codes** for uniformity.
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Quick Revision for UPSC EPFO

- **Public Sector IR:** Strong unions, govt. intervention, worker participation.
- **Private Sector IR:** Profit-driven, weak unions, contractualisation.
- **Comparison:** Public = welfare + unions; Private = profit + HR practices.
- **Trend:** Decline in strikes, rise of contract/gig jobs, labour codes introduced.

Chapter 13: Emerging Trends in Industrial Relations (IR)

13.1 Meaning

- **Industrial Relations (IR)** are continuously evolving with **globalisation, technology, and policy reforms**.
 - Traditional IR (union–employer conflicts) is giving way to **cooperation, flexibility, and HR-driven practices**.
-

13.2 Key Emerging Trends

1. *Decline of Traditional Unionism*

- Multiplicity of unions, political rivalry, declining membership.
- Rise of **knowledge workers** (IT, finance, services) → less unionised.

2. *Growth of Contract & Gig Work*

- Companies prefer **contractual, temporary, gig workers** to cut costs.
- Job insecurity, limited social security.
- Govt. response → **Code on Social Security, 2020** extends coverage to gig/platform workers.

3. *Technological Impact*

- Automation, AI, robotics replacing unskilled jobs.
- New skills in demand → focus on **Skill India, digital training**.
- Work-from-home, flexible hours post-COVID.

4. *Shift from Conflict → Cooperation*

- Less strikes/lockouts, more **conciliation, arbitration, collective bargaining**.
- Focus on productivity, quality, competitiveness.

5. *HR-Driven Industrial Relations*

- Modern companies adopt **HRM practices** instead of traditional IR.
- Employee engagement, performance appraisal, incentives, wellness programs.

6. Women in Workforce

- More participation of women, especially in services.
- Issues: gender discrimination, safety, maternity benefits.
- Legal support: **Maternity Benefit Act (1961, amended 2017)** → 26 weeks leave.

7. International Influence

- ILO standards, WTO trade rules, CSR norms influence labour practices.
- MNCs bring global best practices → but also outsource to low-wage nations.

8. Government Reforms

- **Labour Codes (2019–20)**: 29 laws merged into 4 simplified codes.
- Emphasis on **ease of doing business + worker protection**.

9. Rise of Social Dialogue

- Tripartism (Govt–Employer–Workers) encouraged.
- Greater use of **conciliation officers, tribunals, arbitration** instead of strikes.

13.3 Challenges in Future IR

1. Protecting **rights of gig & unorganized workers**.
2. Balancing **ease of doing business vs. labour welfare**.
3. Tackling **jobless growth & automation impact**.
4. Ensuring **effective enforcement of labour codes**.
5. Bridging **skill gap** for future workforce.

13.4 Way Forward

- Strengthen **social security net** (pensions, insurance, health).
 - Promote **skill development & re-skilling**.
 - Encourage **collective bargaining in new sectors** (IT, gig).
 - Ensure **gender equality & safe workplaces**.
 - Foster **industrial democracy & worker participation**.
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Quick Revision for UPSC EPFO

- **Emerging trends:** Decline of unions, rise of gig work, tech impact, HR practices, global standards.
- **Govt reforms:** Labour Codes (2019–20), focus on universal social security.
- **Future challenges:** Automation, job insecurity, weak enforcement.
- **Way forward:** Skills + social security + worker participation + gender equality.

Quick Notes: Industrial Relations

Chapter 1: Introduction to Industrial Relations

- **IR = relationship between employers, employees & govt.**
 - **Scope:** Wages, working conditions, trade unions, dispute settlement.
 - **Objectives:** Industrial peace, productivity, social justice.
 - **Approaches:** Psychological, Sociological, HRM, Tripartite.
-

Chapter 2: Trade Unions

- **Definition:** Workers' association to protect interests.
 - **Functions:**
 - Protective → wages, safety.
 - Militant → strikes, bargaining.
 - Fraternal → welfare, education.
 - **Problems in India:** Political interference, multiple unions, low membership.
 - **Law:** Trade Unions Act, 1926 → legal recognition.
-

Chapter 3: Collective Bargaining

- **Meaning:** Negotiation between management & workers (via unions).
 - **Types:** Conjunctive (win-lose), Integrative (win-win), Productivity-linked.
 - **Process:** Preparation → Negotiation → Agreement → Implementation → Review.
 - **Conditions for success:** Strong union, flexible management, govt. support.
-

Chapter 4: Industrial Disputes

- **Meaning:** Conflict between employers & employees.
- **Causes:** Wages, work conditions, retrenchment, recognition of unions.
- **Settlement methods:**
 - Voluntary: Collective bargaining, mediation, arbitration.
 - Compulsory: Conciliation, adjudication (Labour Court/Tribunal).
- **Law:** Industrial Disputes Act, 1947.

Chapter 5: Grievance, Discipline & Conflict Resolution

- **Grievance:** Formal expression of dissatisfaction.
 - **Procedure:** Supervisor → Committee → Appeal → Tribunal.
 - **Discipline:** Positive (self-control) & Negative (punishment).
 - **Code of Discipline (1958):** No strikes/lockouts without notice.
 - **Conflict Resolution:** Bargaining, conciliation, arbitration, adjudication, mediation.
-

Chapter 6: Labour Legislations

- **Objective:** Protect workers, ensure justice, welfare, security.
 - **Constitutional basis:** FR (Art. 14, 19, 23, 24) + DPSP (Art. 38–43A).
 - **Important Acts:** Factories Act (1948), Minimum Wages Act (1948), ID Act (1947), EPF (1952), ESI (1948).
 - **Recent Reform: 4 Labour Codes (2019–20):** Wages, IR, OSHWC, Social Security.
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Chapter 7: Social Security Measures

- **Meaning:** Protection against risks of sickness, old age, accidents, maternity.
 - **Types:**
 - Social insurance (contributory: PF, ESI).
 - Social assistance (govt-funded pensions).
 - **Key Laws:** EPF (1952), ESI (1948), Maternity Benefit (1961), Gratuity (1972).
 - **Schemes:** PM-SYM, Atal Pension Yojana, Ayushman Bharat.
 - **Reform: Code on Social Security (2020).**
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Chapter 8: Wage Policy, Regulation & Bonus

- **Types of Wages:** Nominal, Real, Minimum, Fair, Living.
- **Laws:** Minimum Wages Act (1948), Payment of Wages Act (1936), Bonus Act (1965), Equal Remuneration Act (1976).
- **Payment of Bonus Act:** 8.33%–20% of wages, salary ≤ ₹21,000 eligible.
- **Reform: Code on Wages (2019)** → floor wage, equal pay, universal coverage.

Chapter 9: Workers' Participation in Management (WPM)

- **Forms:** Informative → Consultative → Associative → Administrative → Decisive.
 - **Schemes in India:** Works Committees (1947), Shop/Joint Councils (1975), Worker Directors in PSUs.
 - **Constitutional Basis:** Art. 43A (1976).
 - **Limitation:** Weak unions, employer resistance.
-

Chapter 10: ILO (International Labour Organization)

- **Founded:** 1919; HQ: Geneva.
 - **Structure:** Tripartite – Govt, Employers, Workers.
 - **Core Conventions (8):** India ratified 6 (not 87 & 98).
 - **India:** Founding member, permanent Governing Body seat.
 - **Achievement:** Nobel Peace Prize (1969).
-

Chapter 11: Globalisation & Labour

- **Positive:** More jobs, higher wages (skilled), better HR practices.
 - **Negative:** Job insecurity, contractualisation, wage inequality, weak unions.
 - **Impact on IR:** Shift from conflict → cooperation; but rise in contract/gig work.
 - **Challenge:** 90% workforce unorganized, automation threat.
-

Chapter 12: IR in Public & Private Sector

- **Public Sector:** Strong unions, govt. intervention, worker participation, job security.
 - **Private Sector:** Profit-driven, weak unions, contractualisation, limited worker say.
 - **Comparison:** Public = welfare + unions; Private = profit + HR practices.
 - **Trend:** Disinvestment, HR-led IR, decline in strikes.
-

Chapter 13: Emerging Trends in IR

- **Decline of unions**, rise of **gig & contract labour**.
 - **Technology & automation** changing jobs.
 - **HRM replacing traditional IR**.
 - **Women workforce rising** (Maternity Benefit Act: 26 weeks leave).
 - **Reforms:** Labour Codes, social security for gig/unorganized workers.
 - **Future Challenges:** Jobless growth, enforcement gaps, skill mismatch.
-

One-Page Quick Revision (For Exam)

- **IR = employer–employee–govt relationship.**
- **Trade Unions Act (1926)** → recognition of unions.
- **ID Act (1947)** → dispute resolution (conciliation, arbitration, adjudication).
- **Code of Discipline (1958)** → voluntary agreement, no strikes without notice.
- **Labour Codes (2019–20):** Wages, IR, OSHWC, Social Security.
- **Social Security:** EPF, ESI, Gratuity, Maternity Benefit + PM-SYM, APY.
- **Bonus Act (1965):** 8.33%–20%, up to ₹21,000 salary.
- **WPM:** Works Committees, Shop Councils, Art. 43A.
- **ILO:** 1919, Geneva, tripartite, 8 core conventions (India ratified 6).
- **Globalisation:** Jobs ↑ but security ↓; rise of gig economy.
- **Public vs Private IR:** Public = strong unions, govt role; Private = weak unions, contractualisation.
- **Emerging Trends:** Automation, gig work, HR-led IR, Labour Codes.

Part V

LABOUR LAWS

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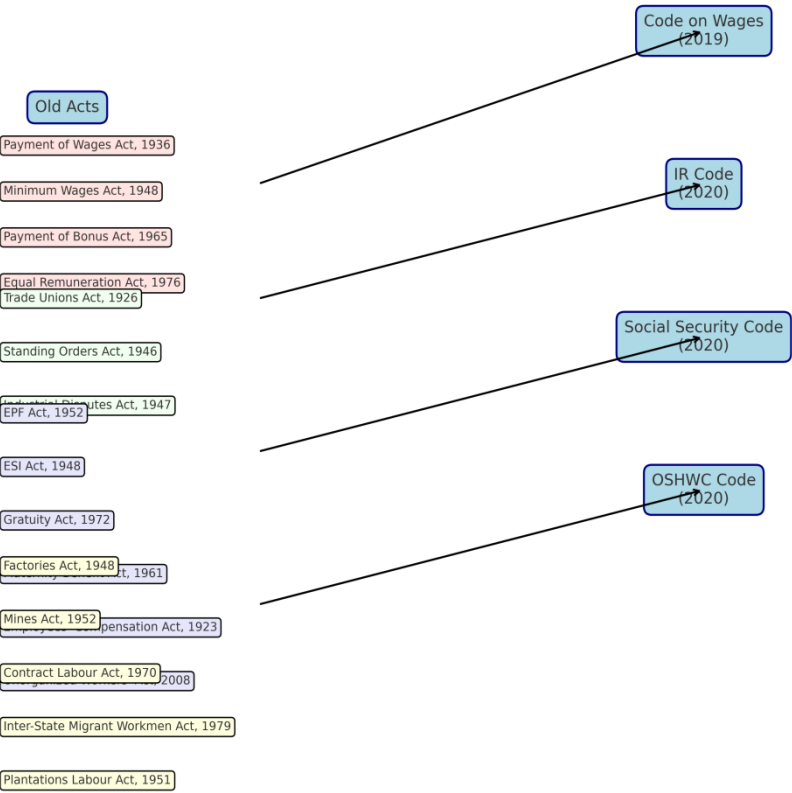
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Relevance of Labour Laws & Codes for UPSC EPFO Exam

Mapping of Old Labour Acts → New Labour Codes



Chapter 1: Introduction to Labour Laws in India

1.1 Historical Background

Labour laws in India have their roots in the colonial era. The earliest legislations, such as the **Factories Act, 1881**, were primarily enacted to regulate working hours and protect the health of British workers employed in Indian industries. Over time, more laws were added, particularly after World War I, to address working conditions, wage payments, and social security.

Post-independence, labour legislations became a key instrument for achieving **social justice**, as enshrined in the **Directive Principles of State Policy** (Articles 38, 39, 41, 42, 43 of the Indian Constitution). The Indian State took upon itself the responsibility of ensuring **just and humane conditions of work, fair wages, and social security** for workers.

1.2 Growth of Labour Laws in India

The development of labour laws took place in phases:

1. **Pre-Independence Era (1881–1947):**
 - Focus on basic protection, e.g., **Factories Act, 1881, Trade Unions Act, 1926, Payment of Wages Act, 1936, and Industrial Disputes Act, 1947.**
 - Objective: Prevent exploitation and control labour unrest.
 2. **Post-Independence Expansion (1947–1990):**
 - Emphasis on **social security and welfare.**
 - Laws like **Employees' State Insurance Act, 1948, EPF Act, 1952, Maternity Benefit Act, 1961, Payment of Gratuity Act, 1972.**
 - Objective: Balance between industrial growth and workers' rights.
 3. **Liberalization Era (1991 onwards):**
 - Shift towards **economic reforms and globalization.**
 - Concerns about rigid labour laws discouraging investment and formal job creation.
 - Push for simplification and consolidation of laws.
-

1.3 Problems with the Old System

- **Multiplicity of Laws:** More than **29 central labour laws** + many state laws created **overlap and confusion**.
- **Complex Compliance:** Different registers, returns, and inspectors under different Acts.
- **Different Definitions:** For example, the term “**wages**” was defined differently in the Payment of Wages Act, EPF Act, Bonus Act, and Gratuity Act.
- **Limited Coverage:** Many laws applied only to organized sector workers or those below certain wage ceilings.
- **Inspector Raj:** Excessive discretionary powers with labour inspectors created red tape and corruption.

1.4 The Need for Reform

The **Second National Commission on Labour (2002)** recommended consolidation of labour laws into 4–5 broad codes. The key reasons were:

- To **simplify compliance** for employers.
- To **provide wider protection** for workers, especially in the unorganized and gig economy.
- To **promote ease of doing business** and reduce litigation.
- To **harmonize definitions** and establish uniform standards.

1.5 Introduction of the New Labour Codes

In line with the recommendations, the Government of India introduced four new labour codes:

1. **Code on Wages, 2019**
2. **Industrial Relations Code, 2020**
3. **Social Security Code, 2020**
4. **Occupational Safety, Health & Working Conditions Code, 2020**

These four codes consolidate **29 existing central labour laws** and represent the biggest reform in Indian labour legislation in over 70 years.

Summary Point:

Labour laws in India evolved from **fragmented, colonial-era legislations** to **comprehensive modern codes**. The shift aims to balance **worker welfare with economic growth**, simplify compliance, and extend social security to the unorganized sector.

Chapter 2: Major Old Labour Laws

Before the introduction of the four labour codes (2019–2020), India had a **complex web of 29 central labour laws** dealing with wages, industrial relations, social security, and occupational safety. These Acts were framed at different points of time, with differing objectives, definitions, and compliance mechanisms.

For better understanding, the old laws can be grouped into four major categories:

2.1 Wage-Related Laws

1. Payment of Wages Act, 1936

- **Objective:** To ensure **timely payment of wages** without unauthorized deductions.
- **Applicability:** Covered workers earning up to ₹24,000/month.
- **Key Provisions:**
 - Wages must be paid within **7 days** (if <1000 workers) or **10 days** (if ≥1000 workers).
 - On termination, wages to be paid within **2 working days**.
 - Deductions cannot exceed **50% of wages** (75% in case of cooperative society loans).
 - Maximum fine: **3% of wages** in a wage period.

Exam Point: “Time limit for wage payment in establishments with 1000+ employees = 10 days.”

2. Minimum Wages Act, 1948

- **Objective:** To prevent exploitation and ensure a **basic minimum standard of living**.
- **Applicability:** Applied only to **scheduled employments** notified by government (e.g., agriculture, mining, construction).
- **Key Provisions:**
 - Appropriate government fixes minimum wages for scheduled employments.
 - Minimum wages must be **revised every 5 years**.
 - Overtime = **double the ordinary wage rate**.
 - Wages include **basic + DA + HRA** but exclude PF, gratuity, allowances.

Exam Point: Overtime under Minimum Wages Act = **2 times the regular rate.**

3. Payment of Bonus Act, 1965

- **Objective:** To provide workers a **statutory share in profits.**
- **Applicability:** Applied to establishments with **20+ employees.**
- **Eligibility:** Employees earning up to **₹21,000/month.**
- **Key Provisions:**
 - Minimum bonus = **8.33% of salary** (basic + DA).
 - Maximum bonus = **20% of salary**, depending on profits.
 - “Set-on” and “set-off” provisions for adjusting bonus across years.

Exam Point: Salary ceiling for bonus eligibility = **₹21,000/month.**

4. Equal Remuneration Act, 1976

- **Objective:** To ensure **equal pay for equal work** irrespective of gender.
- **Key Provisions:**
 - No gender-based discrimination in **recruitment, wages, or promotions.**
 - Advisory committees for employment of women in certain industries.

Exam Point: Based on Article 39(d) of the Constitution – Equal pay for equal work.

2.2 Industrial Relations Laws

1. Trade Unions Act, 1926

- Legal recognition to trade unions.
 - Minimum 7 members needed for registration.
 - 50% of office bearers must be employed in the industry.
 - Political funds allowed but voluntary.
-

2. Industrial Employment (Standing Orders) Act, 1946

- Required employers (100+ workers) to define service conditions in writing.
- Covered matters like classification of workers, attendance, misconduct, leave, etc.

3. Industrial Disputes Act, 1947

- **Objective:** To provide machinery for settlement of industrial disputes.
- **Key Provisions:**
 - Defined terms like “strike,” “lockout,” “layoff,” “retrenchment.”
 - Authorities: Works Committee, Conciliation Officer, Labour Courts, Tribunals.
 - Retrenchment compensation = **15 days’ wages for every completed year of service.**
 - Strikes/lockouts in public utility services require **14 days’ prior notice.**

Exam Point: Retrenchment compensation formula often asked in EPFO.

2.3 Social Security Laws

1. Employees’ Compensation Act, 1923

- Employer liable to compensate workers for injuries/death “arising out of and in the course of employment.”
 - Introduced principle of “**no-fault liability.**”
 - Compensation for death = **50% of monthly wages × relevant factor (age).**
-

2. Employees’ State Insurance (ESI) Act, 1948

- Provides **medical care, sickness, maternity, and disability benefits.**
 - Applicable to factories/establishments with **10+ employees.**
 - Funded by contributions from employer (3.25%) and employee (0.75%).
-

3. Employees’ Provident Fund (EPF) Act, 1952

- Provides retirement savings, pensions, and life insurance.
 - Applicability: Establishments with **20+ employees.**
 - Contributions: **12% of wages** by both employer and employee.
-

4. Maternity Benefit Act, 1961

- Provides maternity leave and benefits.
- 26 weeks paid leave (for 2 surviving children), 12 weeks otherwise.
- Prohibits dismissal during maternity period.

5. Payment of Gratuity Act, 1972

- Provides gratuity after **5 years of continuous service**.
- Payable on retirement, resignation, or death.
- Formula: **15 days' wages × years of service**.
- Max gratuity ceiling = **₹20 lakh**.

2.4 Occupational Safety & Welfare Laws

- **Factories Act, 1948** – Health, safety, welfare, and working hours in factories.
- **Mines Act, 1952** – Safety in mines.
- **Contract Labour (Regulation & Abolition) Act, 1970** – Regulated contract labour, abolished in certain cases.
- **Inter-State Migrant Workmen Act, 1979** – Protected migrant workers' rights.

Summary Point:

The old framework was **fragmented** with separate Acts for wages, industrial relations, social security, and safety. While protective, it created **overlapping compliance burdens** and excluded a large section of unorganized workers. This paved the way for **consolidation into the new labour codes**.

Chapter 3: The Four New Labour Codes

To simplify India's complex labour law framework, the Government consolidated **29 central labour laws** into **4 Labour Codes**. These Codes were passed between **2019–2020**, but are **yet to be implemented** (pending notification). They aim to balance **workers' welfare with ease of doing business**.

3.1 Objectives of the Labour Codes

- **Simplification:** Replace multiple overlapping Acts with 4 codes.
 - **Uniformity:** Standard definitions (e.g., “wages” has a single definition).
 - **Wider Coverage:** Extend protection to unorganized, gig, and platform workers.
 - **Ease of Compliance:** Online registration, returns, and inspections.
 - **Worker Welfare:** Guarantee minimum wages, social security, and safe working conditions.
-

3.2 The Four Labour Codes

1. Code on Wages, 2019

Acts Subsumed:

- Payment of Wages Act, 1936
- Minimum Wages Act, 1948
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976

Key Features:

- **Universal Coverage:** Applies to all employees, regardless of industry or wage ceiling.
- **Uniform Definition of Wages:** Includes basic pay + dearness allowance + retaining allowance. Exclusions (HRA, overtime, bonus, etc.) cannot exceed **50% of total pay** → beyond this limit, excess counts as wages.
- **National Floor Wage:** To be fixed by the Central Government; states cannot set wages lower than this.
- **Equal Remuneration:** Ensures no gender discrimination in wages.

-
- **Bonus:** Still applies only to employees earning $\leq ₹21,000/\text{month}$, but law itself is universal.

Example: Earlier, a small coaching center was not covered under Minimum Wages Act (since not in “scheduled employment”). Now, under the Wage Code, it must pay minimum wages to all staff.

2. Industrial Relations (IR) Code, 2020

Acts Subsumed:

- Trade Unions Act, 1926
- Industrial Employment (Standing Orders) Act, 1946
- Industrial Disputes Act, 1947

Key Features:

- **Trade Unions:** Recognition of a single negotiating union if it has 51% membership; or a negotiating council if multiple unions exist.
- **Standing Orders:** Mandatory for establishments with **300+ workers** (earlier 100). Covers service conditions like classification of workers, misconduct, leave.
- **Lay-off/Retrenchment/Closure:** Prior permission required only if 300+ workers (earlier 100).
- **Dispute Resolution:** Tribunal award to be binding within **30 days**.
- **Strikes & Lockouts:** 14-day prior notice mandatory in all establishments (earlier only in public utilities).

Example: A factory with 250 workers can now retrench workers without government approval, easing employer flexibility.

3. Code on Social Security, 2020

Acts Subsumed (9 Acts):

- EPF Act, 1952
- ESI Act, 1948
- Maternity Benefit Act, 1961
- Payment of Gratuity Act, 1972
- Employees' Compensation Act, 1923

-
- Cine Workers' Welfare Fund Act, 1981
 - Unorganized Workers' Social Security Act, 2008, etc.

Key Features:

- **Universal Social Security:** Extends to unorganized sector, gig workers (e.g., Ola/Uber drivers), and platform workers (e.g., Swiggy, Zomato).
- **EPF & ESI:** Continue for formal sector; provisions may extend to new categories.
- **Gratuity:** Payable even for **fixed-term employees** after 1 year (earlier 5 years).
- **Maternity Benefit:** Same provisions, included within the Code.
- **National Database:** Aadhaar-based registration of all workers on a central portal.
- **Funding:** Gig/platform workers' welfare funds through contribution by employer/aggregator + government.

Example: A Swiggy delivery partner, previously outside social security laws, will now be eligible for social security benefits.

4. Occupational Safety, Health & Working Conditions (OSHC) Code, 2020

Acts Subsumed (13 Acts):

- Factories Act, 1948
- Mines Act, 1952
- Contract Labour Act, 1970
- Inter-State Migrant Workers Act, 1979
- Plantations Labour Act, 1951, etc.

Key Features:

- **Applicability:** Factories with 20 workers (if using power) or 40 workers (without power).
- **Single License:** Establishments can obtain one common license for factory, contract labour, and migrant workers.
- **Working Hours:** Maximum **8 hours/day, 48 hours/week**.
- **Women Employment:** Women can work in all establishments, even at night (with safety measures).
- **Inter-State Migrant Workers:** Definition expanded – includes workers earning up to ₹18,000/month who migrate for work.
- **Free Annual Health Check-up:** For workers above a certain age.

Example: Earlier, an establishment needed separate licenses under Factories Act, CLRA, ISMW. Now, only one **single license** is required.

3.3 Significance of the Labour Codes

- **For Workers:** Wider coverage, minimum wage guarantee, social security for gig/unorganized workers, safer working conditions.
 - **For Employers:** Simplified compliance, reduced inspections, flexibility in hiring/termination.
 - **For Economy:** Promotes ease of doing business, reduces litigation, boosts investment climate.
-

Summary Point:

The **Wage Code, IR Code, Social Security Code, and OSHWC Code** consolidate 29 Acts into 4 broad laws. They harmonize definitions, expand worker protection, simplify compliance, and align India's labour regime with global standards.

Chapter 4: Comparison – Old vs New Labour Laws

The biggest change in India's labour policy has been the **consolidation of 29 central labour laws into 4 comprehensive labour codes**. This chapter highlights the differences in **structure, coverage, compliance, and worker protection**.

4.1 Need for Comparison

- The **old regime** was **fragmented** with multiple Acts, leading to **confusion, overlapping provisions, and Inspector Raj**.
 - The **new regime** aims at **simplification, digitization, and wider worker coverage**.
 - Understanding these differences is crucial for exams like **UPSC EPFO**, where both factual and analytical questions are asked.
-

4.2 Comparative Analysis

Aspect	Old Labour Laws (29 Acts)	New Labour Codes (4 Codes)
Structure	29 separate Acts with overlapping provisions (Wages, Bonus, Gratuity, ESI, PF, etc.)	Consolidated into 4 Codes (Wages, Industrial Relations, Social Security, OSHWC)
Definition of Wages	Different across Acts (e.g., PF Act, Bonus Act, Gratuity Act all had different definitions)	Uniform definition of wages (Basic + DA + Retaining Allowance; exclusions capped at 50%)
Coverage	Restricted by wage ceilings and “scheduled employments”	Universal coverage – applies to all employees, incl. gig and platform workers
Minimum Wages	Only for scheduled employments under Minimum Wages Act, 1948	Applies to all employments , with a National Floor Wage

Aspect	Old Labour Laws (29 Acts)	New Labour Codes (4 Codes)
Bonus	Only for employees earning $\leq$ ₹21,000/month	Still has ceiling for eligibility, but coverage of law is universal
Social Security	Only for organized sector (EPF, ESI, Gratuity, Maternity, etc.)	Extended to unorganized, gig, and platform workers ; Aadhaar-based registration
Industrial Relations	Trade Unions Act, Standing Orders, and Industrial Disputes Act separately governed unions, disputes, layoffs	IR Code, 2020 consolidates – raises threshold for Standing Orders (100 $\rightarrow$ 300 workers), regulates strikes/lockouts
Compliance	Multiple registrations, returns, registers, and inspections under different Acts	Single online registration, one return, web-based inspection system
Women Employment	Many restrictions on women working at night in factories/mines	Women allowed in all sectors, including night shifts, with safety measures
Inter-State Migrant Workers	Only workers recruited through contractors under ISMW Act, 1979	Broader definition – includes any migrant earning $\leq$ ₹18,000/month
Ease of Doing Business	Cumbersome, high compliance cost, Inspector Raj	Simplified compliance, self-certification, transparent inspections
Worker Protection	Strong but fragmented, often left unorganized sector uncovered	Wider protection, modern definitions, digital coverage of workers

4.3 Key Changes in Each Code

- **Code on Wages, 2019:**
 - Removes wage ceiling restrictions.
 - Introduces uniform wage definition.
 - Ensures national floor wage.
- **Industrial Relations Code, 2020:**
 - Simplifies trade union recognition.
 - Raises threshold for prior approval in retrenchment/closure.
 - Mandatory strike notice for all industries.
- **Social Security Code, 2020:**
 - Covers unorganized and gig/platform workers.
 - Gratuity available to fixed-term employees.
 - National social security board for policy coordination.
- **OSHC Code, 2020:**
 - One license for factory, contract labour, and migrant workers.
 - Standardized working hours (8/day, 48/week).
 - Women can work in night shifts with safety.

4.4 Exam-Oriented Pointers

- Old system = **29 Acts**, New system = **4 Codes**.
- Uniform definition of “wages” introduced for the first time.
- Standing Orders threshold increased from **100 to 300** workers.
- Social security extended to **gig and platform workers**.
- National Floor Wage = Key feature of Wage Code.
- **Inspector Raj** → **Inspector-cum-Facilitator** (digital, randomized inspections).

Summary:

The **Old Labour Laws** were fragmented, limited in coverage, and complex in compliance. The **New Labour Codes** consolidate them into 4 broad areas, ensuring **universal worker protection, simplified compliance, and a balance between welfare and business needs**.

Chapter 5 Important Old Labour Laws (Detailed Explanation)

1. Payment of Wages Act, 1936

Objective: To ensure **timely payment of wages** and prevent unauthorized deductions.

Key Provisions:

- **Applicability:** Workers earning up to **₹24,000/month**.
- **Time Limits for Payment:**
 - ≤ 1000 workers → within **7 days** of wage period.
 - 1000 workers → within **10 days**.
 - On termination → within **2 working days**.
- **Deductions Allowed:** Only for fines, absence from duty, recovery of loans, etc.
- **Ceiling on Deductions:** Cannot exceed **50% of wages** (75% if cooperative society loan recovery).
- **Fine Limit:** Cannot exceed **3% of wages** in a wage period.

Exam Pointer: Time limit for payment = **7/10 days rule**.

2. Minimum Wages Act, 1948

Objective: To prevent exploitation by guaranteeing a **minimum wage** for workers.

Key Provisions:

- **Applicability:** Only to **scheduled employments** notified by govt. (agriculture, mines, construction, etc.).
- **Fixation:** Appropriate government fixes minimum wages → must revise **every 5 years**.
- **Overtime Wages:** Payable at **2x ordinary rate**.
- **Components of Minimum Wages:** Basic wage + DA + HRA (varies by state).

Exam Pointer: Overtime = **double rate**.

3. Payment of Bonus Act, 1965

Objective: To ensure workers share in the profits of establishments.

Key Provisions:

- **Applicability:** Establishments with **20+ employees**.
- **Eligibility:** Employees earning $\leq ₹21,000/\text{month}$.
- **Bonus Rate:**
 - Minimum = **8.33%** of salary/wages.
 - Maximum = **20%** of salary/wages.
- **Salary Ceiling for Calculation:** ₹7,000/month or minimum wage (whichever higher).
- **“Set on” and “Set off”:** Profit adjustments across years.

Exam Pointer: Minimum bonus = **8.33%**, maximum = **20%**.

4. Employees' State Insurance (ESI) Act, 1948

Objective: To provide **medical, sickness, maternity, and disability benefits** to workers.

Key Provisions:

- **Applicability:** Establishments with **10+ employees** earning $\leq ₹21,000/\text{month}$.
- **Contributions:**
 - Employer = **3.25%** of wages.
 - Employee = **0.75%** of wages.
- **Benefits Covered:**
 - Medical care (for employee + family).
 - Sickness benefit (70% of wages for 91 days).
 - Maternity benefit (26 weeks leave).
 - Disability & dependents' pension.

Exam Pointer: Employer contribution = **3.25%**, employee = **0.75%**.

5. Employees' Provident Fund (EPF) Act, 1952

Objective: To provide **retirement savings, pension, and life insurance** to employees.

Key Provisions:

- **Applicability:** Establishments with **20+ workers**.
- **Contribution Rates:**
 - Employer = **12% of basic + DA**.
 - Employee = **12% of basic + DA**.
- **Schemes Under EPF Act:**
 - Provident Fund (PF).
 - Pension Scheme (EPS).
 - Deposit Linked Insurance (EDLI).

Exam Pointer: Both employer & employee contribute **12%** each.

6. Maternity Benefit Act, 1961

Objective: To safeguard women employees during maternity.

Key Provisions:

- **Applicability:** Establishments with **10+ employees**.
- **Leave Entitlement:**
 - 26 weeks paid leave (if ≤ 2 surviving children).
 - 12 weeks otherwise.
- **Other Benefits:** Nursing breaks, prohibition on dismissal during maternity.
- **Adoption/Surrogacy:** 12 weeks leave for adopting mothers of a child ≤ 3 months old.

Exam Pointer: Maximum leave = **26 weeks**.

7. Payment of Gratuity Act, 1972

Objective: To provide **lump-sum retirement benefit** to employees.

Key Provisions:

- **Applicability:** Establishments with **10+ workers**.
- **Eligibility:** Employee must complete **5 years of continuous service** (except death/disability cases).
- **Formula:**

$$\text{Gratuity} = \frac{15}{26} \times \text{Last Drawn Salary} \times \text{Years of Service}$$

- **Maximum Limit:** ₹20 lakh.

Exam Pointer: Minimum service = **5 years**.

8. Industrial Disputes Act, 1947

Objective: To provide mechanisms for **settlement of disputes** between employers and workers.

Key Provisions:

- **Authorities:** Works Committee, Conciliation Officer, Labour Courts, Industrial Tribunals.
- **Retrenchment Compensation:** 15 days' wages per completed year of service.
- **Strike/Lockout Rules:** 14-day notice required in public utility services.
- **Lay-off Compensation:** 50% wages during lay-off.

Exam Pointer: Retrenchment compensation = **15 days' wages per year**.

Summary :

The most **important old labour laws** for exam preparation are:

- **Wage-related:** Payment of Wages, Minimum Wages, Bonus.
- **Social Security:** ESI, EPF, Gratuity, Maternity.
- **Industrial Relations:** Industrial Disputes Act.

These Acts provide the **foundation** for the **new Labour Codes**, so UPSC may test both **direct provisions** (time limits, percentages, thresholds) and **comparisons** with the Codes.

Chapter 6 Important Old Acts and their Merger into New Labour Codes

1. Code on Wages, 2019

Subsumed Acts (4):

1. **Payment of Wages Act, 1936** → Ensuring **timely wage payment** for all employees.
2. **Minimum Wages Act, 1948** → Now applicable to **all employments** (not just scheduled).
3. **Payment of Bonus Act, 1965** → Bonus provisions retained.
4. **Equal Remuneration Act, 1976** → Gender equality in wages continued.

Key Change: Uniform definition of wages + National Floor Wage.

2. Industrial Relations Code, 2020

Subsumed Acts (3):

1. **Trade Unions Act, 1926** → Recognition of single negotiating union (51%).
 2. **Industrial Employment (Standing Orders) Act, 1946** → Threshold raised to **300 workers**.
 3. **Industrial Disputes Act, 1947** → Streamlined dispute settlement, strike/lockout rules.
 4. **Key Change:** Threshold for retrenchment/closure approval = **300 workers** (earlier 100).
-

3. Code on Social Security, 2020

Subsumed Acts (9):

1. **Employees' Compensation Act, 1923** → Injury/death compensation retained.
2. **Employees' State Insurance Act, 1948** → Medical + sickness + maternity benefits.
3. **EPF Act, 1952** → Provident Fund, Pension, Insurance schemes continued.
4. **Maternity Benefit Act, 1961** → 26 weeks' leave preserved.

5. **Payment of Gratuity Act, 1972** → Fixed-term employees eligible after 1 year.
6. **Cine Workers' Welfare Fund Act, 1981**
7. **Building and Other Construction Workers Cess Act, 1996**
8. **Unorganized Workers' Social Security Act, 2008**
9. **Employment Exchanges (Compulsory Notification) Act, 1959**

Key Change: Unorganized, gig, and platform workers included + Aadhaar-based universal registration.

4. Occupational Safety, Health & Working Conditions (OSHWC) Code, 2020

Subsumed Acts (13):

1. **Factories Act, 1948** → Safety + working hours standardized.
2. **Mines Act, 1952**
3. **Plantations Labour Act, 1951**
4. **Contract Labour Act, 1970** → Now under single license system.
5. **Inter-State Migrant Workmen Act, 1979** → Expanded to cover migrants earning ≤ ₹18,000/month.
6. **Dock Workers (Safety, Health & Welfare) Act, 1986**
7. **Cinematograph Workers Act, 1981**
8. **Working Journalists & Newspaper Employees Act, 1955**
9. **Motor Transport Workers Act, 1961**
10. **Sales Promotion Employees Act, 1976**
11. **Beedi & Cigar Workers Act, 1966**
12. **Contract Labour (Regulation) Rules under CLRA**
13. **Other small safety Acts**

Key Change: Single license for factory + contract + migrant labour, women allowed in night shifts, max 8 hours/day, 48 hours/week.

Quick Reference Table (Exam Revision)

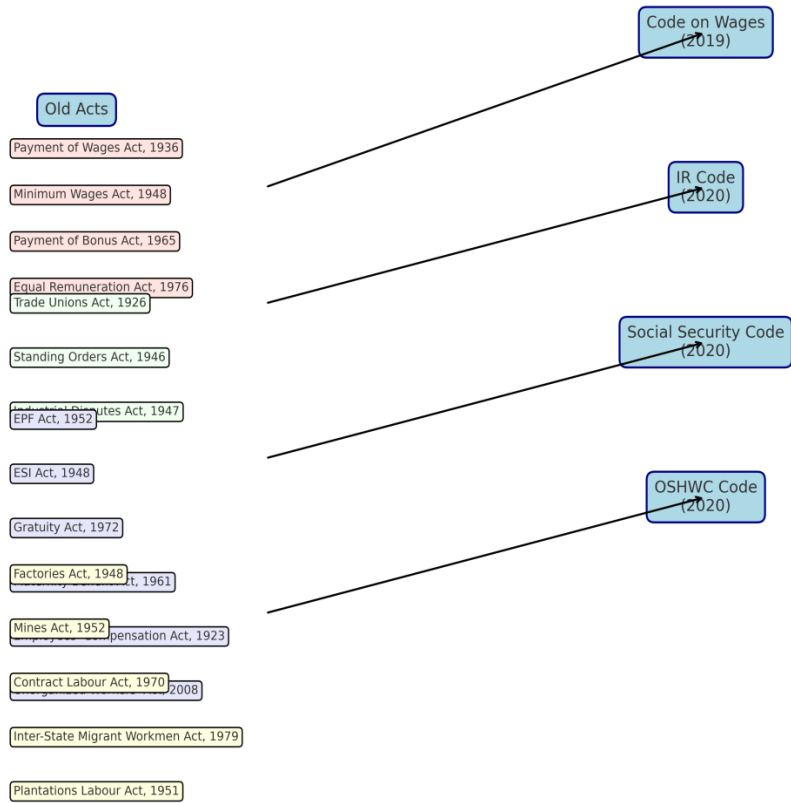
Old Act	Merged Into	New Code
Payment of Wages Act, 1936	✓	Code on Wages (2019)
Minimum Wages Act, 1948	✓	Code on Wages (2019)

Old Act	Merged Into	New Code
Payment of Bonus Act, 1965	✓	Code on Wages (2019)
Equal Remuneration Act, 1976	✓	Code on Wages (2019)
Trade Unions Act, 1926	✓	IR Code (2020)
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Mines Act, 1952	✓	OSHC Code (2020)
Contract Labour Act, 1970	✓	OSHC Code (2020)
Inter-State Migrant Workers Act, 1979	✓	OSHC Code (2020)

Summary

- **29 Acts → 4 Codes.**
- Wage laws (4), IR laws (3), Social Security laws (9), OSHWC laws (13).
- Key reforms = **uniform wage definition, National Floor Wage, gig workers' coverage, single licensing, women in night shifts, digital compliance.**

Mapping of Old Labour Acts → New Labour Codes



Relevance of Labour Laws & Codes for UPSC EPFO Exam

The **UPSC EPFO Enforcement Officer/Accounts Officer Exam** places heavy emphasis on **Labour Laws**, both old and new. A clear understanding of provisions, differences, and recent reforms is essential for answering **MCQs, descriptive questions, and enforcement case scenarios**.

5.1 Why Labour Laws are Important for EPFO

- **Core Job Role:** EPFO officers deal with **compliance, enforcement, and interpretation of labour laws** in real cases.
- **Exam Syllabus:** Labour laws and social security are **explicitly mentioned** in the syllabus.
- **PYQ Trend:** Many previous year questions are directly based on Acts like Payment of Wages Act, Minimum Wages Act, EPF Act, and Industrial Disputes Act.

Thus, mastery of both **old Acts (for historical/legal understanding)** and **new Codes (for current affairs & reforms)** is essential.

5.2 Previous Year Question Trends

1. **Payment of Wages Act, 1936**
 - Time limits for wage payment.
 - Maximum percentage of permissible deductions.
2. **Minimum Wages Act, 1948**
 - Applicability (scheduled employments).
 - Overtime wage rate (2x).
3. **Bonus Act, 1965**
 - Eligibility criteria (₹21,000 ceiling).
 - Minimum bonus percentage (8.33%).
4. **Gratuity Act, 1972**
 - Formula for gratuity.
 - Maximum ceiling (₹20 lakh).
5. **EPF Act, 1952 & ESI Act, 1948**
 - Contribution rates (12% for EPF, 3.25% employer + 0.75% employee for ESI).

-
- Coverage (20+ employees for EPF, 10+ for ESI).
 - 6. **Industrial Disputes Act, 1947**
 - Definition of retrenchment.
 - Retrenchment compensation formula.
 - Strike notice requirements.
 - 7. **New Labour Codes (2019–2020)**
 - Uniform definition of wages.
 - National Floor Wage.
 - Social security for gig/platform workers.
 - Standing Orders threshold (300 workers).
 - Women allowed in night shifts under OSHWC.
-

5.3 Types of Questions in EPFO

1. **Factual/Memory-Based MCQs:**
 - Example: *Maximum bonus payable under the Payment of Bonus Act is...?* (Ans: 20%).
 2. **Conceptual MCQs:**
 - Example: *Which labour code extends social security to gig and platform workers?* (Ans: Social Security Code, 2020).
 3. **Analytical/Comparative:**
 - Example: *How does the Code on Wages differ from the Minimum Wages Act, 1948?*
 4. **Case-Based Questions:**
 - Example: *An employee earning ₹25,000/month is denied bonus by his employer. Is he covered under the Payment of Bonus Act?* (Ans: No, eligibility capped at ₹21,000).
-

5.4 Preparation Strategy

- **Step 1: Master Old Acts**
 - Learn definitions, applicability, thresholds (₹ limits, no. of employees, time limits).
 - Focus on Payment of Wages, Minimum Wages, Bonus, Gratuity, EPF, ESI, and Industrial Disputes Acts.
- **Step 2: Focus on New Labour Codes**
 - Learn which Acts are subsumed under each Code.
 - Memorize new features: uniform definition of wages, National Floor Wage, Standing Orders threshold, gig worker coverage.

-
- **Step 3: Make Comparison Tables**
 - Old vs New laws (coverage, wage definition, compliance, social security).
 - Helps in quick revision and tackling analytical questions.
 - **Step 4: Practice PYQs & Mock MCQs**
 - EPFO past papers.
 - Practice numerical questions (e.g., gratuity calculation, retrenchment compensation).
 - **Step 5: Revise Constitutional Provisions**
 - Labour laws are linked to **Directive Principles of State Policy** (Articles 38, 39, 41–43).
 - Fundamental Rights (Article 19(1)(c) – right to form associations).
-

5.5 High-Yield Quick Facts for EPFO

- Time limit for wage payment: **7/10 days**.
 - Bonus eligibility: **≤ ₹21,000/month salary**.
 - Overtime: **2x ordinary rate**.
 - Gratuity: **15 days' wages × years of service**; minimum 5 years.
 - EPF applicability: **20+ employees**; contribution = **12% each (employer & employee)**.
 - ESI applicability: **10+ employees**; contribution = **3.25% employer + 0.75% employee**.
 - Standing Orders: **300 workers** under IR Code.
 - National Floor Wage: Introduced under **Code on Wages**.
 - Gig/Platform workers covered under **Social Security Code**.
 - Women allowed in night shifts under **OSHC Code**.
-

Summary:

Labour laws form the **backbone of the EPFO syllabus**. Questions are asked from **old Acts for factual clarity** and **new Codes for current relevance**. A combined study approach – **Acts + Codes + Constitution + PYQs** – is the key to scoring well in this section.

Part VI
SOCIAL SECURITY IN INDIA

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Chapter 1: The Employees' Compensation Act, 1923

This Act, originally known as the Workmen's Compensation Act, established a statutory, no-fault liability system for employers to compensate workers for injuries or death sustained during employment.

1.1 Genesis, Objectives, and Significance

The Act was a pioneering effort that shifted the legal framework from a fault-based system, where workers had to prove employer negligence, to a principle of employer liability. The primary objectives are:

Financial Protection: To provide financial compensation to employees or their dependents for death, injury, or occupational disease arising from employment.

No-Fault" Liability: An employee is entitled to compensation if the injury is work-related, regardless of whether the employer was at fault.

Speedy Dispute Resolution: It established Commissioners for Employee's Compensation to handle claims, bypassing the civil courts.

Workplace Safety: By making employers financially liable, the Act creates an incentive for them to maintain a safe working environment.

1.2 Scope, Applicability, and Key Definitions

The Act applies to the whole of India and covers a wide range of industries, including factories, mines, and construction. It generally covers establishments employing 10 or more people and includes various types of workers like full-time, part-time, and casual employees.

Key definitions from the Act include:

Dependant (Section 2(1)(d)): This includes a widow, minor legitimate or adopted son, unmarried legitimate or adopted daughter, and widowed mother. Other relatives who were financially dependent on the employee at the time of death may also be considered.

Employer (Section 2(1)(e)): The definition is comprehensive and includes a managing agent and a principal employer for workers engaged through a contractor.

Disablement:

Total Disablement (Section 2(1)(I)): Incapacitates an employee for all work they were capable of performing. Certain severe injuries are statutorily deemed as permanent total disablement.

Partial Disablement (Section 2(1)(g)): Reduces an employee's earning capacity. This can be temporary or permanent.

1.3 The Principle of Employer's Liability

An employer is liable to pay compensation if a "personal injury is caused to an employee by accident arising out of and in the course of employment". There are narrow exceptions where an employer is not liable, such as when an injury does not result in disablement for more than three days, or if the injury is directly attributable to the employee being under the influence of drugs or willfully disobeying safety orders. The Doctrine of Notional Extension has expanded the interpretation of "in the course of employment". The Supreme Court has ruled that accidents occurring during an employee's commute can be considered as having arisen out of and in the course of employment if a clear link is established.

1.4 Compensation Framework

The Act provides a formulaic approach to calculating compensation, as detailed in Section 4 and Schedule IV.

Death: Compensation is 50% of monthly wages multiplied by a relevant factor or a statutory minimum of Rs. 1,20,000, whichever is more.

Permanent Total Disablement: Compensation is 60% of monthly wages multiplied by a relevant factor or a statutory minimum of Rs. 1,40,000, whichever is more.

Permanent Partial Disablement: A percentage of the permanent total disablement amount, based on the loss of earning capacity.

Temporary Disablement: A half-monthly payment of 25% of the monthly wages, payable for the duration of the disablement or a maximum of five years.

Lump sum compensation for a deceased employee or a woman must be deposited with the Commissioner for distribution to the dependents.

1.5 Key Amendments

The Employee's Compensation (Amendment) Act, 2017, introduced significant changes:

Duty to Inform: Employers are now required to inform employees of their compensation rights in writing and through electronic means.

Enhanced Penalties: The minimum fine for contraventions was raised to Rs. 50,000, which can be extended up to Rs. 1,00,000.

Revised Appeal Threshold: The minimum amount in dispute for a High Court appeal was raised from Rs. 300 to Rs. 10,000 to reduce frivolous litigation.

Chapter 2: The Employees' State Insurance Act, 1948

The ESI Act is an integrated social insurance scheme, providing a comprehensive safety net for employees and their families in the organized sector. The scheme is self-financing through contributions from employers and employees.

2.1 Coverage, Applicability, and Eligibility

The Act initially applies to non-seasonal factories employing 10 or more persons. State Governments can extend its provisions to other establishments like shops, hotels, and educational institutions.

Wage Ceiling: Employees with a monthly wage of up to Rs. 21,000 are covered (increased from Rs. 15,000 in 2017). The ceiling for persons with disabilities is higher at Rs. 25,000.

2.2 The ESI Corporation (ESIC)

The ESI scheme is administered by a statutory body, the Employees' State Insurance Corporation (ESIC), which is a tripartite body with representatives from the government, employers, and employees. The Union Minister for Labour and Employment is the Chairman of the ESIC. The ESIC manages the ESI Fund, provides medical benefits, and enforces compliance through Social Security Officers.

2.3 Contributions and Funding

The scheme is funded by contributions from employers and employees. As of July 1, 2019, the rates are:

Employer's Contribution: 3.25% of wages (reduced from 4.75%).

Employee's Contribution: 0.75% of wages (reduced from 1.75%).

Employees with a daily average wage up to Rs. 176 are exempt from paying their contribution. The term 'wages' for contribution purposes includes all remuneration in cash, such as basic pay and dearness allowance, but excludes contributions to provident funds and travel allowances.

2.4 Spectrum of Benefits (Section 46)

The ESI Act provides a comprehensive package of six main social security benefits:

Medical Benefit: Provides full medical care to the insured person and their family from the first day of employment.

Sickness Benefit: A cash benefit of 70% of the average daily wages for a maximum of 91 days.

Maternity Benefit: Paid at 100% of the average daily wages for a period of up to 26 weeks for the first two children.

Disablement Benefit: Includes Temporary Disablement Benefit (TDB) at 90% of wages and Permanent Disablement Benefit (PDB), which is a monthly pension for life.

Dependants' Benefit (DB): A monthly pension to the dependents of an insured person who dies due to an employment injury.

Other Benefits: The scheme also provides for funeral expenses (currently Rs. 15,000) and unemployment allowances under specific schemes.

Other Social Security Laws

The documents also briefly mention other key social security laws in India:

The Employees' Provident Funds & Miscellaneous Provisions Act, 1952: This Act created a framework for retirement savings, pensions, and life insurance. It is administered by the Employees' Provident Fund Organisation (EPFO).

The Maternity Benefit Act, 1961: This Act governs maternity benefits, including leave duration and a crèche facility for establishments with 50 or more employees. The 2017 amendment increased the maternity leave duration to 26 weeks and introduced provisions for commissioning and adoptive mothers.

The Payment of Gratuity Act, 1972: This Act mandates the payment of gratuity. The maximum amount of gratuity was increased to Rs. 20 lakh by the Payment of Gratuity (Amendment) Act, 2018.

The Unorganised Workers' Social Security Act, 2008: This Act was created to provide a legislative framework for the social security of workers in the unorganized sector, which makes up over 90% of the workforce. It established National and State Social Security Boards to recommend and implement welfare schemes.

The Building and Other Construction Workers' Welfare Cess Act, 1996: This Act levies a cess (tax) on the cost of construction to fund welfare schemes for construction workers, who are a vulnerable segment of the unorganized sector.

Chapter 3: The Employees' Provident Funds & Miscellaneous Provisions Act, 1952

This is one of the most crucial social security laws in India, providing a comprehensive retirement benefits scheme for employees. It's administered by the Employees' Provident Fund Organisation (EPFO).

3.1 Schemes under the Act

The Act is a master legislation that governs three key social security schemes:

The Employees' Provident Fund (EPF) Scheme, 1952: A mandatory savings scheme where both the employer and employee contribute a fixed percentage of wages. The accumulated corpus, along with interest, is paid as a lump sum upon retirement or resignation.

The Employees' Pension Scheme (EPS), 1995: This scheme provides a monthly pension to employees upon superannuation at age 58, or to their family in case of death. While the employee does not contribute, a portion of the employer's contribution (currently 8.33%) is diverted to this scheme. The Central Government also contributes 1.16% of the employee's salary.

The Employees' Deposit Linked Insurance (EDLI) Scheme, 1976: This scheme provides a lump sum benefit to the nominee or legal heir of an employee in case of death while in service. The employer is required to contribute to this scheme, while employees are not.

3.2 Contributions and Wage Ceiling

Contribution: The mandatory contribution rate is 12% of the employee's basic wages plus dearness allowance from both the employer and the employee.

Wage Ceiling: While there is no statutory wage ceiling for contributions, the pensionable salary for the EPS is capped at ₹15,000 per month. For employees earning more than this, contributions to the EPS are based on this cap unless the employer and employee have jointly opted for a higher contribution.

Chapter 4: The Maternity Benefit Act, 1961

This Act aims to protect the employment of women during maternity by providing a full paid leave for a specific period. It is applicable to every establishment employing 10 or more people.

4.1 Key Provisions and Benefits

Maternity Leave: The Maternity Benefit (Amendment) Act, 2017, increased the paid maternity leave duration from 12 to 26 weeks for the first two children. For women with two or more surviving children, the leave duration is 12 weeks.

Adoptive and Commissioning Mothers: The amendment introduced a 12-week maternity leave for adoptive mothers (for a child under three months) and commissioning mothers.

Medical Bonus: A cash benefit of ₹3,500 is provided if the employer does not offer free pre-natal and post-natal care.

Work-from-Home Option: The Act allows women to work from home after the maternity leave period, based on a mutual agreement with the employer.

Crèche Facility: Every establishment with 50 or more employees is mandated to provide a crèche facility. Women are allowed to visit the crèche up to four times a day, which includes their rest intervals.

Chapter 5: The Payment of Gratuity Act, 1972

This Act provides a legal right to gratuity, which is a one-time lump sum payment made by an employer to an employee as a token of appreciation for long-term service.

5.1 Eligibility and Calculation

Eligibility: An employee becomes eligible for gratuity after completing a minimum of five years of continuous service with the same employer. This condition is waived in the case of death or permanent disablement.

Applicability: The Act applies to factories, mines, oilfields, plantations, ports, railway companies, and shops or establishments employing 10 or more persons.

Formula: Gratuity is calculated using the formula:

$$(\text{Last drawn salary} \times 15 \text{ days} \times \text{Number of completed years of service}) / 26$$

Here, 'last drawn salary' includes basic pay and dearness allowance.

Any service period of more than six months in the final year is rounded up to a full year for calculation purposes.

Maximum Limit: The maximum amount of gratuity payable was increased from ₹10 lakh to ₹20 lakh by the Payment of Gratuity (Amendment) Act, 2018.

Chapter 6: Social Security for Unorganized Workers

The documents you provided mentioned the challenges of providing social security to the vast unorganized sector. The government has attempted to address this through various legislations and schemes.

6.1 The Unorganised Workers' Social Security Act, 2008

This was a landmark Act that provided a legislative framework for the social security of workers in the unorganized sector.

Objective: To provide welfare schemes related to life and disability cover, health and maternity benefits, old age protection, and other benefits.

Administrative Body: The Act mandated the creation of National and State Social Security Boards to formulate and monitor welfare schemes for unorganized workers.

Status: While it laid the groundwork, the Act has now been subsumed into the Code on Social Security, 2020, which aims to consolidate and simplify all social security laws in India.

Chapter 6 the Building and Other Construction Workers' Welfare Cess Act, 1996

This Act addresses the specific vulnerabilities of construction workers, who are a significant part of the unorganized sector.

Objective: To raise a welfare fund for construction workers by levying a cess on the cost of construction projects.

Cess Collection: A cess of 1% of the total cost of construction is collected from the employer.

Welfare Benefits: The funds collected are used to provide benefits like old age pension, educational assistance for children, financial aid in case of accidents, health and maternity benefits, and group insurance.

Administration: State-level Building and Other Construction Workers' Welfare Boards are responsible for the registration of workers and the administration of these welfare schemes.

Chapter 7: The Code on Social Security, 2020

This is the most significant recent development in India's social security framework. The Code on Social Security, 2020, consolidates and replaces nine existing laws, including the ones previously discussed. Its primary aim is to simplify the complex web of labor laws and extend social security coverage to a wider range of workers, including those in the unorganized sector.

7.1 The Nine Laws Consolidated

The Code on Social Security, 2020, brings together the following acts into a single legislative framework:

The Employees' Compensation Act, 1923

The Employees' State Insurance Act, 1948

The Employees' Provident Funds and Miscellaneous Provisions Act, 1952

The Employees Exchange (Compulsory Notification of Vacancies) Act, 1959

The Maternity Benefit Act, 1961

The Payment of Gratuity Act, 1972

The Cine-workers Welfare Fund Act, 1981

The Building and Other Construction Workers Welfare Cess Act, 1996

The Unorganised Workers' Social Security Act, 2008

7.2 Key Changes and Features

Universal Coverage: The Code aims to extend social security benefits to all employees and workers, regardless of the size or nature of their establishment. It includes new categories of workers such as gig workers and platform workers, which were previously left out of the formal social security net.

Uniform Wage Definition: The Code introduces a single, uniform definition of 'wages' for all social security purposes, which is a major departure from the differing definitions in the older laws. This is expected to simplify compliance and prevent discrepancies. The new definition stipulates that exclusions (such as allowances) cannot exceed 50% of the total remuneration. Any amount above this limit is added back to the 'wages' for benefit calculations, which can lead to a higher provident fund and gratuity contribution.

Fixed-Term Employees: Fixed-term employees are now entitled to the same social security benefits as permanent employees, including provident fund, gratuity, and health insurance.

Registration and Compliance: The Code mandates the Aadhaar-based registration of all eligible workers, simplifying the process and creating a national database for targeted delivery of benefits.

Social Security Fund: Both the Central and State Governments are empowered to set up a Social Security Fund to provide welfare benefits to unorganized, gig, and platform workers.

Chapter 8: Detailed Provisions of the Maternity Benefit Act, 1961

8.1 Eligibility and Conditions

A woman must have worked for at least 80 days in the 12 months immediately preceding her expected delivery date to be eligible for maternity benefits.

8.2 Paid Leave and Other Benefits

Medical Bonus: A cash benefit of ₹3,500 is payable to the woman if no pre-natal and post-natal care is provided by the employer free of charge.

Nursing Breaks: The Act mandates that a woman returning to work after childbirth is entitled to two nursing breaks during her daily work schedule until her child reaches the age of 15 months. These breaks are in addition to the regular rest intervals.

No Dangerous Work: An employer cannot require a pregnant woman to perform work that is arduous, involves long hours of standing, or is in any way likely to affect her health or the pregnancy.

Chapter 9: Detailed Provisions of the Payment of Gratuity Act, 1972

9.1 Gratuity Calculation for Different Workweeks

The standard formula for gratuity calculation is based on a 26-day month. However, for employees in industries with a different workweek, the calculation is adjusted:

For employees in mines, a year of service is considered 190 days.

9.2 Circumstances for Payment

Gratuity is payable to an employee upon:

Superannuation (retirement at a specific age).

Retirement or resignation after completing five years of continuous service.

Death or disablement due to accident or disease (in which case the five-year service condition is not applicable).

The gratuity is paid to the nominee or legal heir.

Chapter 10: The Employees' Provident Funds & Miscellaneous Provisions Act, 1952

10.1 Universal Account Number (UAN)

To simplify the management of provident fund accounts, EPFO assigns a unique, 12-digit Universal Account Number (UAN) to every employee. The UAN serves as an umbrella for multiple member IDs, making it easier to transfer funds and manage accounts when an employee changes jobs.

10.2 Voluntary Provident Fund (VPF)

Employees have the option to voluntarily contribute more than the statutory 12% to their provident fund. This is known as a Voluntary Provident Fund (VPF), and the additional contributions also earn tax-free interest, providing a greater retirement corpus.

Key Revision points (Selected Acts)

1. Employees' Provident Funds & Miscellaneous Provisions Act, 1952

Objective

- To provide compulsory savings for employees in the form of retirement benefits.
- Covers three schemes: EPF, EPS, EDLI.

Applicability

- Establishments with 20 or more employees (some exemptions).
- Employees with wages up to ₹15,000 must become members (compulsory).

Schemes

1. EPF Scheme, 1952
 - Contribution: 12% Employee + 12% Employer of wages.
 - Lump sum on retirement, plus partial advances (marriage, education, house, medical, unemployment).

2. Employees' Pension Scheme (EPS), 1995

- Employer's 8.33% of wages (up to ₹15,000) goes here.
- Formula:

$$\text{Pension} = \text{Pensionable Salary} \times \text{Pensionable Service} \{70\}$$

- Minimum 10 years' service required for pension.

3. Employees' Deposit Linked Insurance (EDLI), 1976

- Employer pays 0.5% of wages.
- Benefit: Insurance payout linked to last 12 months' salary ($\approx 35 \times \text{salary}$).

Administration

- Managed by EPFO under Ministry of Labour & Employment.
- Central Board of Trustees (CBT) supervises.

Importance in Exam

- Formulas (EPS pension, Gratuity, Compensation) are often asked.
 - Contribution % breakup is most tested.
-

2. Employees' State Insurance Act, 1948 (ESI)

Objective

- Provides medical care + cash benefits to workers and families during sickness, maternity, injury, or death.

Applicability

- Factories and notified establishments.
- Employees earning $\leq$ wage ceiling (₹21,000 per month as per latest).

Benefits

- Medical Benefit – full medical care for insured person + dependants.
- Sickness Benefit – 70% of wages (cash) during certified sickness (max 91 days/year).
- Maternity Benefit – 26 weeks' leave with pay.
- Disablement Benefit – 90% of wages during disablement.
- Dependants Benefit – pensions to dependants on death due to employment injury.
- Funeral & Other Benefits – lump sum funeral expenses, vocational rehab, unemployment allowance.

Contribution Rates (since 2019)

- Employer: 3.25%
- Employee: 0.75%

3. Payment of Gratuity Act, 1972

Objective

- Provides a lump sum financial reward to employees as gratitude for long service.

Eligibility

- Minimum 5 years' continuous service (except in death/disability).
- Fixed-term employees (after Code, 2020) eligible on pro-rata basis.

Formula

Gratuity = Last drawn salary $\times$ (15/26) $\times$ Years of service

- Salary = Basic + DA.
- 15/26 = 15 days' wages for each year of service.

Ceiling

-
- Maximum gratuity: ₹20 lakh.
-

4. Maternity Benefit Act, 1961

Objective

- Protects employment of women during maternity and provides full-paid leave.

Benefits

- Maternity leave: 26 weeks (max 8 weeks before delivery).
- Medical bonus (if employer doesn't provide free medical care).
- Prohibition of dismissal during maternity.
- Crèche facility: for establishments with ≥ 50 employees (2017 amendment).

Eligibility

- Woman must have worked ≥ 80 days in preceding 12 months.
-

5. Employees' Compensation Act, 1923

Objective

- Provides compensation to workers or dependants for injury/death arising out of employment.

Features

- No fault liability: employer must pay compensation even if not negligent.
- Compensation for:
- Death
- Permanent total/partial disablement
- Temporary disablement
- Occupational diseases
- Formulae use wage $\times$ percentage $\times$ factors (given in

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